Mercator

.... in 2007....











MEX MARKET

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OSNOVNI CERTIFIKAT

Družini prijazno podjetje

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PRAVIČNA TRGOVINA





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PRIZNANJE

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Pursuant to the provisions of the Stock Exchange Market Act and the Rules and Regulations of the Ljubljana Stock Exchange, d.d., the company Poslovni sistem Mercator, d.d., Dunajska 107, with headquarters in Ljubljana, hereby announces the summary of its audited Consolidated Annual Report for the Poslovni sistem Mercator, d.d., and the audited Annual Report of the company Poslovni sistem Mercator, d.d., for the year 2007. Major changes to the information contained in the prospectus for the stock market listing are announced regularly in the electronic information dissemination system of the Ljubljana Stock Exchange, the SEOnet.

The audited Annual Report of the Mercator Group and the company Poslovni sistem Mercator, d.d., for the year 2007 were confirmed by the company Supervisory Board at its meeting on February 26th 2008.

Availability of the Annual Report

As of February 27th 2008, the summary of the audited Annual Report of the Mercator Group and the company Poslovni sistem Mercator, d.d., for the year 2007 is available on the SEOnet, the Ljubljana Stock Exchange, d.d. electronic information dissemination system, as well as on the company website at www.mercator.si

As of February 27th 2008, the entire Annual Report is available at the company headquarters at Dunajska 107, Ljubljana, each workday from 8 AM to 4 PM.

Audited Annual Report of the Mercator Group and the company Poslovni sistem Mercator, d.d., for 2007 has not yet been submitted to the Agency of the Republic of Slovenia for Public Legal Records and Related Services. The Annual Report will be submitted to the said agency in compliance with relevant regulations.

Summary of the authorized auditor's opinion

Financial statements of the Mercator Group and the company Poslovni sistem Mercator, d.d., for the year 2007 were audited by the authorized auditing company KPMG Slovenia, podjetje za revidiranje, d.o.o.; the said auditing company issued on **February 20th 2008** a **positive opinion**, confirming that the financial statements of the company Poslovni sistem Mercator, d.d., and the Mercator Group are in all relevant aspects a fair presentation of financial status of the company Poslovni sistem Mercator, d.d., and the Mercator Group as at December 31st 2007, and its financial performance and cash flows for the year that ended on the said date, incompliance with the International Financial Reporting Standards, as adopted by the EU.

Auditor's report received on: **February 20th 2008**

Introduction





Mercator Group Profile

Mercator Group is one of the largest retail chains in the Southeastern European region: it is the leading retail chain in Slovenia and increasingly more notable retail chain in the markets of Serbia, Croatia, and Bosnia and Herzegovina; at the end of 2007, our operations were also extended to the market of Montenegro. Our vision remains unchanged – we wish to be the leading fast-moving consumer goods retailer in the Southeastern European region.



Existing markets of our operations: Slovenia, Serbia, Croatia, Bosnia and Herzegovina, Montenegro (as of end 2007).

Potential markets: markets where Mercator Group operations were not conducted yet in 2007 (Macedonia, Bulgaria, Albania, Romania).

Company Profile

The company Poslovni sistem Mercator, d.d., is the controlling company of a group of associated companies (the Mercator Group) which is the largest business group in Slovenia and in the Southeastern European Region.

Full name	Poslovni sistem Mercator, d.d.
Abbreviated name	Mercator, d.d.
Activity	G 52.110 Retail in non-specialized food retail outlets
Identification number	5300231
VAT Tax Code	45884595
Court registry number	1/02785/00
Court registry date	October 12th 1995
Company share capital as at December 31st 2007	EUR 157,128,514.53 EUR
Nominal value of one share	EUR 41.73
Number of shares quoted at the Ljubljana Stock Exchange as at December 31st 2007	3,765,361
Share listing	Ljubljana Stock Exchange, official market, prime market, trading code MELR
President of the Management Board & CEO	Žiga Debeljak
Management Board Members	Vera Aljančič Falež, Mateja Jesenek, Peter Zavrl
President of the Supervisory Board	Robert Šega
Deputy president of the Supervisory Board	Kristjan Sušinski

Mercator Group Operations



The most important and extensive operation of the Mercator Group is **retail and wholesale of fast-moving consumer goods**.

Widely spread retail network with various store formats



- ✓ market program: hypermarkets, neighborhood stores, comfort stores, Hura! discount stores, and web store
- ✓ specialized programs: hardware and electronics stores, textile and beauty stores, and sportswear and equipment stores









Numerous mutually supplementary services aimed at satisfying the needs, wishes, and expectations of all our customers.



Furthermore, Mercator Group includes several **non-trade companies** which are engaged in manufacturing and providing services:



Manufacturing bread and pastry, predominantly for the requirements of our own retail network

Processing and conservation of fruits and vegetables

Processing and packaging of coffee, production of cocoa instant products, desert toppings, cereal products, and packing other products

Architectural and construction engineering and technical consulting, which is closely related to the group's investment activities

Composition of the Mercator Group

As at December 31st 2007, Mercator Group included the controlling company Poslovni sistem Mercator, d.d., and the following companies:

Poslovni sistem Mercator, d.d.
Slovenia

TRADING COMPANIES

Mercator - H, d.o.o. 99.9% Croatia	**Mercator - S, d.o.o.** 100.0% Serbia	**M - Rodić, d.o.o.** 76.0% Serbia
Presoflex, d.o.o. 100.0% Croatia	**Mercator - BH, d.o.o.** 100.0% Bosnia and Herzegovina	**Mercator Makedonija, d.o.o.** 100.0% Macedonia
Mercator - Mex, d.o.o. 51.0% Montenegro	**M.COM, d.o.o.** 100.0% Slovenia The company has not yet commenced its operating activities.	**Investment International, d.o.o.** 100.0% Macedonia The company has not yet commenced its operating activities.

NON - TRADING COMPANIES

Pekarna Grosuplje, d.d. 98.4% Slovenia	**Eta, d.d.** 100.0% Slovenia	**Mercator - Emba, d.d.** 100.0% Slovenia
Belpana, d.o.o. 100.0% Croatia	**Mercator - Optima, d.o.o.** 100.0% Slovenia	**Interier, d.o.o.** 97.6% Slovenia

Subsidiaries

As at December 31st 2007, Mercator Group companies did not have any subsidiaries.

Other organizations

With the consent of the Ministry of Labor, Family, and Social Affairs, the company Poslovni sistem Mercator, d.d., founded on December 13th 2007 the **Mercator Humanitarian Foundation**. This institution was founded to provide humanitarian aid and to finance medical examinations for the employees of the company Poslovni sistem Mercator, d.d. Humanitarian activities of the foundation will predominantly be aimed at aiding the group employees.

On September 6th 2007, the company Poslovni sistem Mercator, d.d., founded the **Mercator Hiking and Mountaineering Society** which is aimed at motivating its members to engage in outdoor activities, particularly in the mountains, in order to discover our natural and cultural heritage, and to promote physical activity.



Financial highlights of 2007

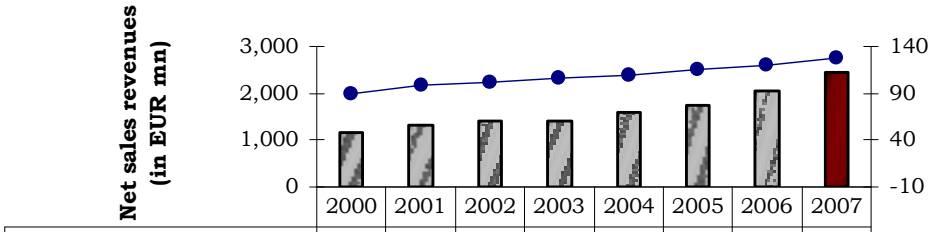
Financial highlights of 2007

	MERCATOR GROUP			
	2005	2006	2007	Index 2007 / 2006
FINANCIAL DATA				
Net sales revenues (in EUR 000)	1,749,206	2,064,583	2,445,258	118.4
Operating profit (in EUR 000)	30,401	50,776	81,441	160.4
Profit before income tax (in EUR 000)	20,588	36,724	54,475	148.3
Profit for the financial period (in EUR 000)	13,626	30,149	43,814	145.3
Gross cash flow from operating activities (in EUR 000)	111,129	135,394	162,046	119.7
Equity (in EUR 000)	551,175	647,880	688,194	106.2
Total asstes (in EUR 000)	1,533,457	1,861,175	2,070,471	111.2
INVESTMENT ACTIVITIES				
Capital expenditure (in EUR 000)	238,180	149,283	164,850	110.4
Long - term financial investments (in EUR 000)	39,646	117,467	49,221	41.9
EMPLOYEES				
Number of employees as at the end of the period	16,372	19,539	20,893	106.9
Number of employees based on hours worked	15,086	17,101	19,099	111.7
FINANCIAL INDICATORS				
Productivity (in EUR 000)	115.9	120.7	128.0	106.0
Value added per employee per hours worked (in EUR 000)	22.5	22.7	22.9	100.8
Return on sales	0.8%	1.5%	1.8%	122.7
Return on equity	2.7%	5.2%	6.8%	131.5
Gross cash flow from operating activities / net sales revenues	6.4%	6.6%	6.6%	101.1
SHAREHOLDER INFORMATION				
Market value per share as at the end of the period (in EUR)	153.9	212.9	335.0	157.4
Dividend per share (in EUR)	1.3	2.5	4.0	159.8
Earnings per share (in EUR)	4.1	8.4	11.8	140.5
NUMBER OF COMPANIES IN THE GROUP				
Number of companies in the group as at the end of the period	18	13	16	123.1

Mercator Group development indicators ... 2000 – 2007

Net revenues and productivity of the Mercator Group

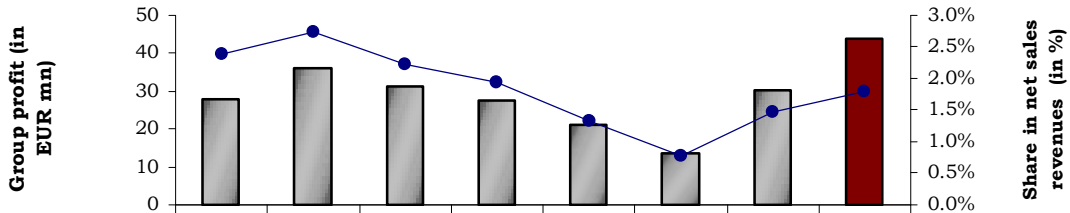
Index 2007 / 2006
Net sales revenues = +18.4 %
Productivity = +6.0 %



	2000	2001	2002	2003	2004	2005	2006	2007
Net sales revenues	1,171	1,315	1,413	1,418	1,578	1,749	2,065	2,445
Net sales revenues per employee	90	99	102	107	110	116	121	128

Net profit and the share of net profit in net revenues of the Mercator Group

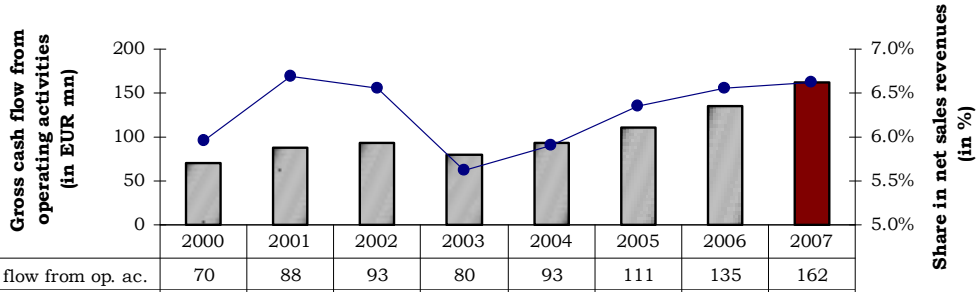
Index 2007 / 2006
Group profit = +45.3 %
Share in net sales revenues = +0.3 percentage points



	2000	2001	2002	2003	2004	2005	2006	2007
Group profit	28	36	31	27	21	14	30	44
Share in net sales revenues	2.4%	2.7%	2.2%	1.9%	1.3%	0.8%	1.5%	1.8%

Gross cash flow from operating activities and the share of gross cash flow from operating activities in Mercator Group net revenues

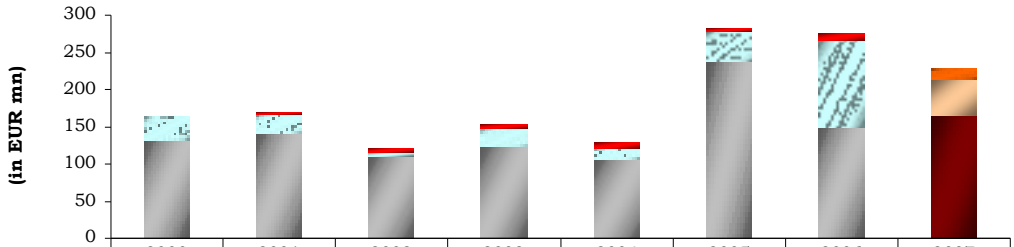
Index 2007/2006
Gross cash flow from oper. ac. = +19.7%
Share in net sales revenues= +0.07 percentage points



	2000	2001	2002	2003	2004	2005	2006	2007
Gross cash flow from op. ac.	70	88	93	80	93	111	135	162
Share in net sales revenues	6.0%	6.7%	6.6%	5.6%	5.9%	6.4%	6.56%	6.63%

Investment into property, plant, and equipment, and long-term financial investment of the Mercator Group

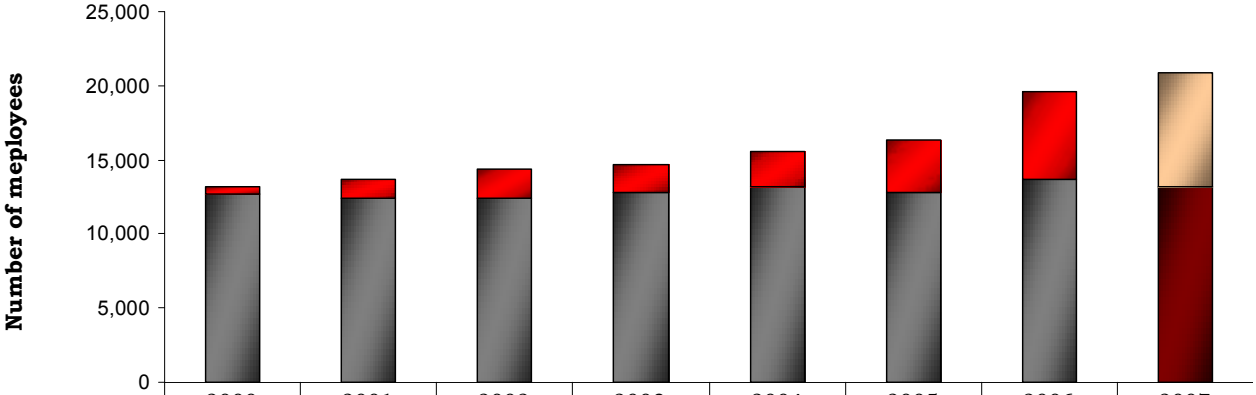
Total investments 2000..2007 = 1,465 EUR mn



	2000	2001	2002	2003	2004	2005	2006	2007
Dividend payout	0	4	6	6	7	4	9	15
Long-term financial investments	32	25	5	25	15	40	117	49
Capital expenditures	131	141	110	124	106	238	149	165

Employees

In the year 2007...
20,893 employees



	2000	2001	2002	2003	2004	2005	2006	2007
New markets	487	1,279	1,893	1,904	2,370	3,591	5,892	7,674
Slovenia	12,721	12,413	12,438	12,769	13,194	12,781	13,647	13,219



Key events

Key events in 2007

Extension of retail network

We opened:

- ✓ three new and three refurbished Mercator centers
- ✓ three trade centers
- ✓ eight supermarkets
- ✓ two new and one refurbished Superettes
- ✓ three Hura! discount stores

We also refurbished several retail units and changed the core activit of some of them.

Strategic alliance in Croatia

In July 2007, we entered into a strategic alliance with the company Presoflex, d.o.o., in Croatia.

Entering the Montenegrin market

In December 2007, we signed an agreement on strategic alliance wit the company Mex, d.o.o., Podgorica, thus becoming a 51 percent owner of this company.

Changes in the composition of the Mercator Group

Consistently with the strategy of focusing on our core activity of FMCG retail, we disposed in September 2007 of 100 percent ownership share in the company M Hotel, d.o.o.

In November 2007, we acquired the majority interest in the lumber processing company Interier, d.o.o., Izola, in order acquire real estate for construction of a Trade Center in Izola.

At the end of 2007, we founded the Mercator Humanitarian Foundation which will provide humanitarian aid or our employees.

Adoption of medium term business plan of the Mercator Group for the period 2008 - 2012

At its 14th regular meeting held on December 18th 2007, the Supervisory Board discussed and adopted the medium term business plan of the Mercator Group for the period 2008 – 2012. Mercator Group is planning to generate EUR 3.7 billion of net sales revenues by 2012, of which nearly half will be generated abroad; planned net profit amounts to EUR 60 million, and gross cash flow from operating activities is planned at EUR 250 million. In the period 2008-2012, Mercator Group is also planning to invest EUR 220-260 million into property, plant, and equipment.

IT system redesign

As of January 1st 2007, we started to employ the SAP software solution in the field of accounting, controlling, and finance, in Slovenia.

Mercator Pika business card

In July 2007, we launched the Mercator Pika business card intended for legal persons, individual entrepreneurs, societies, and other institution. The card enables simple and convenient payment for shopping at Mercator outlets in Slovenia.

Marketing tourist arrangements: M Holidays

In April 2007 we extended our offer with the service called M Holidays. The service includes marketing tourist arrangements prepared in cooperation with the Kompas agency.

Further introduction of the TIK TAK self-check-out cashiers

We carried on the project of installing the TIK TAK self-check-out cashiers at Mercator Centers; these cashiers enable our customers to carry out the check-out after shopping completely by themselves.

Central humanitarian campaign

With our central humanitarian campaign called *Appreciating Life*, we contributed considerably to the level of healthcare services as we donated an MR tomography device to the new Neurological Clinic; this will enable more examinations and shorter waiting lists.

Fair trade

In May 2007, we entered the project of fair trade. We have installed special aisles at our hypermarkets, on which we offer products by the purchase of which we contribute to sustainable development of small communities of manufacturers in the developing company.

Base certificate – Family-Friendly Company

In May 2007, we were presented the base certificate of a Family-Friendly Company .

Netko Award

Netko Award is presented by the Slovenian Chamber of Commerce and Industry – Association for IT and telecommunication, in cooperation with the Ministry of Higher Education, Science, and Technology – Directorate of Information Society. in December 2007, we were presented the golden Netko award for our web store, and silver Netko award for our website.





Key events following the end of 2007

Extension of retail network

On January 23rd 2008, we opened Mercator Center Koper II which includes a Mercator hypermarket and a combined hardware and electronics store.

Establishment of a subsidiary in Bulgaria

Consistently with the strategy of entering the Bulgarian market, we founded on February 13th 2008 the company Mercator – B, e.o.o.d., Sophia, which will be responsible for extending Mercator's operations to the Bulgarian market.

Changes to the Mercator Group composition

On January 1st 2008, the company Presoflex, d.o.o., Croatia, was merged with the company Mercator – H, d.o.o.

On January 1st 2008, the company Poslovni sistem Mercator, d.d., took over the activities of the company Pekarna Grosuplje, d.d. (Grosuplje bakery); the merger is planned for 2008.

Strategic combinations in Bosnia and Herzegovina

In December 2007, the company Mercator – BH, d.o.o., signed an agreement on strategic alliance with the companies Omega, d.o.o., Živinice, and Gadžo Comerc, d.o.o., Ilidža; thus, Mercator acquired seven additional retail units in January 2008.

Maxi Club humanitarian campaign

Humanitarian campaign titled *Sharing The Happiness With Others* was launched at the initiative of the club members who selected in December 2007 those humanitarian organizations to which they wanted the Maxi Club to donate funds in January 2008. The donations were given to the SOS Society for aid to women and children who are victims of violence, The Paraplegic Society of the Ljubljana region and the Red Noses (Rdeči Noski). Mercator's donation amounted to EUR 50,000.

Days of marketing

On February 12th 2008, we prepared the ninth Mercator Marketing Days ; this event is organized to meet with Mercator Group business partners.



Corporate governance

Governance of the company Poslovni sistem Mercator, d.d., and the group of associated companies is based on legislation, Corporate Governance Code for publicly traded companies in Slovenia, internal rules and regulations laid out in compliance with the ISO standards, and the sound business practice; it is carried out according to the two-tier management system.

The company is managed by a four-member Management Board, while a Supervisory Board supervises its activities.

The company has the following governance bodies: Shareholder's Assembly, Supervisory Board, and Management Board.

Shareholder's Assembly

Shareholder rights related to company affairs are asserted in the Shareholders Assembly. Normally, company management convenes the Shareholders Assembly of the Poslovni sistem Mercator, d.d., once per year. The convocation of the Assembly is announced in the Delo daily paper, and in the electronic information dissemination system of the Ljubljana Stock Exchange, d.d., called SEOnet, at least one month prior to the Assembly date.

In addition to the location and time of the Assembly, the convocation, or announcement defines the conditions for taking part in the assembly and asserting the voting right, as well as the agenda and proposed resolutions. A shareholder or a proxy may assert the voting right at the Assembly based on a written authorization. Convocation of the Assembly, agenda, proposed resolutions with the relevant explanations, and the Assembly resolutions, are also announced on the official company website at www.mercator.si.

For the 13th Shareholders Assembly, the company took part in the collection of proxy authorizations from minority shareholders, which was carried out by the PanSlovenian Shareholders' Association.

In 2007, 13th regular Shareholder Assembly was held, with 75 % of share capital was represented at the Assembly. The shareholders adopted the resolutions on the translation of share capital and nominal share values to euros, introduction of no par value shares and the related change in the company Articles of Association and Bylaws, change in the company registered activity, approved capital, allocation of distributable profit and dividend payment; the Shareholders Assembly also granted the discharge to the Supervisory Board and Management Board, defined the compensation for the Supervisory Board and consented with the changes in the amount of session fees as well as with other payments made to the Supervisory Board members. Furthermore, the shareholders selected the auditing company KPMG Slovenia, podjetje za revidiranje, d.o.o., as the company auditor for 2007. They were presented the findings of a special auditor who carried out a special audit of some business transactions for the period of the last five years.

The Shareholders Assembly did not adopt other changes to the Articles of Association and company Bylaws (extending the Supervisory Board term to five years, decreasing the number of Supervisory Board members, changes in the manner of announcing the convocation of Shareholders Assembly to the shareholders, and other editing changes to the Articles of Association and Bylaws). The Assembly did not adopt the resolution to appoint a new Supervisory Board member. The Assembly also did not support the counter proposal on the appointment of a Supervisory Board member.

Supervisory Board

Fundamental function of the Supervisory Board is supervising the management of company affairs. One half of the members, who represent the interest of the shareholders, are appointed by the Shareholders Assembly, while the members who represent the interests of the employees, are appointed pursuant to the Worker Participation in Management Act, by the Council of Group Employees.

Members of the Supervisory Board are elected for a four-year term and may be re-elected. Pursuant to the relevant legislation and the provisions of the Rules of Procedure of the Supervisory Board, the Supervisory Board must hold a meeting at least once per quarter year; the semi-annual meeting is also compulsory. In the company Poslovni sistem Mercator, d.d., the Supervisory Board holds at least five regular meetings per year.

The methods and organization of work, convocation of the meetings, and other affairs relevant to the activities of the Supervisory Board of the company Poslovni sistem Mercator, d.d., are defined in the company Articles of Association and the Bylaws, and in the Rules of Procedure of the Supervisory Board. In 2007, members of the company Supervisory Board received attendance fees of EUR 200 net per meeting, while the President of the Supervisory Board received attendance fee of EUR 350 net per meeting. At its regular meeting on June 27th 2007, The Shareholders Assembly adopted the resolution on monthly payments as of January 1st 2007; according to this resolution, President of the Supervisory Board shall receive EUR 2,500 per month, while the other members will receive EUR 1,500 per month.

☑ Presentation of the Supervisory Board members

As at December 31st 2007, the company Supervisory Board consisted of the following ten members:

President of the Supervisory Board ... Robert Šega

Education:

- MS Electrical engineering s & Electronics, BS Electrical Engineering

Employment:

- Financial advisor to the company Epakta, d.o.o., Škofja Loka

Members of the Supervisory Board – representatives of capital

Kristjan Sušinski, deputy president
Education:
- BA Economics

Employment:
- Assistant to the Management Board for strategic and operative finance of the company Istrabenz, d.d.

Membership in Supervisory or Management Boards of other companies:
- Intrade Energija, Sarajevo

Matjaž Božič
Education:
- BS engineering, MBA

Employment:
- Procurator – deputy President of the Management Board of the company CDE nove tehnologije, d.d., Ljubljana

Dušan Mohorko
Education:
- LL.B.

Employment:
- Attorney at Law in Maribor

Membership in Supervisory or Management Boards of other companies:
- Radgonske Gorice, d.d., Večer, d.d.

Mateja Vidnar
Education:
- MA Economics, MBA, BA Economics

Employment:
- Management Board member of the company Zvon ena holding, d.d., Maribor

Membership in Supervisory or Management Boards of other companies:
- Cinkarna Celje, d.d., TKK Tovarna kemičnih izdelkov Srpenica, d.d., Terme Olimia, d.d.

Members of the Supervisory Board – employee representatives

Ksenija Bračič
Education:
- LL.B.

Employment:
- Director of Legal Affairs Office in Poslovni sistem Mercator, d.d.

Membership in Supervisory or Management Boards of other companies:
- Mercator – Emba, d.d.

Jože Cvetek
Education:
- BA Economics

Employment:
- Director of financial-accounting sector of the company Eta, d.d., Kamnik

Membership in Supervisory or Management Boards of other companies:
- Member of the Administrative Board of the association of owners of the cooperative Zaglav Cres, z.o.o., Kranj, member of the Telecommunications Institute of the Štepanjsko naselje Cable Network, Ljubljana

Dragica Derganc
Education:
- LL.B.

Employment:
- Advisor to the director of the Legal Affairs Office in Mercator, d.d.

Jelka Žekar
Education:
- BA Economics

Employment:
- Assistant to the Management Board for marketing and purchasing / procurement in the company Poslovni sistem Mercator, d.d.

Ivica Županetić
Education:
- BA Economics

Employment:
- Advisor to the director of development and investment in the company Mercator – H, d.o.o.

Management Board

The company Poslovni sistem Mercator, d.d., is managed by the Management Board consisting of a president and three members. The president submits to the Supervisory Board a proposal for the appointment of the remaining Management Board members, and Supervisory Board appoints the entire Management Board for a five year term, with unlimited entitlement for re-election. The number of Management Board members and their fields of work and responsibilities are defined as proposed by the president of the Management Board and confirmed by the Supervisory Board in the Act on Management Board. The Management Board manages company affairs independently, responsibly, and to the benefit of the company.

By the resolution of the Supervisory Board dated December 13th 2005, members of the Management Board of the company Poslovni sistem Mercator, d.d., were appointed for a five-year term, starting on January 1st 2006. All Management Board members of the company Poslovni sistem Mercator, d.d., signed their respective fixed-term employment agreements with the company Poslovni sistem Mercator, d.d., for the period of five years, which is consistent with the duration of their term.

☑ Presentation of the Management Board members

As of January 1st 2006, the Management Board of the company Poslovni sistem Mercator, d.d., consists of the president and three members, appointed for a five-year term. Following is their brief presentation.

Management Board president ... Žiga Debeljak



Education:
- MScBA, BS Computer engineering

Fields of responsibility:
- Coordination of management and the Group
- Development and investment
- IT
- Finance, controlling, accounting, internal audit, and investor relations

Other responsibilities
- Member of the Administrative Committee of the Manager Association
- Deputy Chairman of the Young Managers Section with the Manager Association
- Member of the Administrative Committee of the Slovenian Association of Economists
- Member of the Expert Council of the Slovenian Institute of Auditors
- Member of the Council of Institute of Money and Finance with the Faculty of Economics in Ljubljana
- President of the Slovenian Handball Association
- President of the Council of SNG Opera in balet (Slovenian National Theatre, Opera and Ballet), Ljubljana
- Member of the Supervisory Board of the Young Businessman Association YES
- Member of the Supervisory Board of the Alumni Association of MBA Radovljica

Membership in other administrative or supervisory bodies of non-associated companies:
- President of the Supervisory Board of the company Pokojninska družba A, d.d. (Retirement Fund A)
- Member of the Supervisory Board of the Ljubljana Stock Exchange, d.d.

Management Board member in charge of human resources, organization, legal and general affairs ... Vera Aljančič Falež



Education:
- LL.M., LL.B.

Fields of responsibility:
- Human resource management
- Organization and quality
- Legal affairs
- General affairs

Other responsibilities

- Since 2006, member of the Administrative Board of the Slovenian Chamber of Commerce,
- Member of the Expert Council of the Slovenian Association of Societies for Human Resource Management
- Member of the Council of the Institute of Innovation and Development of the University of Ljubljana
- Member of the Pension Plan Committee of Pokojninska družba A, d.d. (Retirement Fund A)
- Management Board President of the Mercator Humanitarian Foundation
- Member of the Economic and Social Council
- Lecturer at the seminars held by the Institute of Labor at the Faculty of Law in Ljubljana, Planet GV, and the Slovenian Association of Societies for Human Resource Management

Management Board member in charge of marketing and procurement ... Mateja Jesenek



Education:

- MBA, BA Economics

Fields of responsibility:

- Marketing of products and services
- Market research and development
- Procurement and supplier relations
- Public relations

Other responsibilities

- Member of the Administrative Board of the Young Managers Section with the Manager Association
- Member of the Administrative Board of the International Committee of Food Retail Chains – CIES

Management Board member in charge of retail, wholesale, and logistics ... Peter Zavrl



Education:

- BA Economics

Fields of responsibility:

- Retail
- Wholesale
- Logistics
- Internal manufacturing
- Support to operating activities

Other responsibilities

- President of the Handball Club Krim Mercator
- President of the Supervisory Committee of the Radioklub Kranj

Management and governance of subsidiaries

Mercator Group consists of the parent company Poslovni sistem Mercator, d.d., and its subsidiaries in which the parent company holds directly or indirectly the majority interest or the majority of voting rights. Parent company controls its subsidiaries within a single Management Board. Subsidiaries are incorporated, organized, and managed based on compulsory instructions of unified management as defined by the bodies of the parent company in accordance with the relevant legislation.

The company Poslovni sistem Mercator, d.d., as the parent company of the Mercator Group, operates by the principles of improving business performance in each subsidiary and the Group as a whole, common harmonized development of the Group, optimum supply of general consumer goods and services in all markets of Group's operations, improving competitiveness, efficient allocation and coordination of material flows, harmonized and coordinated procurement and sales at home and abroad, financing current operations and development with common funds, and security, common liquidity, and maximum profitability of financial management.

In Slovenian subsidiaries incorporated as limited companies (d.o.o.), the parent company Management Board performs the function of company Assembly. In new markets, the parent company Management Board, either entirely or partially (with involvement of only some of its members), takes part in the work of the Supervisory Boards of these companies, as well as in the Management Board and its Shareholders Assembly. All subsidiaries incorporated as joint-stock companies are supervised by the Supervisory Board.

Audit

In today's constantly and continuously changing environment, efficient and successful business operation requires the right information at the right time. Whilst the management of the company is responsible for providing relevant accounting information, the paramount task of internal and external audit is to minimize the risks appearing in their preparation as much as possible.

In Mercator Group this is achieved by:

- clear and concise accounting practices and their strict implementation;
- completely synchronized accounting policy throughout the entire Group;
- timely and comprehensive disclosures and explanations;
- prompt preparation, relevant detailed treatment, and suitable data selection in statements, relevant for financial reporting;
- preparation of financial statements in line with the International Financial Reporting Standards (IFRS);
- regular monitoring of the accounting and controlling process, as well as other business processes within the internal and external auditing procedures.

☑ Internal auditing

The independent support function of internal audit has been introduced in the Mercator Group in the year 2000, functioning both within the parent company and at the Group level. Basic function of internal audit is perpetual development and monitoring of the

internal control systems from the aspect of managing all sorts of risks of operations and other risks to which the Mercator Group is exposed.

The aim of internal audit is to provide assistance to the top management and other levels of management in the improvement of asset management of the Mercator Group, enhancement of quality, economization and effective business operations within the scope of adopted strategies, business policies, and business and financial plans.

Internal audit performs regular and extraordinary auditing of particular areas of operations of the Mercator Group companies, and provides collaboration with external auditors. During the year 2007, this sector carried out all activities of auditing the implemented measures and financial effects of the projects related to Optimization of Operations of the Mercator Group. Internal audit of human resource management function in the Croatian subsidiary also carried out, as well as the audit of insurance of property, property interest, and persons, in all trade subsidiaries abroad.

In 2008, we will carry on the activities of auditing implemented measures and financial effects of the Mercator Group Business Operation Optimization projects, category management projects, and auditing other business processes, particularly those related to the redesign of the IT system.

☑ External auditing

External auditing is carried out by the certified auditing company, which in addition of regular annual audit of the financial statements of the company also provides continuous expert consulting and proposals for the improvement of the internal control systems for the management of all sorts of risks.

Consistently with the resolution adopted at the 13th regular Shareholders Assembly of the company Poslovni sistem Mercator, d.d., auditing company KPMG Slovenia, podjetje za revidiranje, d.o.o., was selected as the external auditor for the year 2007.

Communication with shareholders and reporting

The strategy of communication with the shareholders, financial analysts and institutions, media, and the general public, is based on the pursuit of transparency and clarity of our operations; this is achieved in Mercator by regular and prompt announcement of information on the company status, as well as on major changes in company operations.

Implementation and development of the system of communication with shareholders and the financial community is the responsibility of the Department of Relations with the Financial Community, in close cooperation with relevant sectors that provide information, and company management. In the process, various communication tools are employed, including press releases and public announcements, press conferences, presentation publications, and various materials and announcements on the company website. A major part of communication with the financial community takes place through announcements on the Ljubljana Stock Exchange website, within the SEOnet, the electronic information dissemination system, where we have been publishing all announcements simultaneously in Slovenian and English since 2005, and where we have published all financial statements and reports for the company and the group in compliance with the International Financial Reporting Standards.

In 2007, we met at regular meetings with various members of the financial community. We also took part in the Days of Slovenian Capital in Milan, Vienna, London, and Stockholm; these events were organized by the Ljubljana Stock Exchange in cooperation with foreign financial institutions.

In March 2007, we met with our financial partners for the seventh year in a row. We presented them the Mercator Group business plan for the year 2007, business performance in 2006, and our financial policy for 2007.

For several years in a row, we have been selected among the few Slovenian companies nominated for the Portal award – award for best relations with investors and other interest groups; this award gives us confidence about our work and motivates us to perform even better.

The strategy of communication with the shareholders and financial community is successfully complemented by our Annual Report, as we invest our efforts into improving its form and contents, in compliance with the relevant legislation and with consideration for the response by and requirements of the broader public.

Time schedule outline for major financial announcements and events in 2008

Type of information	Planned announcement date *
• Audited Annual Report of the Mercator Group and the company Poslovni sistem Mercator, d.d., for the year 2007	**Wednesday, February 27th 2008**
• Statement of compliance with the provisions of the Corporate Governance Code for publicly traded companies in Slovenia	**Wednesday, February 27th 2008**
• Confirmation of the proposal of agenda and resolutions for the 14th regular Shareholders Assembly	**Wednesday, May 21st 2008**
• Business and Financial report of the Mercator Group and the company Poslovni sistem Mercator, d.d., for the period I-III 2008	**Wednesday, May 21st 2008**
• Business and Financial report of the Mercator Group and the company Poslovni sistem Mercator, d.d., for the period I-VI 2008	**Wednesday, August 27th 2008**
• Business and Financial report of the Mercator Group and the company Poslovni sistem Mercator, d.d., for the period I-IX 2008	**Wednesday, November 12th 2008**
• Review of business performance in 2008 and the Business Plan for 2009	**Wednesday, December 17th 2008**

* The quoted dates are planned; actual dates may differ from those listed in the table.

All announcements (in Slovenian and English) are available in the Ljubljana Stock Exchange electronic information dissemination system SEOnet, and on the company website at www.mercator.si.

Statement of compliance with the Corporate Governance Code for publicly traded companies

The Management Board and the Supervisory Board of the company Poslovni sistem Mercator, d.d., with the headquarters at Dunajska cesta 107 in Ljubljana herewith submit the Declaration of Compliance with the Corporate Governance Code (hereinafter called The Code, on February 5th 2007) which forms part of the Annual Report for the year 2006 and is available on the company web site at www.mercator.si.

The Declaration covers the period from the last publication of the Statement (April 10th 2007) until the preparation of the present Statement.

The management of the company Poslovni sistem Mercator, d.d., is based on legal requirements, positive business practices, and the principles of the Corporate Governance Code for publicly traded companies. The Corporate Governance Code (dated February 5th 2007) is available at the web site of the Ljubljana Stock Exchange www.ljse.si, in Slovenian and English languages.

Management Board and Supervisory Board of the company Poslovni sistem Mercator, d.d., have once again thoroughly revised the compliance of corporate management in the company Poslovni sistem Mercator, d.d., and the Mercator Group with the Code, and prepared a new statement which reflects the actual situation of corporate management in the company Poslovni sistem Mercator, d.d., and the Mercator Group. The following deviations were found from the provisions of the Code, for which an explanation is given below:

1.3.18. Members of the Supervisory Board and members of the Management Board shall be appointed at the Shareholder's Assembly individually.

> In the sense of rationalization the Supervisory Board members are not appointed individually, because the Board includes 5 representatives of shareholders and that would require the call of the Assembly to comprise the same number of proposed resolutions which would lengthen the meeting of the assembly.



Report of the Management Board President

Mercator completed the year 2007 as the largest trade company in the region, with ambitious plans for the future. We have attained all key business goals and consistently pursued the Mercator Group strategic policies and our common vision of becoming the leading retailer with FMCG in the Southeastern European region. The success of the previous year makes us proud of our work, as well as motivates us as we face the challenges lying ahead.

Net revenues of the Mercator Group in 2007 amounted to EUR 2.4 billion, which is 18 percent more than in 2006. We enter the year 2008 ambitiously and plan a further growth of revenue to reach the level of EUR 2.6 billion. The following aspects are expected to affect further growth of net revenues in 2008: extensive investment and development of retail network, intense marketing activities, the effect of strategic alliance with the company Presoflex, d.o.o., in Croatia, throughout the year, and strategic alliance with the company Mercator-Mex, d.o.o., Montenegro, including its merger into the Mercator Group.

The year 2007 was successful for Mercator shareholders as well. We are proud to see our growth and improvement of business efficiency reflected in considerable improvement of Mercator Group profitability, as the comparable profit before taxes rose by 34 percent. Thus, the price per share in the previous year increased by 57 percent to reach EUR 335 at the end of the year. In 2007, the Supervisory Board adopted the long-term dividend policy until the year 2010. Thus, we paid out dividends in the amount of EUR 4 per share in 2007, which is 60 percent more than in the year before; consistently with the adopted policy, we are planning to propose to the Shareholders Assembly a dividend payment of EUR 4.25 per share, which is consistent with the adopted policy.

In 2007, we successfully carried on the process of extending our retail network by newly constructed, refurbished, redesigned, and modernized facilities, which have set new standards of retail in the region. We also extended the web store, awarded over one million Mercator Pika card holders, and introduced the debit and credit Mercator Pika business card for legal persons. Our offer was extended with tourist services M Holidays, we continued to offer favorable deals on the M Mobil mobile telephones, and we improved the distinctiveness and the positive reputation by providing strong communication support to all key projects of our private label. Store formats were adapted to the shopping environment as we continued to develop new technologies in Mercator retail units. We continued to seek synergy effects between the non-market and market program, we introduced the concept of category management, and carried on all strategic programs for optimizing the Mercator Group operations.

With all our activities, we find our guideline in our customers whose expectations, wishes, and requirements continuously set new challenges and raise the bar of quality of our offer and services. Therefore, we are closely monitoring the data on our customers and the market, and conduct expert analyses to steer the future development of the Mercator Group. The foundation of our marketing strategy is our determination to provide the customers with the offer that fits with today's modern way of life; we take care of the environment and health, and provide innovativeness in the offer of products and services.

In the second half of 2007, growth of purchase prices for aliments, mostly a result of major changes in the global markets for agricultural raw materials and fuels, presented a

considerable challenge to Mercator's successful operations. We dealt with the challenge by intensifying the development of the private label where particular attention was dedicated to the products from the most favorably priced generic line. For many, particularly delicate, products, we lowered our margins in order to keep the prices at a favorable level. In cooperation with our suppliers, we increased the number of products in special offer campaigns which enable our customers the most favorable shopping.

The most important piece in the puzzle of fulfilling these exacting tasks are our employees. As one of the largest employers in the region, with over 20 thousand employees, Mercator Group adopted a strategy of investing into the development and constant training with particular emphasis on expert development of employees in key positions. Another value receiving particular attention is our intercultural organizational development that also contributes considerably to our competitive advantages, as it enables us to draw on an abundance of exchange of experience in various markets.

Personalized attitude, adapting to people's personalities and lifestyles, an ear for environmental needs, and care for our common future have always been the fundamental values of Mercator's development polices which are pursued by socially responsible action. Thus, Mercator contributed to the quality of life in all markets of its operation by providing sponsorships, donations, and carrying out humanitarian campaigns. To mention only what is the most notable, Mercator successfully carried out its central humanitarian campaign 'Appreciating Life', and founded the Mercator Humanitarian Foundation. We are proud to contribute to the broader social environment and to be able to provide aid for those in need, and to simply make people happy.

Trade is a dynamic industry of constant development and adaptation; it poses many challenges, which is why we find it of crucial importance to keep accelerating the pace of our development. It is my estimation that in the following three to four years, market shares in the markets where we are present will be finally distributed; as a result, our development must be very carefully planned and deliberate, but still aggressive. By 2010, we wish to be the leading retailer in all four markets of our presence, in the sense of being the largest or second largest retailer in each market. Mercator's strategy is therefore clear; nevertheless, we have to prove ourselves day in day out, to maintain the position of the retailer with the higher customer confidence level.

Being a large and influential group poses additional obligations and responsibilities, of which we, one of the largest and most successful business entities in the region, are well aware. However, we are also aware that despite our size, or precisely because of it, our actions must be well coordinated and carried out in unison. Our strength lies in our mutual connections and internally concerted action.

In the name of the Management Board I hereby thank all fellow employees. whose work has contributed to common success; I also thank our business partners, as we were only able to overcome many a barrier and create a lot of favorable effects together; I thank our shareholders for the trust vested in the Supervisory Board, and for the support and sound cooperation in tackling numerous challenges that we keep facing. Last but not least, I must thank our customers who are loyal to Mercator and who value our efforts, offer, and services. This is highly appreciated and it binds us to hard work and successful *performance in the future!*

Žiga Debeljak
President of the Management Board

Ljubljana, February 20th 2008

Business Report Summary





Business strategy of the Mercator Group

Vision

To be the leading retail chain with FMCG program (market program) in Southeastern Europe.

Mission

Our business is aimed at creating:

- benefit for the customers by providing excellent retail services, high-quality goods and competitive prices,
- benefit for employees by providing a safe and pleasant working environment and a possibility of personal and professional development,
- benefit for suppliers by taking part in the development of high-quality and innovative products and by providing the possibilities for growth in Slovenia and in emerging markets,
- benefit for shareholders by attaining a profitable growth of business operations, improving business efficiency, and increasing the company market value,
- benefit for wider environment by a responsible attitude towards our natural and social environment and by respecting the business ethics and social values in all fields of operation.

Corporate culture values

We are bound by trust and mutual respect. Our values are:

- sound teamwork,
- sincere relationships,
- encouraging creativity,
- motivating the fellow workers.

Nobody knows the customer preferences better than we do. Our values are:

- unwavering education at home and abroad,
- constant transfer of knowledge,
- ensuring personal growth and development,
- excellent staff competitiveness.

Our operations are always diligent and transparent at all levels. Our values are:

- competitiveness as the foundation of any partnership,
- accessibility of key information,
- consistency and honesty.

We are expanding with a sound corporate culture. Our values are:

- training key human resources for assuming international tasks,
- understanding the differences and adapting to local environment.

Strategic policies of the Mercator Group

1. LARGEST RETAILER IN SLOVENIA: To retain the leading market share of market program in Slovenia, primarily by the following activities:
   - improving the competitiveness of our offer,
   - developing the retail network.

2. LEADING RETAILER ON NEIGHBORING MARKETS OF SE EUROPE: To become the largest or second largest retailer with market program in the markets of Croatia, Serbia, and Bosnia and Herzegovina, by:
   - strategic combinations and alliances,
   - development of our own retail network.

3. ENTERING OTHER SE EUROPEAN MARKETS: To enter or enable the entrance to other markets in Southeastern Europe, where we could become one of the five leading retailers with market program; this will be attained by:
   - purchasing attractive locations,
   - development of our own retail network,
   - strategic combinations and alliances.

4. DEVELOPMENT OF NON-MARKET PROGRAMS: To develop non-market programs and supplementary programs that will:
   - enable reaping the potential of positive synergies with market program and/or
   - provide a concept for development of the second fundamental commercial program with a long-term potential of growth and profitability in the target markets,
   - foster the development of long-term competitive advantages.

5. PROFITABLE OPERATION: Ensure profitable operation by:
   - measures for retaining the level of trade margins,
   - measures for cost rationalization and increasing the productivity,
   - measures for increasing the productivity of invested capital.

Strategic goals

The strategic goals are defined based on the Medium Term Business Plan of the Mercator Group for the period 2008-2012.

1. GROWTH OF NET SALES REVENUES FROM TRADE
   a. average annual nominal growth in EUR: approximately 9 %

2. TARGET MARKET SHARES

	2007*	2010	2012
a. Slovenia	37 %	36 %	35 %
b. Croatia	6 %	12 %	15 %
c. Serbia	8 %	10 %	15 %
d. Bosnia and Herzegovina	2 %	5 %	10 %
e. Montenegro	-	5 %	10 %
f. Macedonia	-	-	5 %
g. Bulgaria	-	-	3 %

* Market share in Slovenia – Measurement of Mercator's market share (Valicon survey)
Market share in foreign markets –various market surveys and Mercator estimates

3. INVESTMENT AND SOURCES OF FINANCING

   a. annual investment in the average amount of EUR 220 – 260 million, financed by own sources and additional debt capital;
   b. issuing new capital for forming any major strategic combinations.

4. SUCCESSFUL BUSINESS PERFORMANCE AND EFFICIENCY

   a. on average, growth of gross cash flows from operating activities should be 1 percentage point higher than the growth of net sales revenues
   b. At least 1 % average annual growth of economic labor productivity in the period 2008-2012;
   c. At least 1 % annual productivity growth of invested capital in the period 2008-2012.



Plans for 2008

In 2008, Mercator Group is planning the following activities for pursuing the defined strategic policies:

1. Largest retailer in Slovenia

✓ To carry on the **expansion of retail network** in Slovenia by constructing new facilities and by extending, refurbishing, and updating the existing ones. We are planning to open a Mercator Center in Postojna, Mercator Center in Murska Sobota, a hypermarket and Intersport in Rudnik, a trade center in Šentjernej, trade center Litija, trade center Bled, and trade center Cerkno.

- ✓ In the field of **customer relationship management** we shall continue to work on the applicability of the Mercator Pika card in various fields where our customers shop frequently. The customer loyalty system will be remodeled to allow for a steep increase in the number of transactions experienced in Slovenia and other countries of Mercator Group's activities. We shall establish a POS terminal connection with the electronic cashier, i.e. a system that will enable collecting information on the shopping of a customer down to the level of a single product, at the point of sale; this will be the foundation for establishing a data warehouse and introduction of CRM system that will enable centralized management of marketing activities.

- ✓ **Web store** will be thoroughly updated in the sense of optimization of operations, logistics, and the shopping process. We shall also open new web store units and join the project IRIS (web store for the disabled), managed by the Institute of Rehabilitation of the Republic of Slovenia.

- ✓ In the field of **clubs and services**, particular attention will be paid to the benefits for the members of existing clubs (Maxi and 'Uživajmo zdravo' – 'Healthy Lifestyle') and the users of services (M Mobil and M Holidays); also, new clubs will be established. We shall provide even more favorable and well-targeted offer for our loyal members by working even more closely with renowned supplier brands, both in the field of club offer and services. Through potential new functionalities of the Mercator Pika card, we shall employ innovative approaches that will facilitate customers' choice as well as reward their shopping. Sound practices and establishment of particular clubs and services will also be extended to foreign markets.

- ✓ With regard to **market communication**, the stress will be placed on following the trends in project management and use of media space, efficient use of alternative media, and more specific adaptation of activities to various target groups of customers and various environments.

- ✓ In the field of **sales promotion and private label**, our goal is to improve customer loyalty and confidence in the products of all private label lines, particularly by providing constant quality and price competitiveness of products, and by developing new products consistently with the trends in the market. Also among our goals is to considerably improve our customers' awareness of the scope and competitiveness of Mercator's offer, by various forms of sales promotion; on the other hand, we shall seek to fuel the growth of sales in market program outlets and other store formats. We also wish to reinforce Mercator's major distinguishing feature, or competitive advantage, by linking the sales promotion activities between different formats and within various services developed by Mercator as an upgrade to its trade activity (clubs, tourism, telephony, etc.).

- ✓ **Invest** EUR 140 million **into property, plant, and equipment**, of which EUR 102 will be invested into the development of the retail network, and the rest will be allocated for infrastructure projects.

2. Leading retailer in the neighboring markets of SE Europe

- ✓ To open or commence the construction of a new retail unit in Croatia (Mercator center Sesvete in Zagreb, Mercator center Velika Gorica, trade center Koprivnica, trade center Labin, and trade center Križevci), in Serbia (trade center Kragujevac, trade center Kruševac, and Mercator center Niš), in Bosnia and Herzegovina (Mercator center Brčko, Mercator center Banja Luka, and hypermarket in Ilidža).

- ✓ To acquire additional 12 % of ownership share in the company M – Rodič, d.o.o, consistently with the agreed time schedule of our strategic combination.
- ✓ Effecting the agreed strategic alliances in Bosnia and Herzegovina in order to acquire for lease nine retail units.
- ✓ Carry on the adaptation of marketing activities to regional and local requirements, and continue to promote customer loyalty with the Mercator Pika card.
- ✓ Conduct and extend our operations within the company Mercator – Mex, d.o.o., Montenegro.
- ✓ Invest EUR 124 million into property, plant, and equipment, mostly into development of retail network.

3. Entering other markets of SE Euopre

- ✓ Carry out in-depth analyses of potential micro markets for expansion of Mercator's retail network in the markets of Macedonia and Bulgaria.
- ✓ In Bulgaria, to establish the business infrastructure for entering the market, within the company Mercator – B, e.o.o.d.

4. Development of nonmarket programs

- ✓ Search for potential strategic partners for particular nonmarket programs with the option of access to global resources; thus, Mercator's competitiveness in this field would be further improved..
- ✓ Look for additional synergy effects between market and nonmarket program.

4. Profitable operation

- ✓ To ensure revenue growth.
- ✓ To improve current capital management.
- ✓ Disinvest from commercially unviable business and financial assets.
- ✓ Increase the ability to generate cash flow, and create value for the shareholders.

5. Activities of five strategic projects for improvement of competitiveness

- ✓ Carry out the activities of planned strategic projects:
  - ☛ Optimizing the operations of the Mercator Group in order to improve business performance and efficiency, and to cut the operations costs.
  - ☛ Update of the IT system in order to rationalize business processes consistently with the 'best practice', by implementing standard software suites.

- Optimization of logistics infrastructure in order to rationalize and optimize the operations of the existing logistics infrastructure and prepare for the construction of the main logistics center.

- Category management, the goal of which is to improve the performance and competitiveness of individual categories.

- Upgrade to Mercator Pika card 2 system in order to create more added value for Mercator, as the system will enable recording the contents of our customers' shopping, which will offer new possibilities in marketing and enable a higher level of services and quality, optimization of operations, and greater reliability and safety with regard to data.



Effect of economic conditions on our operations

Effect of economic conditions on operations in 2007

- The year 2007 has seen a high growth of the European interbank offered rate – the EURIBOR. In 2007, the six-month EURIBOR rose by as much as 0.85 percentage point, causing a high increase in variable interest rates.

- The level of competition and cost inflation pressures also negatively affected the operations. In the last quarter of 2007, high prices of particularly agricultural products in global markets, led to increased inflationary pressure and rising supplier prices of aliments.

• Slovenia

- According to the first estimates, Slovenia has seen a high economic growth in 2007 (5.8 percent). The main fuel of high economic growth were high investment dynamics and increase in exports. Favorable conditions in the labor market, and partly new income tax legislation affected the real growth of private consumption in 2007. Particularly the second half of 2007 was characterized by inflationary pressures caused by rising prices of raw materials and fuels in the global markets. Hence, price growth of consumer products in Slovenia amounted to 5.6 percent in 2007.

• Croatia

- According to the first estimates, Croatia has seen high economic growth in 2007 (5.5 percent). The main fuel of economic growth was growing domestic demand and a

high rate of export growth. The prices of consumer products in 2007 rose by 3.2 percent in 2007.

• Serbia

- Following several months of negotiations, Serbia formed a new government in May 2007. In this year, the country has seen 6.5 percent economic growth. The main fuel of such growth was domestic demand and a high growth rate of exports. Average rate of inflation in 2007 amounted to 8.4 percent; at the end of 2006, it was at 6.6 percent.

• Bosnia and Herzegovina

- In the beginning of 2007, Bosnia and Herzegovina continued its preparations for the privatization of state-owned companies, which attracted a lot of international investors to the Bosnian stock market. Despite numerous political, economic, and social problems, economic growth in 2007 amounted to 5.5 percent, while the growth of consumer products reached, according to the first estimates, 1.5 percent.

Expected economic conditions in 2008

- In 2008, solid economic growth is expected in all markets of Mercator's operations, as well as gradual decline in the rate of inflation as the prices of base raw materials and fuels in the global markets also settle.
    - In 2008, 4.6 percent economic growth and 3.5 percent inflation is expected in 2008.
    - In the second most important market, Serbia, 6.2 percent economic growth is expected, while the inflation rate is expected so settle at 5.8 percent.
    - Expected economic growth in Croatia amounts to 4.7 percent, while the inflation should be lower than in 2007 (2.2 percent).
    - In Montenegro, similarly as in 2007, high economic growth of 6 percent is expected in 2008, with the inflation setting at 3 percent.

The greatest macroeconomic risk in the coming medium term period is seen in the possibility of further inflationary pressures coupled with gradual decline in economic growth.



Development and investment

- In 2007, Mercator Group invested a total of EUR 165 million into property, plant, and equipment, of which EUR 80 million (48.8 percent) were invested abroad. The most funds were allocated for construction of shopping centers.

- Non-current financial investment in 2007 amounted to EUR 49 million.

Investment summary

Country	Capital expenditure 1-12 2007 (in EUR 000)	Long - term financial investments 1-12 2007 (in EUR 000)	Total	Strucutre in %
Slovenia	**84,422**	**9,713**	**94,136**	**44.0%**
Serbia	**31,799**	**-**	**31,799**	**14.9%**
Croatia	**43,030**	**36,447**	**79,478**	**37.1%**
Bosnia and Herzegovina	**5,596**	**-**	**5,596**	**2.6%**
Montenegro	**-**	**3,060**	**3,060**	**1.4%**
Macedonia	**2**	**-**	**2**	**0.0%**
TOTAL	**164,850**	**49,221**	**214,071**	**100.0%**

☑ SLOVENIA

- On March 30th 2007 we opened the **Trade center Bohinjska Bistrica**, operating in the ground floor of a commercial-residential building. The Trade center has a total area of 1,517 m^2 and 92 outdoor parking spaces. The center includes a supermarket, Modiana, and four outlets leased to providers of supplementary offer.

- On September 17th 2007, we completed the 1st stage, and on December 4th, we completed the 2nd stage of expansion and refurbishment of the **Mercator center Ljubljana**, thus acquiring nearly 13,000 square meters of additional total area; total area of this center now amounts to 27,697 square meters, and the center also offers 974 parking spaces. In cooperation with an external agency, we developed a new store concept for the hypermarket. The concept is based on even more pronounced offer of fresh programs and combination of some categories into sections, intended for target customers. In addition to the hypermarket, the center now also includes a Fashion Avenue ('Avenija Mode'), Intersport, a restaurant, and a wide range of supplementary services offered in 61 outlets leased to supplementary service providers.

- On December 13th 2007 we opened the **Trade center Ptuj**. For this purpose, we rearranged, refurbished, and slightly extended the trade center 'Super mesto', which now includes Intersport, Modiana, hardware and electronics store, and 15 outlets

leased to supplementary offer providers, in addition to previously existing supermarket which we have owned from the start. Total area of the center now amounts to 8,185 square meters, and 197 paring spaces are available to our customers.

- On December 14th, we opened the **Trade center Sevnica** which comprises a total area of 2,429 m² and 122 parking spaces. The center includes a supermarket and Modiana, while supplementary offer is provided in 8 leased outlets.

- **Other openings**
  - Opening of the supermarket Bovec, opening of Hura! discount store in Radovljica, opening of Modiana in Europark, Maribor, opening of Beautique and an extended and refurbished Modiana in Mercator center Koper, opening of supermarket Radeče, opening of Hura! discount store Novo mesto – Bučna vas, opening of a refurbished hardware and electronics warehouse Novo Celje in Žalec, opening of extended and refurbished superette Vodovodni stolp in Kranj, opening of supermarket Dobrna, opening of Cash & Carry Levec, opening of Dom ambient store in Maximarket, opening of extended and refurbished supermarket Vojkova in Ljubljani.

☑ FOREIGN MARKETS

SERBIA

- On June 29th 2007, we opened a Rodić Megamarket, Intersport, Modiana, and Beautique drugstore in the **shopping center M - Rodić** in Belgrade; total area of the facility amounts to 13,477 m².

- On August 23rd 2007, we opened the **Mercator center Novi Sad** in Serbia. The facility has a total area of 22,028 square meters, and 499 parking spaces in the basement and the ground floor. The center includes a hypermarket, Intersport, textile store Fashion Avenue ('Avenija Mode'), Beautique drugstore, restaurant, and a café. The remaining area is leased out to 63 supplementary offer providers.

CROATIA

- On September 20th 2007, **Mercator center Zagreb II** was opened. As indicated by the name of the facility, this is Mercator's second shopping center in the Croatian capital. The center is located in a commercial and residential building and it has a total area of 6,783 square meters. Program mix is offered in a hypermarket, Intersport, Modiana, café, and 11 outlets leased to supplementary offer providers.

- On October 19th, we opened the **Mercator center Rijeka**. The facility includes a toal area of 11,766 square meters and a basement with 446 parking spaces; there are additional 74 parking spaces outdoor, next to the center. The center includes a hypermarket, Intersport, Modiana, a café, and 27 outlets leased to supplementary offer providers.

- In July 2007, we entered a strategic alliance with the company Presoflex, d.o.o., thus obtaining 47 retail units, of which four were franchise units.

BOSNIA AND HERZEGOVINA

- In Bosnia and Herzegovina, **trade center Kakanj** was purchased from the company Eurobest; on July 16th 2007, commercial activity was commenced in this facility. The center includes a hypermarket, a restaurant, and four outlets leased to providers of supplementary offer.
- In December 2007, we made a strategic arrangement with the companies Omega, d.o.o., and Gadžo Comerc, d.o.o., through which we acquired seven additional retail units in Bosnia and Herzegovina in January 2008.

MONTENEGRO

- In December 2007, we signed an agreement on strategic combination with the company Mex, d.o.o., thus acquiring ten retail units.

Other openings in foreign markets

In **Serbia**, we opened a supermarket M-Rodić Inđija, including some outlets with supplementary offer; supermarket Sremska Mitrovica; supermarket Novo naselje in Novi Sad; supermarket Veliko Gradište and a Cash & Carry and wholesale outlet in Kraljevo.

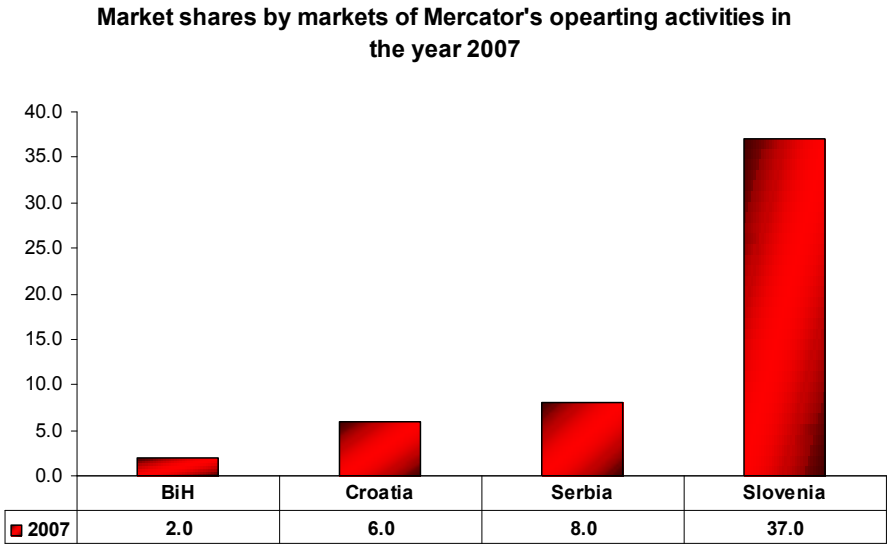
In **Croatia**, we completed the second stage of refurbishment of MC Pula, added an Intersport outlet to the MC čakovec, refurbished the hypermarket and outlets for lease in MC Split, opened an Intersport outlet in Šibenik, and opened a supermarket Galeria Importanne in Zagreb.

In **Bosnia and Herzegovina,** we opened supplementary offer outlets at the location of the discontinued furniture store in MC Tuzla.



Marketing

Market share



Market share in Slovenia – Measuring Mercator's market share (Valicon survey)
Market share in foreign markets – various market surveys and estimates by Mercator

Marketing strategy

By offering added value for the customer and providing modern and pleasant shopping experience, we wish to raise Mercator to the position of the most competitive retailer in the market.

! Our customers will be offered services and products fitting to today's modern way of life:

- extending the offer of fresh program, gourmet offer, and ready-made products;
- development of premium offer in all segments;
- in every moment, quality offer of all fresh programs in order to offer our customers maximum value for money;
- attractive offer of products for the home and ambiance, and high-quality offer of hardware and electronics;
- wide choice of clothing of renowned domestic and foreign brands, targeted to the segment of employed customers with medium and high purchase power;
- offer of the most recent cutting-edge sports equipment, including expert advice and services;
- enhancing the level of offer of the supplementary and complementary program in our outlets and shopping centers.

! Care for the environment and health:

- extending the offer of organically grown products,
- raising customer awareness about socially accountable attitude towards the environment,
- development of environment-friendly materials, processes, and technologies.

! Innovativeness in the offer of products and services:

- development and extension of new technologies: Tik Tak self-check-out cashiers, info stands, Mercator internal TV, etc., in order to remain the most innovative retailer in the region,
- development of new store formats,
- development of services: M mobil, clubs, communities, customer loyalty programs, and new partners that provide complementary offer.

Customer relationship management

☑ Mercator Pika card customer loyalty system

! Consistently with the goals and the strategy of the Mercator Pika card, and with the intent to offer our customers something extra in return for their loyalty in the competitive environment, we are continuously developing the **Mercator Pika card customer loyalty system** and offering additional benefits and surprises for the loyal Mercator Pika card holders



! We offer our customers the following:

- **blue** benefit card,
- **green** credit card, and
- **golden** credit card intended for our most loyal customers, Mercator business partners, and other notable persons from the world of business, politics, and other spheres of public life.



! **In August 2007, we signed up the one millionth Mercator Pika card hlder.**

At the end of 2007, there were a total of **..1,078,832** Mercator Pika card holders in all markets combined

Compared to 2006, this figure has increased by **164,117.**

Mercator Pika card holders	Slovenia	Serbia	Croatia	BiH	Monte negro	Total
As at Dec 31st 2005	573,573	34,592	70,516	42,882	-	721,563
As at Dec 31st 2006	679,374	51,321	125,406	58,614	-	914,715
As at Dec 31st 2007	**753,377**	**83,831**	**169,757**	**71,867**	-	**1,078,832**

! In 2007, **the share in total retail revenues deriving from payment with the Mercator Pika card,** in all markets of Mercator's operations, amounted to **43.8 %.**

Compared to 2006 ...
... the share has increased by **0.2 percentage point.**

Share of Mercator Pika card purchases in total retail revenues	Slovenia	Serbia	Croatia	BiH	Monte negro
As at December 31st 2005	44.1 %	30.9 %	25.0 %	44.0 %	-
As at December 31st 2006	48.3 %	22.6 %	26.0 %	35.6 %	-
As at December 31st 2007	**49.7 %**	**24.7 %**	**32.0 %**	**36.3 %**	**-**

! **New features in 2007**

- In July 2007, we introduced a special **Mercator Pika business card**, which enables business entities, individual entrepreneurs, societies, and other institutions, favorable and convenient payment for their shopping at Mercator outlets in Slovenia.
- In October 2007, the company M-Rodić, d.o.o., Serbia, was included into the Mercator Pika card system.
- We successfully completed the project of redesigning or setting up Mercator's corporate website and the Mercator Pika card website in all markets of our operations.
- We designed a new image and policy, or orientation, of Mercator Pika card marketing communication.

- In all markets of Mercator Pika card operation, we organized various campaigns and events for the Mercator Pika card holders.

☑ Mercator web store

- In April 2007, we extended the Mercator web store Celje to the wider town area; in October, we launched the web store in Zagreb, and in December, we launched the Mercator web store in Kranj.



- **In 2007, Mercator web store reached 76 percent growth of revenues compared to the year before.**

☑ Maxi Club

In February 2007, we founded the **Maxi Club** and developed a customer loyalty program for the club members. Maxi Club was founded in order to retain the holders of Maxi card after its discontinuation; maxi card holders were invited to join the Mercator Pika card system. We also launched the website www.klubmaxi.si, enabling subscription for the e-news. By December 31st 2007, 4,658 Mercator Pika card holders had joined the club. In addition, **automatic monthly creation of loyalty coupons** was introduced for the Maxi Club members; these coupons are created based on past purchases in the Maximarket convenience store.

☑ M mobil

- By launching the **M Mobil** service in 2006, we became the first retailer to enter the mobile telephony market.

- As of February 2007, we introduced new services within the strategy of linking the 'M Mobil' project with the trade / FMCG offer – "More on the line, more on Pika". This is intended to communicate the introduction of the 'M Mobil' bonus system that will be linked to the sum spent on 'M Mobil' account.

- We also opened several independent M Mobil sales-info units in some Mercator centers.

☑ 'Healthy Lifestyle' – 'Uživajmo zdravo'

- In June 2007, the 'Healthy Lifestyle' club celebrated its first anniversary. The club is intended for people of all ages who are bound by the idea of Healthy Lifestyle. In 2007, several prize contests carried out for the club members, as well as other benefits related to the favorably priced offer of products for a Healthy Lifestyle. We also redesigned the club website at www.uzivajmozdravo.si; the site containes club-related contents to be view by the club members. On December 31st 2007, the Healthy Lifestyle club had a membership of 17,526.

☑ M Holidays

- In 2007, our offer was extended with the **M holidays** service which includes marketing of tourist arrangements in cooperation with the Kompas travel agency. For the summer of 2007 and winter of 2008, we issued a catalogue with a comprehensive offer for main seasons of holidays and travels.

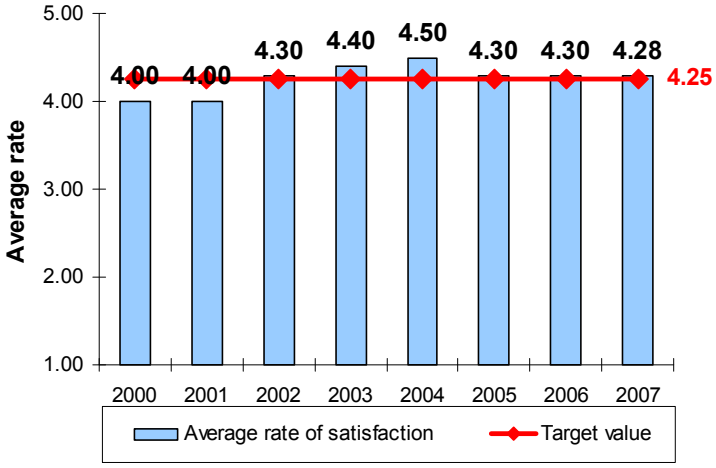
- In September 2007, we opened the first M Holidays office in the Maximarket passageway; in December, another one followed as a part of the extended Mercator Center Ljubljana.

☑ Measuring the satisfaction of Mercator's customers

- A satisfied customer is our greatest wealth; therefore, we have continuously, twice per year, conducted the survey **Measuring the satisfaction of Mercator's customers** since 2000.

- In 2007, **average level of satisfaction of Mercator's customers in the field of market program** in Slovenia amounted to 4.28, which is at approximately the same level as in 2006.

Average customer satisfaction level in the years 2000 – 2007
in the field of market program in Slovenia:



Source: AC Nielsen, VALICON, 2000–2007.

- Based on the research, we formed several target groups of customers to which we wish to adapt the marketing mix – the offer, service, and marketing activities. Primarily, we are focused on satisfying the broadest range of requirements of **families with adolescent children**; however, other target groups are also of major importance to us: **families and single-member households with average and above-average income without children, retired population,** and **students**.

Development of private label lines

☑ Mercator private label...

... The Mercator private label is a permanent strategic project, present throughout the Mercator retail network, in all franchise stores, and the Cash&Carry stores.

... The concept of development of products from a particular line is based on the development of products adapted to a particular target group.

... Key characteristics of the Mercator private label products are above-average quality, favorable prices, and distinctive graphical image of each line; the project includes products from all categories.

! In 2007, communication related to various private label lines continued to be focused on attaining the following goals:

- reinforcing the reputation and distinctiveness of the private label lines;
- increasing the number of products offered under private label lines;
- growth of the share of private label products in total sales revenues;
- promoting purchases by sales promotion activities and innovative communication;
- setting up and maintaining a dialogue with the customers – Mercator is a trustworthy partner.

Compared to 2006 ...
... the number of private label products rose by 417 products (1,324 products in 2006).

☑ Private label products are being developed within the following lines:

Mercator Line... **includes FMCG and offers the best quality to price ratio in the market.**

- In 2007, we were engaged in the redesign of product packaging.
- At the end of December 2007, the line included **579** products, of which 299 were products with redesigned packaging.

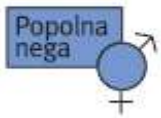


Generic line... includes FMCG for the most price-sensitive customers



- New generic line follows a clear goal – lower price in the market.
- These products are aimed at providing the best prices in the market, which was very important in the time of rising prices.
- At the end of December 2007, the line included **39** products.

Total Body Care... includes body care products intended for customers who shop rationally and are looking for high-quality cosmetic products at the most favorably prices





- In the second half of 2007, we defined the course of further development of the cosmetic line. This line will be comprehensively revamped, beginning at the start of 2008, in order to raise the line to a higher quality and price level, and to shape it into a more attractive and distinctive line of body care products.
- At the end of 2007, the line included **79** products.

Ambient Line... includes mostly products for interior decoration and design.

- The Ambient line replaces and upgrades the former M-line; it includes trendy high-quality products for home. The line features a new comprehensive graphical image and it will be related to the new store format 'Home and Ambiance'.
- At the end of 2007, the Ambient line included **27** products. The M-line is being discontinued and the products are transferred accordingly. At the end of December, the number of M-line products amounted to **382**.

Lumpi... includes products for children aged up to 6



- The Lumpi line follows a long-term communication strategy which is, in addition to expansion of the offer of products, oriented towards the development of brand identity to which attributes of education and didactics are added. In order to enhance the credibility of the Lumpi line products, we teamed up with the Ljubljana Pediatric Clinic and the Healthcare Institute Kranj to prepare the Recommendations and Guidelines of Future Development, considering the trends of healthy nutrition for our target group of children.
- At the end of December 2007, **429** products were included in the line.

The wishing table... includes products intended for everyone with a fast lifestyle, looking to spend his or her leisure time with family and friends, or for sports.



- Products included in this line enable simple preparation of a high-quality and tasty meal, while saving time.
- At the end of December 2007, **119** products were included in the Wishing Table line. By introducing new products, we also 'refreshed' the packaging.

Healthy living... includes products intended for everyone caring about a healthy way of life and wholesome nutrition.



- We strarted to adapt all declarations of the Healthy Living line to the new European regulations in the field of healthy nutrition.
- The goal of the communication campaign carried out in April 2007, with the central message "Do Something Good For Yourselves!", was to raise the level and credibility of this line of products.
- As at the end of December 2007, **87** products were included in the line.

Development of the private label lines also includes the project **"Five a Day – Let some Colour Into Your Life"** which is aimed at motivating our customers to consume more fruit and vegetables. In January, we carried out an extensive marketing campaign with the aim to promote the sale of the fruit and vegetables category, which included handing out presents to our customers, depending on the total of purchase receipts collected.

The development of the project "Five a day – Let some Colour Into Your Life" also included the line of freshly squeezed uices with 100-percent fruit content **5 per day O.K.** ("smoothie") and the line of traditionally produced products of higher quality and of Slovenian origin, called "**Five a day Premium**"; both were launched simultaneously with the opening of the refurbished hypermarket Ljubljana in September.

Due to increasing demand for organically grown products, we decided to include them in all existing private label lines .Therefore, we developed the "**EKO**" symbol as the binding element on the packaging and in communication. At the end of December, 26 products were labeled with this symbol.

As of March, the **M – Lottery Ticket**, prepared in cooperation with the Sports Lottery, was introduced in Mercator aisles. we also carried out the sales promotion campaign of the Mercator private label which included a flyer with all private label lines.

☑ **Number of products under the Mercator private label**

! As at December 31st 2007, a total of 1,741 products were included into the Mercator private label; these products are being developed in all markets of our operations.

Number of Mercator private label products	2005	2006	2007
Slovenia	933	1,324	1,741
Serbia	486	603	438
Croatia	465	579	396
Bosnia and Herzegovina	650	542	621

Share of revenues generated by Mercator private label products in total retail revenues in 2007	
Slovenia	12.7 %
Serbia	0.9 %
Croatia	3.8 %
Bosnia and Herzegovina	1.7 %

Sales promotion projects

☑ In Slovenia, we carried out the following long-term projects in 2007:

- »**Every Day Low Price** «,
- »**Exclamation Mark!**«,
- »**Slovenian Basket**«.





☑ Short-term activities included **regular campaigns, hypermarket campaigns, and cash & carry campaigns**. We stepped up the focus on **weekend campaigns** that were also revised in June; their offer is based on fruit and vegetables. Sale of fruit and vegetables is also promoted with the project '**Vitamin of the Day**' (Vitamin dneva) which takes place every week from Tuesday to Wednesday.

☑ In **Hura!** discount stores we carried out several campaigns in 2007. Campaigns rounded in currently relevant topics are also backed by Hura! news.

☑ Sales promotion projects were also carried out in non-market programs. In **hardware and electronics** program, we carried out regular and specialized campaigns, as well as campaigns related to Mercator projects 'M mobil' and 'Healthy Living', and the hypermarket campaigns related to particular themes.
In Textile and beauty program, we carried out in the field of textile a post-season clearance sale and other season-related activities, sent a spring and fall letter to our best customers, and offered the service of fashion consulting. In addition, we organized

spring and fall Fashion Event in Maribor and Ljubljana. In **Beautique** perfume and drugstores, we carried out regular campaigns, make-up days, and customer loyalty activities based on collecting the stamps for bonuses. We are also preparing monthly attractive offer for the **Maxi Club** members.
Within the **Intersport** program, regular campaigns and winter and summer clearance sales were carried out; we issued program guides for running, roller-blade skating, trekking, and cycling, and we set up the redesigned and revised web portal.

☑ The campaign '**YES! Coupon**' was carried on. In this campaign, the customers who purchase products in the amount of EUR 50 or more on any Tuesday, receive a 'YES! Coupon' which entitles them to discount at shopping on the following Tuesday. In Serbia, we also carried on the project "**Kupon Utorak**" ("**Coupon on Tuesday**").



☑ We also carried out the **Chic customer loyalty program** that was extended to April 30th 2007 due to its popularity; on April 5th 2007, we launched a new customer loyalty program with the slogan '**Collect, enjoy, and live comfortably**' which ended at the end of September. In October, new customer loyalty program will be launched, called '**Collect and select!**' For the first time, the program was conceived based on a multi-program scheme, which has proven very positive; hence, the new loyalty program to be launched in April 2008 will also involve all programs.



☑ From June 18th 2007 to September 9th 2007, prize contest "**We are getting a car in Mercator...**" took place. Twelve customers selected by a draw, who submitted in time their prize coupons with corresponding stickers which they obtained upon purchases in FMCG stores or in regular campaign flyers, were presented an automobile Opel Corsa which they are entitled to use for two years.



☑ **Sales promotion activities that have proven successful in Slovenia, within all sales programs, are also being carried out in foreign markets.** In 2007, we focused in all markets primarily on improving price competitiveness and localization of all marketing approaches. We carried out long-term and short-term projects. Among the more notable ones were Tognana and Chic in Croatia and in Bosnia and Herzegovina, and customer loyalty program in cooperation with the supplier Metalac in Serbia.

Measures to control the growth of aliment supplier prices

The year 2007 has seen major changes in the global markets for agricultural raw materials and fuels. Increased demand for goods from rapidly developing countries, particularly China and India, and political turmoil in some parts of oil-rich parts of the world, caused a shock in the form of an increase in the prices of agricultural raw materials and fuels which could not be absorbed by the developed western economies in the sort run. As a result, Slovenia has seen an increase in the rate of inflation that was manifest in Mercator particularly in increased pressures throughout the supply chain in the field of alimentary products.

In this period, Mercator responded to the harsher conditions in Slovenia by intensifying the development of private label products, particularly in the most favorably priced generic line. We also decreased the margins on many products whose price had increased, thus mitigating the effect of price increases on the consumers. In cooperation with our suppliers, we further increased the number of products in special offers, thus offsetting as much as possible the effect of higher prices in the trade chain. The effect of price increases of raw materials used in stock breeding and fuels was also perceivable in foreign markets of Mercator's operations. In these markets, too, we carried out a wide array of activities to alleviate as much as possible the effect of the recent changes in the global markets on Mercator's loyal customers.



Store formats

Existing store formats

! One characteristic feature of trade operations of the Mercator Group is the diversity of its retail network with various store formats both in the market program and in specialized stores of hardware and electronics, textile and beauty, and sports program (Intersport).

Mercator centers and shopping centers

45 units

... are shopping centers with a wide offer of all Mercator programs, as well as the offer of other attractive service providers operating in leased outlets, and the offer of complementary services. Hence, our customers are offered everything at one place. These facilities are located in major urban centers.



Formats of market program outlets

742 units

Hypermarkets... Hypermarkets are located in larger shopping centers where people not only do their major weekly shopping, but also socialize and spend their free time.



Supermarkets and neighborhood stores... are located in larger residential and commercial areas, and are intended for daily shopping.



Comfort stores... Comfort stores are located in central or, downtown areas of larger cities. Their program mix is adapted to the requirements of contemporary urban customers who are faced daily with the lack of time. The emphasis is on fresh program and a wide assortment of ready-made food.



Web store... enables saving time and comfortable shopping.



Discount stores... offer customers rational shopping for basic FMCG. The offer is based on the best ratio between price and quality, while providing the most competitive products in the market.



Specialized store formats

389 units

...are developed for the purposes of activities that supplement our core activity or FMCG retail.

Hardware and electronics... comprises construction centers, independent combined hardware and electronics stores, and interior design and equipment stores.



Textile an beauty program

... comprises the following formats of textile stores, which differ by size, and the scope and level of offer: fashion Avenue ('Avenija mode'), Modiana, and Outlet stores.

... the offer of beauty program is presented under the Beautique brand (drugstores and perfume shops).



Intersport

... Mercator Group is the license holder for Intersport, the world's largest global chain or sports equipment stores; the license applies to the markets of Slovenia, Croatia, Bosnia and Herzegovina, and Serbia.

... Intersport stores are available to customers both within Mercator Centers as well as independently, i.e. as CITY SHOP stores located in the centers of major cities. In tourist resorts, we are developing the so-called SKI&RESORT stores.



Composition of retail units as at December 31st 2007

MARKET	SLOVENIA	SERBIA	CROATIA	BiH	MONTENEGRO	MERCATOR GROUP		
ACTIVITY	Number of units	Number of units	Number of units	Number of units	Number of units	Number of units	Gross sales area	Net sales area
Hypermarkets	**18**	**10**	**13**	**4**	**-**	**45**	**234,940**	**145,996**
Supermarkets	**126**	**24**	**25**	**2**	**3**	**180**	**201,005**	**129,299**
Superettes	**299**	**18**	**48**	**-**	**5**	**370**	**153,003**	**87,552**
Neighbour stores	**90**	**6**	**21**	**1**	**2**	**120**	**20,077**	**11,035**
Cash & Carry	**10**	**1**	-	-	-	**11**	**17,374**	**11,673**
Hard discount stores	**16**	-	-	-	-	**16**	**12,866**	**9,348**
TOTAL FMCG programme	**559**	**59**	**107**	**7**	**10**	**742**	**639,266**	**394,903**
Technical programme	**114**	**2**	**13**	**-**	**-**	**129**	**150,942**	**81,672**
Technical programme	79	-	11	-	-	90	112,425	52,971
Furniture programme	35	2	2	-	-	39	38,517	28,700
Clothing programme and drugstores	**104**	**10**	**29**	**5**	**0**	**148**	**64,693**	**53,286**
Clothing programme	87	6	29	4	-	126	62,012	51,181
Drugstores and perfumeries	17	4	-	1	-	22	2,682	2,105
Intersport	**28**	**4**	**19**	**4**	**-**	**55**	**28,532**	**21,899**
Restaurants	**25**	**6**	**17**	**9**	**-**	**57**	**17,376**	**10,153**
Other	-	-	-	-	-	-	-	-
TOTAL specialised programmes	**271**	**22**	**78**	**18**	**-**	**389**	**261,544**	**167,010**
TOTAL	**830**	**81**	**185**	**25**	**10**	**1,131**	**900,810**	**561,913**
Franchise stores	206	-	38	-	-	244	45,514	29,231
TOTAL with franchise stores	**1,036**	**81**	**223**	**25**	**10**	**1,375**	**946,324**	**591,144**

The table also includes retail units of the companies Presoflex, d.o.o., and Mercator-Mex, d.o.o., with whom a strategic alliance was completed in 2007.

Development of new store formats in 2007

! By developing store formats, we are pursuing our defined strategic marketing policies at the point of sale, addressing the issue of technological development, and introducing modern technological solutions at points of sale.

! In 2007, we offered our customers some new store concepts.

Type A hypermarket in Ljubljana



- In September 2007, after a refurbishment, Mercator hypermarket in Ljubljana was again opened. Here, an entirely new store concept was implemented, as developed in cooperation with the renowned agency JosDeVries.
- Hypermarket is intended for the most demanding customers and it offers carefully designed, attractive shopping environment with a rich choice of high-quality goods at favorable prices.
- Major emphasis is placed on attractive, pleasant, colorful, and varied shopping environment created by a shopping ambiance neatly arranged around shopping

streets, fresh program in the comprehensive image of a marketplace, and a defined concept of individual departments.

- In addition to the features listed, we extended our offer with a wide array of additional services which at the same time represent our major competitive advantage compared to other retailers.

Comfort store in Zagreb

- In September 2007, a comfort shop was opened in the renowned trade center Importanne Gallery in the center of Zagreb; by type, such outlet is a super-standard FCMG retail unit. It is primarily aimed at customers with above-average shopping demands, as they:
    - expect comfort during shopping – due to their stringent and stressful daily schedule, these customers tend to seek increasingly more comfort in their leisure time;
    - are aware of the importance of healthy and safe nutrition – pronounced care for healthy nutrition affects shopping decisions;
    - appreciate multiculturalism – the consumer is in contact with foreign cultures and has experience with ethnic cuisines, which increases the demand for this type of aliments.
- Apart from additional services, the entire image of this facility includes modern store equipment and harmonious interior design. Sales assortment includes the basic offer and more prestigious products; furthermore, the store offers several sales services that represent added value in shopping.

Home and ambient store in Ljubljana

- In October 2007, we opened a Maxi Ambient store in the passageway of the Maximarket store in Ljubljana. It is a store with modern and attractive products for home, i.e. interior design and equipment. The store represents a new format in Mercator's offer, distinctive for select products and accessories for home and household, which are trendy, ambiance-oriented, color-matched, and harmoniously combined with furniture. The offer creates a pleasant shopping experience and offers numerous ideas for any home.

- Carefully selected products of middle and higher price range, by renowned brands, include the offer of three basic groups of products:
    - kitchens,
    - bathrooms,
    - living room.

Fashion Avenue in Ljubljana

- In December 2007, we opened a unique, contemporary, and attractive textile store, the **Fashion Avenue** in Ljubljana. The store is the first of its kind in Slovenia, and it is intended for the most demanding customers, as its wide offer of clothing and fashion accessories on over 2,000 square meters of sales area includes a number of attractive renowned brands signed by great names from the world of fashion.

- The store follows the concept of a multi-designer store, thus complementing the offer of brands from higher price range, which is rather scarce in Slovenia.

Development of new technologies and services in 2007

Introduction of Tik Tak self-check-out cashiers

- In the beginning of 2007, Mercator was the first among the Slovenian retailers to introduce self-check-out cashiers called ' Tik Tak'; these machines were installed in hypermarkets in Mercator Center Celje and Mercator Center Koper.



- After the shopping is completed, the customer may read out independently the EAN codes of all selected products, use any discounts and benefits, and complete the shopping by the payment method of choice.

- Following a positive response by the customers, the introduction of self-check-out cashiers was carried on; hence, these were installed in nine more hypermarkets by the end of the year. We were the first retailer to introduce such technology in the Croatian market (hypermarket in Rijeka). Customer response to using the self-check-out cashiers are very favorable in all hypermarkets, as these cashiers account for an average of 20 to 25 percent of total purchases, in some hypermarkets even more.

Introduction of info-stands in Mercator outlets

- In some hypermarkets, info-stands were installed to offer our customers a completely new, high-quality shopping service that generates added value and improves customer satisfaction when shopping in Mercator.

- The info stands employs touch screen displays to enable the customers to browse for detailed information on particular products such as a bottle of wine, a type of fruit or vegetable, or a type of meat. One of the key functions of the stand is also the display of recipes for particular dishes or recipes that go best with the selected bottle of wine. The selected recipes can be either printed at the stand, or sent to desired address by e-mail.

Introduction of new services

- The opening of the refurbished hypermarket in Ljubljana introduced some additional services aimed to create value added for the customers who demand and expect more when shopping. Considerable emphasis is placed on the offer at fresh program departments, delicatessen, and the culinary island with a '**warm meal station**'.

- In cooperation with an external service provider, Mercator also started introduced photography services which are offered at the acoustics department, as a part of the 'photo corner'. Customers can now order and collect their photos at the point of sale, or produce their own photos at the '**photo stand**'. Furthermore, customers will be offered the option to place their orders via internet and collect the photos at selected Mercator outlet.

- Another feature introduced upon the opening of the refurbished hypermarket in Ljubljana was the service called '**Recipe of the week**' which is intended primarily to facilitate our customers' decisions on what to prepare for lunch. Thus, Mercator teamed up with expert Mr. Oseli to prepare the recipe of the week, along with a complete offer of products required to prepare the dish.

- Added value for our customers at the Ljubljana hypermarket is also provided by new offer of products for the connoisseurs – the so-called **gourmet corner**. The offer of the gourmet corner comprises select specialties from across the globe, intended for the bon vivants who love to engage in new experiences and who are prepared to pay more for them.



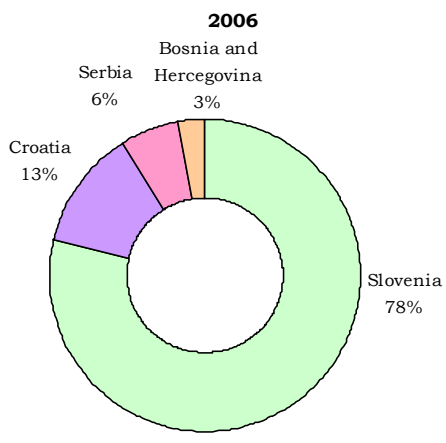
Sales

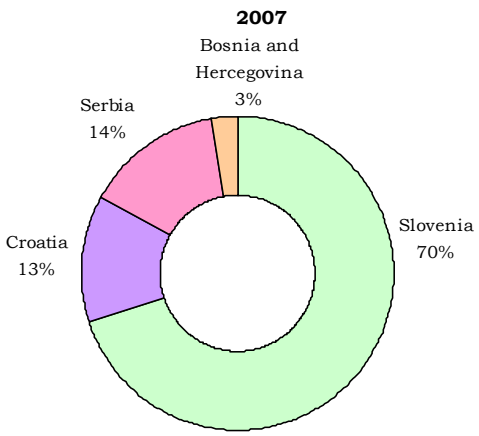
In 2007, Mercator Group generated EUR 2,445 million of **net revenues from sales**, which is 18.4 percent more than in 2006.

Net revenues from sales in the Mercator Group by geographical segments

In Slovenia, Mercator Group net revenues from sales in 2007 amounted to EUR 1,713 million, which is 5.7 percent more than in 2006. The increase is related primarily to intense marketing activities and opening of new and refurbished retail units.

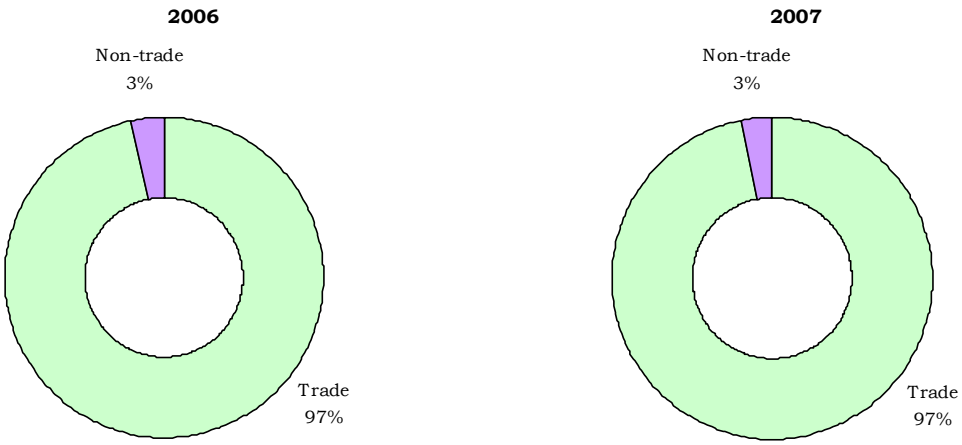
In markets abroad, net revenues from sales amounted to EUR 732 million in 2007, which is 65.2 percent more compared to the year 2006, and is the result of inclusion of operations of the company M-Rodić, d.o.o., in the last quarter of 2006, and Presoflex, d.o.o., as of August 1st 2007, into the Mercator Group, as well as intense development of the retail network.



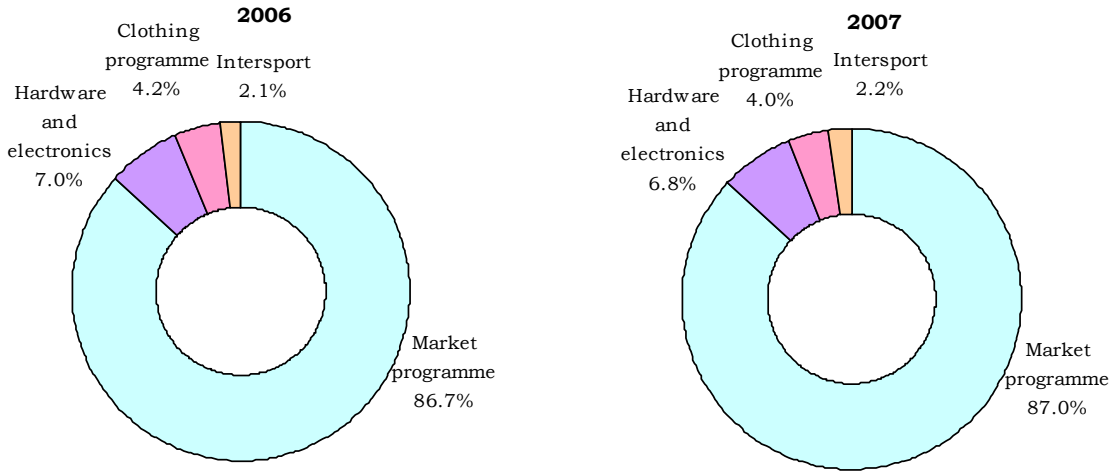


Net sales revenues of the Mercator Group by business segments

Mercator Group generated 97 percent of its total net revenues from sales in **trade operations**, while the remaining three percent derive from **non-trade operations**.



The largest share of net revenues from sales generated by the Mercator Group in trade operations in 2007 derives from **market program**; this share amounts to 87.0 percent; the share of net revenues from sales generated in other **specialized trade programs** amounts to 13 percent.





Category management and supplier relations

In 2007, **supplier relations** were based on the following:

☑ **Establishment of mutual relations by the principles of category management**, which enable an objective approach to business relations;

☑ **Increasing the benefit or effectiveness of mutual cooperation,** predominantly by:

- cutting costs and improving productivity,
- changes in the method of distribution,
- reducing the size of packaging,
- activities for introduction of semi-pallets,
- improved inventory management,
- decreasing delivery failures,
- ensuring market differentiation of Mercator's offer compared to the offer of discount retailers,
- implementing other measures for establishing long-term cooperation and mutual business benefit consistently with the marketing strategy of both Merctor and its partners.

☑ **Marketing healthy and safe food and other products.**

The suppliers must provide a marketable and attractive assortment, suited to the requirements and preferences of a modern consumer. Consistently with the principles of category management, we started to introduce into the assortment new products and optimized them accordingly, as well as pursued appropriate pricing policy, promotion policy, and positioning in the aisles. Particular attention was paid to assortment of target categories, with emphasis on fresh programs. We conducted further activities of increasing the purchases from common and global sources.

Upon opening a refurbished Mercator center in Ljubljana, we introduced additional offer to the new hypermarket, suited to the most demanding customers. We also introduced some special assortments that reflect our social accountability, such as **fair trade products**.

We also devoted more attention to creating innovative sales promotion activities oriented towards marketing products of target categories (e.g. fruit and vegetables, fresh programs, non-alimentary products) and other more durable projects such as Every day Low Prices, Slovenian Basket, and Private Label. Sales promotion activities were also related to some new projects such as M Holidays, M Mobil, various new clubs, skating rinks, etc.

A lot of attention was also devoted to cooperation with suppliers in foreign markets, in particular to optimization of such cooperation.

At the end of September 2007, we also commenced the negotiations with suppliers for 2008, and completed them in the market program towards the end of the year.

In the second half of 2007, particularly in the last quarter, we were faced with high growth of product prices from our suppliers, particularly in the segment of dairy products, meat and meat produce, bread and pastry, and cereal and oil products. In Mercator, we tried to mitigate the price pressures in relations with suppliers as much as possible; by lowering the margins and other marketing measures, we contributed to alleviation of price pressures on the consumers.

Category management

In 2007, we carried on our category management activities. The measures were first implemented in pilot hypermarkets; subsequently, they were rolled out to the sales network of supermarkets and superettes. The measures include improvements in the field of assortment selection and placement and layout of products in the aisles.

Due to the transition to active category management, organization was also adapted to the process. Standard model of organization was prepared for the executive fields of market, textile, and hardware and electronics, with straightforward control and decision-making processes, and clearly defined tasks and responsibilities.

To monitor the results of the implemented measures, automated and structured method of key performance indicator monitoring was introduced at the level of particular categories.

With regard to the improvement of conditions for the private label products, a purchasing team in charge of tenders for applications was appointed, and the process was modernized and harmonized. Starting from the most relevant to the least relevant categories of private labels, demand queries are sent to current and new potential product suppliers, and supplier negotiations are conducted.

The method of monitoring individual categories and implementation of measures to improve the performance of categories by the principles of category management, has become a daily routine; such is also the usual practice in the globally major retail chains.



Logistics

The sector of logistics continued to provide quality logistic services for all customers. Major changes have been introduced in the processing of orders. In addition to monitoring of the arrival of orders and agreed delivery schedules, the activities include daily supervision of the deliverability level of products, delivery punctuality, and occupation of logistic capacities for the performance of daily extent of logistic services.

Within the scope of carrying out four strategic programs for increasing competitiveness the Company continued to evolve the **logistic infrastructure optimization project**, with the following major activities being carried out in the relevant period:

In Slovenia:

☑ **Integration and consolidation of warehouses:**

- ✓ Closing the refrigerated goods warehouse in Nova Gorica, and redirection of supply to the refrigeration storage center in Zalog;
- ✓ Preparation of documentation for the organization of freight handling facility for coastal region at the Sermin location;
- ✓ Preparation of documentation for movement of fruit and vegetable warehouse Maribor to the new location of Bohova, and clearing the existing location for the construction of C & C center;
- ✓ Termination of lease for the paper warehouse facility in Ljubljana;
- ✓ Redirection of market program supply from Velenje to Ptuj and Ljubljana; vacated warehouse in Velenje will be used for hardware storage requirements. This will result in canceling the idle warehouse location in Šmartno ob Paki, and consequently reduction in the number of logistic centers;
- ✓ Prepared plan for the redirection of frozen goods from Ptuj warehouse to Naklo with the purpose of concentrating the product groups;
- ✓ Prepared detailed storage plan as a basis for the implementation of the G.O.L.D. – STOCK program in the frozen goods warehouse Naklo.

☑ **Activities for the construction of central Mercator Logistics Center:**

- ✓ Completed analyses of tendered projects and carried out first round of negotiations;
- ✓ Completed study of geotechnical and hydro-geological research of soil;
- ✓ Contracting agreement between Domžale Municipality and the contractor ICJ, d.o.o., for the construction of sanitary infrastructure in Želodnik is in the stage of preparation.

☑ **Introducing computer support for automatic stock refurbishment:**

- ✓ pilot implementation in the DC Slovenčeva.

On foreign markets:

☑ **Activities for the harmonization of Mercator Group logistic services:**

- ✓ In Croatia and Serbia the Company carried out activities with the purpose of synchronizing the methodology and criteria for organizing the logistics in those regions in such way to achieve the harmonized development of logistics for the entire Mercator Group based on the same assumptions and references;
- ✓ Prepared concept for devising the development plans of logistic activities for Serbian market.



Organization and business performance quality

In the year 2007 the Company focus was placed on the development of organization structures, rationalization of business processes and standards, prevention of disagreements, and generally to active continuation of activities within the scope of strategic project for the overall optimization of business in the Mercator Group:

☑ The organization of trading companies abroad has been harmonized

The Company included new trading companies in Croatia and in Montenegro in the organization structure, and carried out related organization changes, required by the transfer of activities of the company Pekarne Grosuplje, d.d. (Bakery) to the parent company. New standards have been introduced for the determination of minimum correction number of staff for retail outlets. Activities also included the renewal of salary system, and preparation of new systemization of professional and managerial positions.

☑ Evaluation of external and internal quality management procedures

The Company carried out external assessment of quality management systems ISO 9001 in the companies Mercator, d.d., Mercator - H, d.o.o., and Mercator - BH, d.o.o., along with the regular internal quality management assessment. The Company developed and implemented the application for electronic direction of management meetings and other company meetings. It had also provided the required elements for electronic direction of managerial reviews, and for the electronic issuance and monitoring of corrective measures following the managerial review, external and internal assessments. The company M - Rodić, d.o.o. initiated the project for obtaining the ISO 9001 quality certificate.

☑ Performance of internal controls in retail outlets

The Company carried out internal controls in retail outlets, coordinated inspection reviews and disbursement of goods, and performed on the job training. It also participated in the preparation of guidelines for Proper Hygienic Habits and Procedures based on the HACCP system in butcher shops and fishmonger counters, adopted in July 2007 by the Board of Directors of the Chamber of Trading and Commerce of Slovenia. Butcher shops have been pursuing new guidelines, in addition to the introduction of new particular microbiological sampling program related to the prefabricated quantities of minced meat and meat products in particular outlets. The Company also introduced the new system of inspecting validity of documents for the alimentary products safety management, also including new documents for own internal controls in catering and butcher shops, and carried out functional training of target groups.

☑ **Performance of activities within the strategic project of general optimization of business**

Within the performance of **strategic project of general optimization of business, in the year 2007** the Mercator Group carried out activities for the increase of efficiency and reduction of costs of operations:

- We concluded development and training of users for the work with tools for precise planning of flexible distribution of working hours in retail outlets, for the automatic creation of orders in retail shops and warehouses, for warehouse capacity management, for planning of transport routes, for the delivery frequency management, and for inventory management in retail outlets.

- Within the business activities of market program retail outlets in Slovenia the Company succeeded to obtain the planned growth of productivity in retail units by the introduction of flexible distribution of working hours, in combination with other implemented measures in retail sector. We also arranged all prerequisites and carried out relevant preparations for the implementation of flexible distribution of working hours in the market program retail outlets in Croatia.

- Within the system of centralized procurement of non-trading goods and services the Company carried out optimization of processes, and synchronization of newly implemented SAP information system. This provided the required assumptions for the rationalization of operations regarding non-trading goods and services. We introduced the methodology of purchase management for the supply of non-trading goods and services based on profiling the procurement and selecting the procurement strategies, selecting suppliers, and integrating with them, along with perpetual enhancement of processes.



IT Support

Consistently with the **strategic project of IT system revision** we conducted activities in the following key areas in 2007:

☑ IT system revision

- As of January 1st 2007, we started to employ the IT solution **SAP** in all planned segments, i.e. accounting, controlling, and finance. In the field of investment management, we prepared the IT solution to be launched on January 1st 2008, while in the field of human resource management, we completed the Business Plan For Introduction of Modules For Human Resources and Emplyoee Compensation.
- In 2007, the transfer of activities of basic SAP modules (accounting, controlling, finance) to the markets of Croatia and Bosnia and Herzegovina was launched; the implementation is planned to start in 2009.

- Within the material operation project, the project was completed and the time schedule was prepared for the introduction of the **G.O.L.D.** system which will be introduced in all trade companies of the group.

☑ Support to general operations optimization projects

- we introduced the IT support for automatic preparation of the order proposition in market retail units, and IT support for planning the flexible working time allocation in outlets.

☑ IT support to management and decision-making

- The data warehouse of material operation and CRM was extended and upgraded.

☑ IT support to warehouse management and logistics

- We upgraded the IT support for transport route planning and paperless operation in warehouse, introduced a system for compiling orders by employing distributors, and implemented, as a pilot project, the automatic ordering system in Mercator – H, d.o.o.

☑ IT support to retail

- We carried on the unification and harmonization of IT support to retail and introduced the Tik Tak self-check-out cashiers (in a total of nine retail units in Slovenia and one in Croatia).

☑ Infrastructure and safety

- The transition of data warehouse to the new platform was carried out, infrastructure for material operation (G.O.L.D.) was set up, access to the Internet was doubled in Slovenia and foreign markets, the upgrade and revision of LAN and WAN networks was carried on, and the Citrix environment was extended in Bosnia and Herzegovina;

☑ Teamwork and electronic operation

- We introduced an (e-)bulletin and e-councils, and included new suppliers to the computer data exchange system (a total of 196 suppliers are included).

- In the company M - Rodić, d.o.o., the harmonization of IT support for retail and wholesale was completed in compliance with the standards of support to the companies of the Mercator Group in markets abroad.



Financial operations

☑ Financial liabilities

Mercator Group financial liabilities rose by 4.3 percent in 2007 compared to the end of 2006; this is mostly a result of investment dynamics in all markets of the Group's operations.

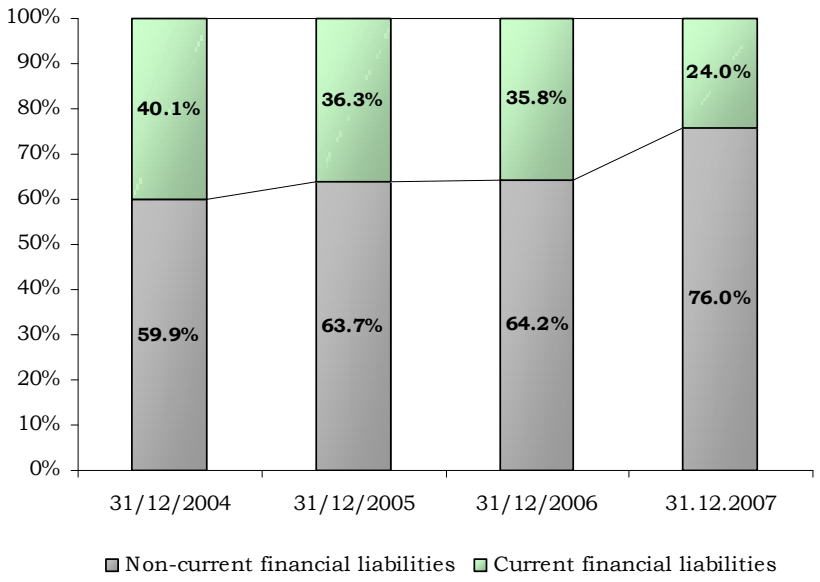
☑ Capitalization ratio

As at the end of 2007, the capitalization ratio of the Mercator Group amounted to 1 : 1.19 (at the end of 2006, the ratio was 1 : 1.21); this is the ratio between equity – comprising disclosed equity plus provisions for liabilities and charges – and debt capital comprising non-current and current financial liabilities and non-current financial lease liabilities.

☑ Long term coverage of non-current assets

As at December 31st 2007, the long term coverage of non-current assets with non-current liabilities for the Mercator Group amounted to 89.5 %, which represents an improvement over the year before when the coverage was 85.7 %.

☑ Ratio between current and non-current financial liabilities



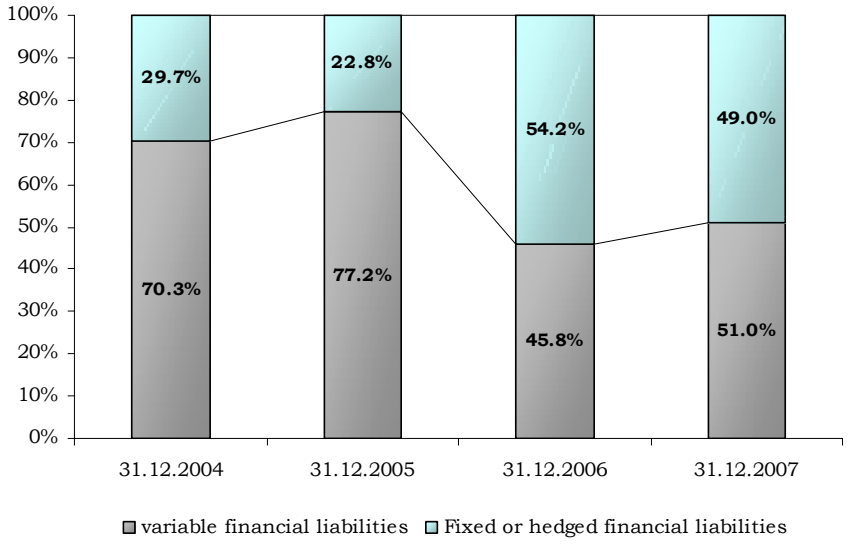
The composition of loans by maturity also improved considerably, as over ¾ of all financial liabilities of the Mercator Group as at December 31st 2007 were non-current.

☑ Obtaining sources of financing

- In the recent years, the company mostly took out loans with variable interest rate, while borrowing at fixed interest rate, particularly with current financial liabilities. As the last two years have seen a considerable growth in variable interest rates, we protected a part of Mercator's financing liability portfolio already in 2006, in the sum of EUR 350 million, by employing interest rate swaps and free interest rate collars.

- In 2007, Mercator took both long-term (non-current) and short-term (current) bilateral loans for financing new investment activities, as well as for refinancing the existing sources. During this period, the Group also signed three agreements on financial lease for the following facilities: Mercator Center Rijeka, Mercator Center Pobrežje, and Trade Center Nove Jarše, in total amount of EUR 34.2 million. Particularly in the markets of Serbia and Bosnia and Herzegovina, long-term operative lease of commercial facilities has become an increasingly important method of financing our investments; these facilities will be constructed for Mercator by local real estate partners.

☑ Ratio between variable and fixed or hedged financial liabilities of the Mercator Group



☑ Hedging financial investments in foreign markets from noncommercial risks

Mercator has taken insurance on its investments in the markets of Serbia and Bosnia and Herzegovina for the following risks:

- risk of transfer restrictions ;
- risk of expropriation (expropriation of property abroad);
- risk of war and civil disorder.

As at December 31st 2007, the company Poslovni sistem Mercator, d.d., had insurance policies with Slovene Export and Development Bank, d.d., for the following investments in foreign markets:

	Equity as of December, 31th 2007 (in 000 EUR)	Insurance (in 000 EUR)
Mercator - S, d.o.o.	76,010	72,608
M - Rodić, d.o.o.	146,613	113,328
Mercator - BH, d.o.o.	42,061	36,513
Skupaj	**264,684**	**222,449**

Over 80 percent of all investments into equity of subsidiaries in Serbia and Bosnia and Herzegovina is hedged from noncommercial risks.



Mercator share and ownership structure

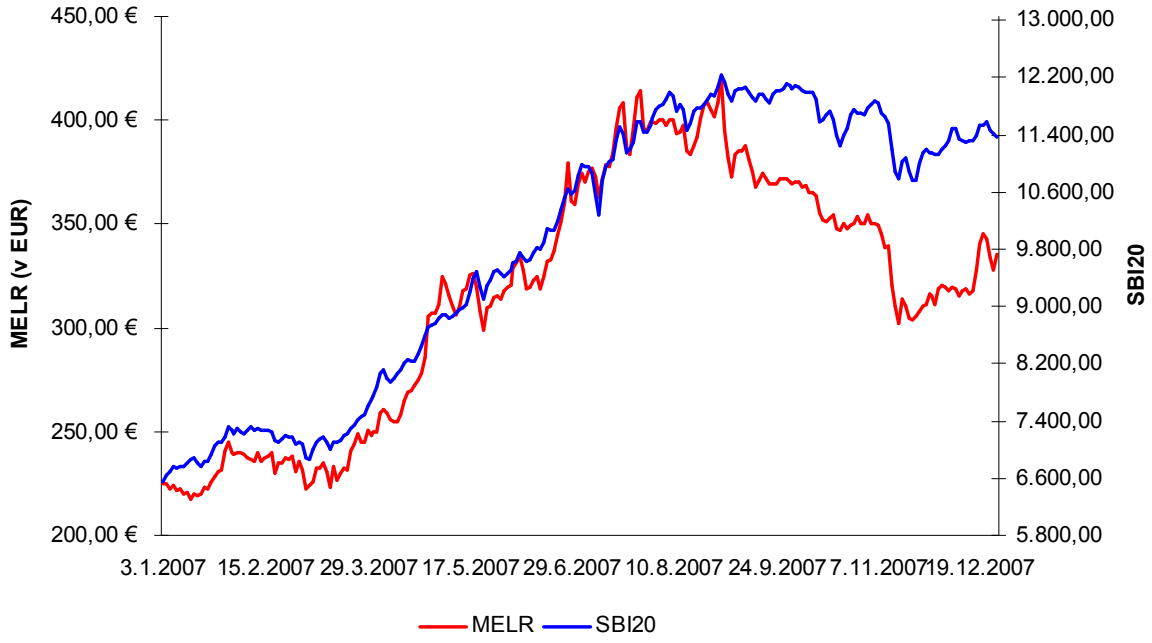
Mercator share

☑ **Share capital of the company Poslovni sistem Mercator, d.d.,** as at December 31st, was divided into 3,765,361 shares. Nominal price per share amounts to EUR 41.73.

☑ The shares of the company Poslovni sistem Mercator, d.d., are listed on the **prime market of the Ljubljana Stock Exchange, d.d.**, under the trading code **MELR**.

☑ Pursuant to provisions of the Securities Market Act and the Rules and Regulations of the Ljubljana Stock Exchange, d.d., the company **regularly informed the public of the results of its operation and other relevant events**.

☑ Movement of average price per MELR share in 2007, compared to the movement of the SBI20 index



☑ Key Information for the Shareholders

Shareholder Information	Dec. 31 2007	Dec 31 2006	Index
Number of shares registred in Court Register	3,765,361	3,765,361	100.0
Market capitalization (in EUR)	1,261,395,935	801,498,350	157.4
Market value of share (in EUR)	335.00	212.86	157.4
Book value per share (v EUR)	183.46	175.04	104.8
Annual low (in EUR)	217.82	146.12	149.1
Annual high (in EUR)	419.00	224.73	186.4
Weighted average market price, excluding block and cross trades (in EUR)	321.70	173.46	185.5
Earnings per share (in EUR)	9.5	6.8	139.3
Price/ earnings ratio (P/E)	35.21	31.17	113.0
Capital yield (in %)	57.38	38.35	149.6
Dividend yield (in %)	1.88	1.63	115.5
Total yield (in %)	59.26	39.98	148.2

Equity market capitalization is calculated as the product of the number of shares entered into Court Register as at December 31th, and the market price per share as at December 31th.

Basic net income per share is calculated as the ratio between profit of the company Poslovni sistem Mercator, d.d., and the weighted average number of ordinary shares in the period at hand, excluding treasury shares.

Share book value is calculated as the ratio between the value of equity of the company Poslovni sistem Mercator, d.d., as at December 31th, and the weighted average number of ordinary shares in the period at hand, excluding treasury shares.

Price/Earning ratio is calcualted as ratio between market price per share as at December 31th and net profit per share.

Return on equity is calculated as the ratio between market price per share as at December 31th of the period at hand, and the market price per share as at December 31th of previous year.

Dividend return is calculated as the ratio between dividend period paid per share and the market price per share as at December 31th.

☑ Dividend policy

At its regular meeting held on April 17th 2007, the Supervisory Board of the company Poslovni sistem Mercator, d.d., adopted the company dividend policy for the period 2007 – 2010. Based on the newly adopted dividend policy, the Supervisory Board and the company Management Board proposed to the Shareholder's Assembly in the years 2007 – 2010 the payment of dividend in the following sums:

- EUR 4.00 per share in 2007,
- EUR 4.25 per share in 2008,
- EUR 4.50 per share in 2009,
- EUR 4.75 per share in 2010.

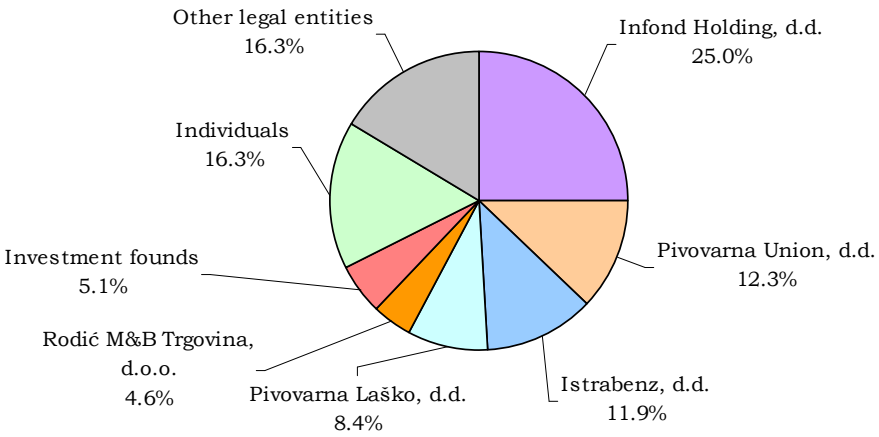
The actual sum of dividend per share for each business year respectively will be subject to Shareholder's Assembly decision. At the 13th regular Shareholder's Assembly held on June 27th 2007, the resolution on payment of dividends in the amount of 4.00 EUR per share was adopted.

The adopted dividend policy – considering the development, taxation, and other relevant issues – represents an appropriate compromise between dividend yield of the shareholders and allocation of net profit for financing company investment plans; on one hand, this will enable long-term maximization of shareholder benefit, while on the other hand it will support long-term growth and development of the Mercator Group. The actual sum of dividend per share in each respective year will be subject to the decision of the Shareholder's Assembly.

Company ownership strucutre

☑ As at December 31st 2007, the **Share Register** of the company Poslovni sistem Mercator, d.d., indicated **17,495 shareholders** or 298 more compared to the situation as at December 31st 2006.

☑ As at December 31st 2007, **the ownership structure of the company Poslovni sistem Mercator, d.d.,** was as follows:



☑ Major shareholders

As at December 31st, the following ten largest shareholders combined owned **72.6 %** of the company:

	Shareholder	Country	Number of shares	Ownership share
1	Infond Holding, d.d.	Slovenia	941,301	25.00%
2	Pivovarna Union, d.d.	Slovenia	464,390	12.33%
3	Istrabenz, d.d.	Slovenia	448,797	11.92%
4	Pivovarna Laško, d.d.	Slovenia	317,498	8.43%
5	Rodić M&B Trgovina, d.o.o.	Serbia	174,517	4.63%
6	Radenska, d.d.	Slovenia	96,952	2.57%
7	NFD 1 Delniški investicijski sklad, d.d.	Slovenia	92,181	2.45%
8	Smallcap World Fund	USA	69,933	1.86%
9	East Capital Balkan Fund	Sweden	68,170	1.81%
10	KLM naložbe, d.d.	Slovenia	61,490	1.63%
Total			**2,735,229**	**72.64%**

☑ Foreign shareholders

As at December 31st 2007, the share of foreign investors in the company Poslovni sistem Mercator, d.d., amounted to **13.32 %**, which is 0.08 percentage points less than at the end of 2006.

☑ Shares owned by Management Board members

As at December 31st 2007

Name and surname	Number of shares	Ownership share
Žiga Debeljak	1,100	0.0292%
Vera Aljančič Faležˇ	30	0.0008%
Mateja Jesenek	1,000	0.0266%
Peter Zavrl	60	0.0016%
Total	**2,190**	**0.0582%**

☑ Shares owned by Supervisory Board members

As at December 31st 2007

	Number of shares	Ownership share
Presidend of Supervisory Board		
Robert Šega	0	0.0000%
Members of Supervisory Board (representatives of capital)		
Matjaž Božič	0	0.0000%
Dušan Mohorko	0	0.0000%
Kristjan Sušinski	0	0.0000%
Mateja Vidnar	0	0.0000%
Members of Supervisory Board (workers representatives)		
Ksenija Bračič	0	0.0000%
Jože Cvetek	2,000	0.0531%
Dragica Derganc	0	0.0000%
Jelka Žekar	400	0.0106%
Ivica Županetić	0	0.0000%
Total	**2,400**	**0.0637%**

☑ Changes in the number of treasury shares

As at December 31st 2007, the company Poslovni sistem Mercator, d.d., owned 42,381 own, or treasury shares, which is 21,525 shares less than as at December 31st 2006, when it owned 63,906 shares. The decrease in the number of treasury shares by 21,525 shares is entirely the result of payment of purchase price for the 20 percent ownership share in the company Presoflex, d.o.o. The company disposed of its treasury shares in compliance with the authorizations issued at 12th Shareholders assembly. Upon this disposal, the controlling company also published on the stock market information dissemination system (SEOnet) the opinion on the fairness of transaction of disposal of treasury shares from the aspect of shareholders and the company.



Risk Management

In 2007, we carried on the activities in the field of **prompt and timely identification of opportunities and threats** occurring in the external and internal environment. We are managing these risks comprehensively and systematically, in compliance with our corporate culture.

Role, principles, and organization of the system

The Mercator Group Risk Management Committee was established to systematically manage the risks and monitor global trends in this field; expert knowledge is expanding particularly in the direction of **nonfinancial risks**, which is – contrary to **financial risk management** – a rather new area. Instruments, approaches, and methods of managing individual types of risk are being developed.

As a result of the need to monitor the risks and process them from the aspect of several expert fields, several Risk Management Boards were established to support the Risk Management Committee, as they cover the following three main areas of risks:

- ☑ business risks,
- ☑ operative risks,
- ☑ financial risks.

Risk perception and identification

Risk Management Boards are engaged in the activities of constant and continuous monitoring or control of key risks, identification of new risks to which the Mercator Group is exposed, they prepare the estimates of Mercator's exposure to particular types of risks, and carry out measures in compliance with the adopted policy in practice.

Definition of key risks in 2007

The following risks are defined as key risks:

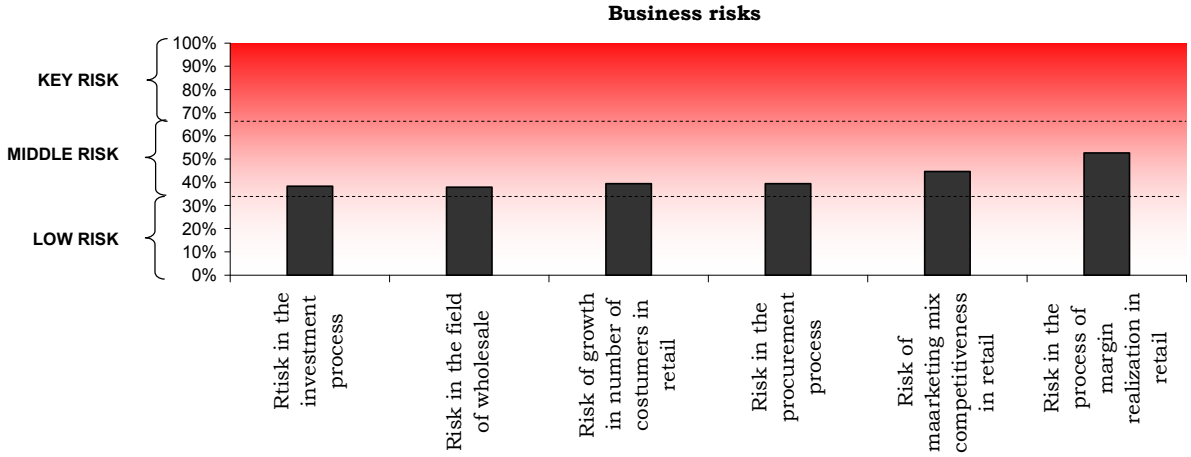
⇒ those where the level of possibility is defined as medium or high, and
⇒ where the damage potentially sustained by the Mercator Group upon the occurrence of the event would be extensive.

Most attention is devoted to those risks defined as key risks, as we adopt measures for hedging against these risks, measures that minimize the damage upon the occurrence of the event, or measures that decrease the probability of the occurrence of the event; thus, the risks is made acceptable.

Within the key groups of risks, particular attention was devoted in 2007 to the following risks that were defined as key risks for Mercator Group.

Business risks

! Business risks are those that may negatively affect the trajectory of market share and sales, investment process, procurement process, or relaization of relative price differential.

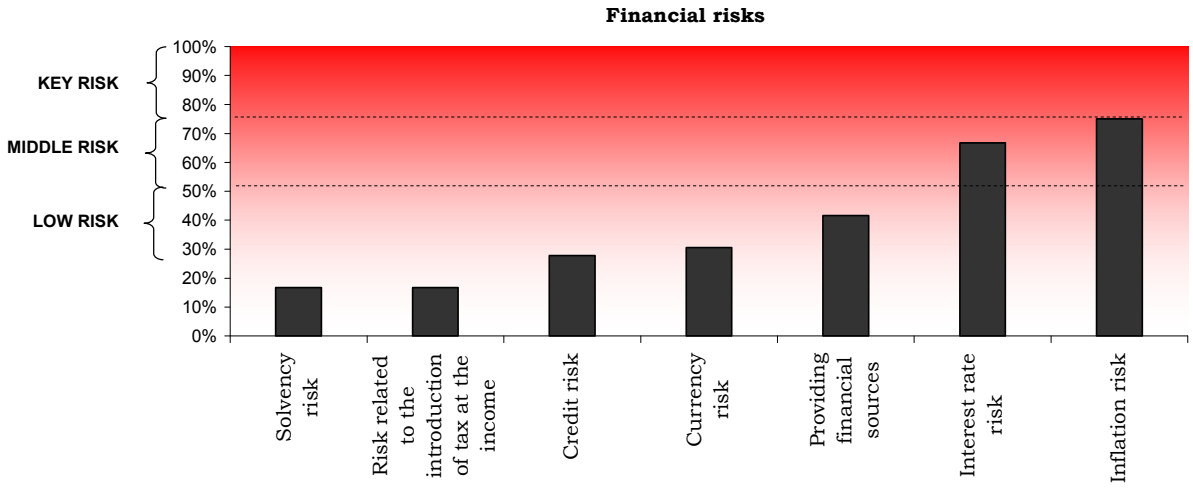


Summary of the key elements of business risks and the methods for their management

Type of risk	Risk management measures and methods
Risk in the process of poor price competitiveness and sales promotion projects in the field of retail	Continuous monitoring of marketing mix and taking action as required
Risk in the process of entry of new competitors	Comparative analysis of competition in the FMCG retail industry in markets of Mercator's operations and measures to differentiate Mercator's offer from that of the competitors, particularly discount retailers.
Risk of forming a comprehensive, varied, and attractive assortment for the customers	Considering shopping habits, changes in lifestyles, and feedback information provided by the customers.
Risks of forming supplementary offer in shopping centers (Mercator A program and program of other service providers - B program)	Sign new attractive and distinctive service providers to Mercator's shopping centers and establish a strategic partnership between them and the Mercator Group.
Risk related to deviation from realization of net revenues from investments, compared to planned values	Better selection of product assortment, appropriate pricing policy, appropriate human resources; also, investment controlling office was established.
Risk of weaker negotiating position in relation to multinational suppliers and foreign competition	Activities of entering the international sourcing chains in order to attain better purchasing / procurement terms.
Risks in the process of realizing price differential in the field of retail.	Extending the offer of additional non-alimentary programs and introduction of new products within the Mercator private label line development, additional promotional activities, assortment adjustments, and measures related to category management.

Financial risks

! Financial risks are those that may negatively affect the ability of short term (current) or long term (noncurrent) generation of financial revenue, management of financial expenses, maintaining the value of financial assets, and managing the financial liabilities.

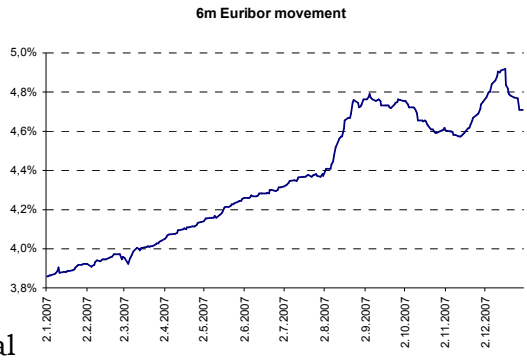


Following is a short description of the **key financial risks**.

inflation risk

In 2007, Slovenia has seen strong inflationary pressures caused primarily by the growth of raw material prices in global markets; this was also reflected in rising prices of alimentary products at our suppliers.

interest rate risk



Mercator's exposure to interest rate risk derives from the fact that approximately 50 percent of the group's financial liabilities are tied to the variable interest rate Euribor. This interest rate is subject to market fluctuations and is changing daily, which can lead to increased finance expenses. Mercator is continuously monitoring its exposure to interest rate risk, particularly the extent or share of financial liabilities tied to variable interest rate, variance and trend of changes in Euribor, price of interest rate swaps, market expectations, and macroeconomic forecasts.

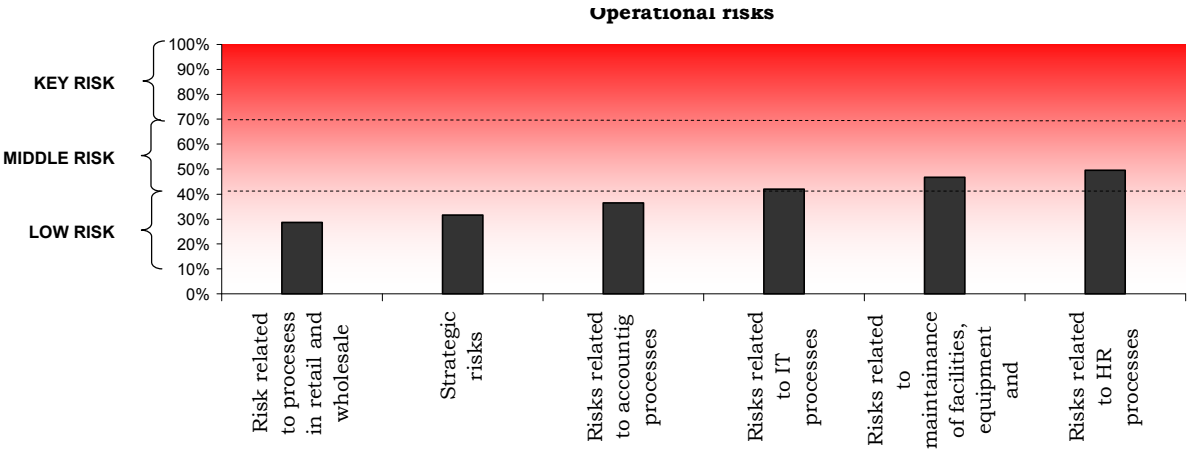
Also defined as key risk is the **currency risk in Serbia**.

Summary of key financial risks and the methods of their management

Type of risk	Risk management measures and methods
Currency risk in Serbia	Monitoring macroeconomic trends, adjusting the operations accordingly, hedging with derivative financial instruments, central management for the Group in the controlling / parent company.
Inflation risk in Slovenia	Measures in the field of purchasing / sourcing within category management, and measures in the field of marketing
Interest rate risk	Monitoring macroeconomic trends, policy of protecting / hedging the financing liabilities, use of derivative financial instruments, central management for the Group in the controlling / parent company

Operative risks

! Risks by particular business processes.



Summary of key elements of risks and the methods of their management

Type of risk	Risk management measures and methods
Risk of integration of new companies into the Mercator Group	Establishing a project group, cooperation of key areas in the company in charge of reaping the desired synergies.
Risks in maintaining business confidentiality	Regulation by company internal rules and regulations, particularly Rules and Regulations on Business Confidentiality.
Risks in providing safe food	Introduction of HACCP system, consistent consideration of reports of any deviations, and of recommendations by inspection authorities
Faulty operation of applications - software upon change or update	Increase in control in the process of making changes to the applications, testing, and inclusion of end users into the process of testing the solutions.
Risk of planning human resource potential	Change in the systematization of workplaces and payment system; fixed-term employment.
Risk of human resource information system	Establishing a system that will not depend on a single expert.
Risks of maintenance after realization and acceptance of investments (buildings) for regular operation	Further standardization of processes.
Fire and earthquake risk	Constant negotiations for more favorable premiums, appropriate scope of risk insurance
Risk of security incidents	Additional preventive measures of technical and physical protection / security.

Mercator Group estimates that, given the adopted and implemented risk management measures, its total exposure to business risks, financial risks, and operative risks, is at an acceptable level, and consistent with the Group's business policy.



Business performance analysis

Operations in 2007

..... are consistent with the defied strategy

Mercator's planned strategy of growth and attaining the position of the leading FMCG retailer in the Southeastern European region was also pursued in 2007 by effecting strategic combinations in foreign markets. We conducted a strategic alliance between the companies Mercator-H, d.o.o., and Presoflex, d.o.o., in Croatia, while in Montenegro we acquired a 51 percent ownership share in the company Mercator-Mex, d.o.o., at the end of the year.

Consistently with the strategy of focusing on our core activity of FMCG retail, the company Poslovni sistem Mercator, d.d., disposed of its 100 percent share in the company M Hotel, d.o.o., while options for obtaining appropriate strategic partners are being studied for the companies M-Emba, d.d., and Eta, d.d.

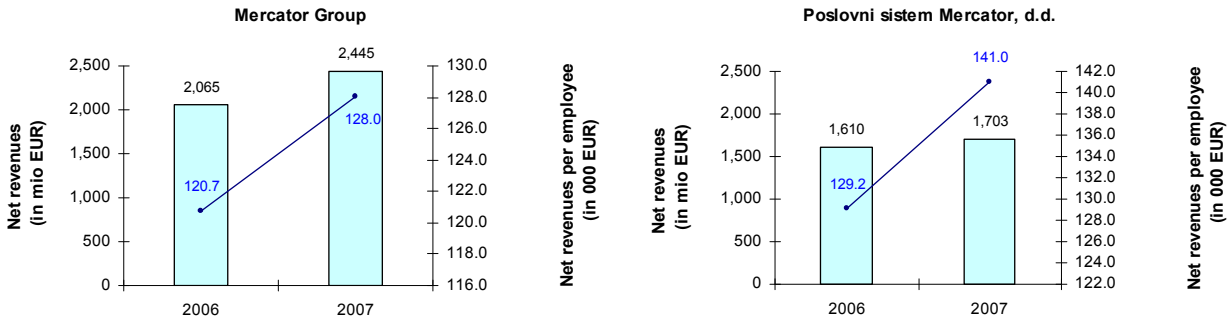
Analysis of operations

The analysis comprises the data for the Mercator Group and the company Poslovni sistem Mercator, d.d., and the commentary is focused on the entire Group. The company Poslovni sistem Mercator, d.d., has a double role within the Group: it is the parent and controlling company that owns all ownership shares in the Group's subsidiaries; simultaneously, it is the operative company, carrying out all trade and other activities in Slovenia. Thus, the application of financial statements of the company Poslovni sistem Mercator, d.d., for economic analysis of the operation of the Mercator Group is not appropriate. For such analysis, it is more sensible to apply only the consolidated financial statements that represent the performance of the Mercator Group as a uniform business entity.

☑ Sales and productivity

In 2007, Mercator Group carried on its successful increase in sales, which is consistent with the strategic goals until 2012. Generated **net revenues from sales** of the Mercator Group in 2007 in the amount of EUR 2,445,258 thousand have exceeded those in the year before by 18.4 percent; they also exceed the planned value for 2007, by 4.6 percent.

The company Poslovni sistem Mercator, d.d., generated EUR 1,702,734 thousand of **net revenues from sales** in 2007, which is 5.8 percent more than in 2006, and 5.7 percent more than planned for this year.



The contribution of **revenues generated in foreign markets** to the revenue growth for the entire Group is increasingly important. In 2007, Mercator Group generated 30 percent of all revenues in foreign markets, which is 8 percentage points more than in 2006 when the Group generated 22 percent of all revenues abroad. Growth of revenues in markets abroad was affected considerably by the inclusion of the company M-Rodić, d.o.o., into the Group in 2006, and inclusion of the company Presoflex, d.o.o., into the Group in 2007.

Net revenues per employees based on hours worked in the Mercator Group in 2007 exceeded those from 2006 by 6.0 percent. In 2007, the company Poslovni sistem Mercator, d.d., generated 9.2 percent more net revenues per employee based on hours worked than in 2006.

A detailed breakdown of sales by programs, markets, and formats, is indicated in the chapter "Sales".

☑ Costs of goods sold

Costs of goods sold in the Mercator Group, which include manufacturing costs, purchase price for goods and material sold, and other operation expenses, amount to EUR 1,802,814 thousand for 2007, which is 19.6 percent more than in 2006 ,and 5.1 percent more than planned for 2007. The growth of costs is mostly the result of increased scope of operations and general increase of purchase prices of products sold.

☑ Gross operating profit

Gross operating profit of the Mercator Group in 2007 amounts to EUR 642,444 thousand, which is EUR 84,699 thousand or 15.2 percent more than in 2006.

The share of gross operating profit in net revenues from sales of the Mercator Group in 2007 amounts to 26.3 percent, which is less than in 2006 when the share of gross operating profit in net revenues from sales amounted to 27.0 percent.

Decrease in the share of gross operating profit in net revenues from sales is mostly the result of lower margins due to competitive pressures and changes in the composition of sale of trade programs, as well as geographic composition of sales.

☑ Selling costs and administrative expenses

Selling costs and administrative expenses in the Mercator Group in 2007 amount to EUR 584,044 thousand, which is 10.0 percent more than in 2006.

The share of Selling costs and administrative expenses in net revenues from sale of the Mercator Group in 2007 amount to 23.9 percent, which is less than in 2006, when it amounted to 25.7 percent.

Growth of costs is lower than growth of revenues, which is the result of strong devotion to our strategic projects, particularly optimization of business processes, which is reflected by the improvement of cost efficiency and higher other operating revenues.

☑ Operating profit

In 2007, the operating profit of the Mercator Group amounted to EUR 81,441 thousand, which is EUR 30,665 or 60.4 percent more than in 2006, and matches the planned figure for the year. The increase compared to 2006 is based on higher net revenues, improved cost efficiency, and higher other operating revenues.

In 2007, the company Poslovni sistem Mercator, d.d., had EUR 60,769 thousand of operating profit, which is EUR 17,576 thousand or 40.7 percent more than in 2006, and 3.7 percent less than planned for the year 2007.

☑ Finance income and expenses

As a result of increased borrowings and rise of interest rates in the market, net finance expenses have also increased.

v tisoč EUR	Mercator Group		Poslovni sistem Mercator, d.d.	
	2006	2007	2006	2007
Finance income from interest	19,794	14,075	12,973	3,650
Finance expenses from interest	-34,188	-51,724	-27,200	-32,179
Other net financial income	342	10,683	527	12,604
Net finance expenses	**-14,052**	**-26,966**	**-13,700**	**-15,924**

Finance income from interest of the Mercator Group in 2007 amount to EUR 14,075 thousand, which is 28.9 percent less than in 2006. Finance income are mostly related to revenues from regular and extraordinary financing interest rates-

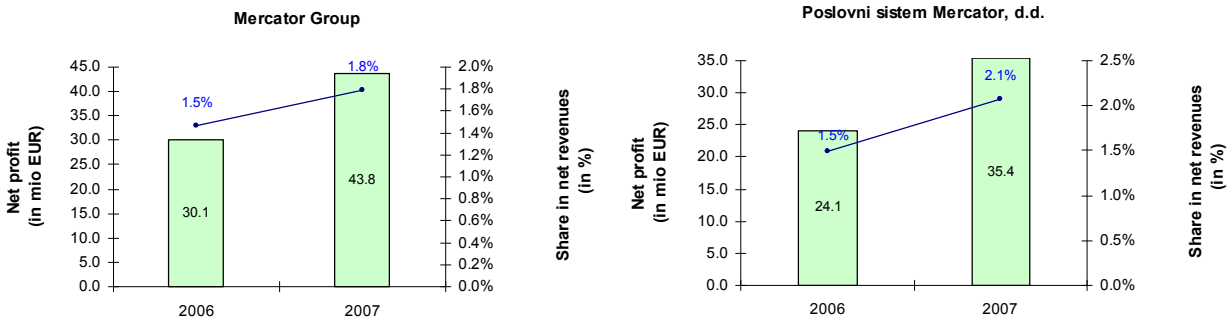
Finance expenses from interest of the Mercator Group in 2007 amount to EUR 51,724 thousand and are related mostly to expenses from regular interest paid on loans taken at commercial banks, and financial lease. Compared to 2006, these expenses grew by 51.3 percent, which is mostly the result of higher interest rates and larger scope borrowings.

Other net finance income of the Mercator Group in 2007 amounted to EUR 10,683 thousand in 2007, and are related to net finance income from shares, in particular to disposal of ownership share in the company M Hotel, disposal of ownership shares in

other companies, dividend received, and net revenues from currency translation differences.

☑ Profit for the financial period

In 2007, Mercator Group's net profit for the financial period amounted to EUR 43,814 thousand, which is 45.3 percent more than in 2006 and 44 percent more than planned for 2007.



In 2007, net profit for the financial period of the company Poslovni sistem Mercator, d.d., amounted to EUR 35,417 thousand, which is 47.0 percent more than in 2006 and 29.1 percent more than planned for 2007.

☑ Comparable Mercator Group profit / earnings before taxes

Since net profit of the Mercator Group and the company Poslovni sistem Mercator, d.d., for the years 2006 and 2007 was considerably affected by **extraordinary or unique accounting events**, in particular proceeds from disposal of business and financial assets, it is more sensible to compare the profit between the years excluding these effects. Comparable profit before taxes of the Mercator Group in 2007 amounts to EUR 43,306 thousand which is 33.8 percent more than comparable profit before taxes in 2006. The calculation of comparable profit before taxes is indicated in the following chart.

in EUR 000	Mercator Group		
	2006*	2007	Indeks
Gross cashflow from operating activites	129,718	162,046	124.9
Depreciation and amortization	72,424	81,091	112.0
Comparable operating profit	**57,294**	**80,955**	**141.3**
Interest paid	-34,193	-51,724	151.3
Interest received	9,259	14,075	152.0
Comparable profit before taxes	**32,360**	**43,306**	**133.8**

* For 2006, the gross cash flow from operating activities is adjusted for the value of repayment of taxes principals based on resolved tax disputes, in the amount of EUR 5,676 thousand, which otherwise represents a cash flow event, but still a unique / extraordinary one.

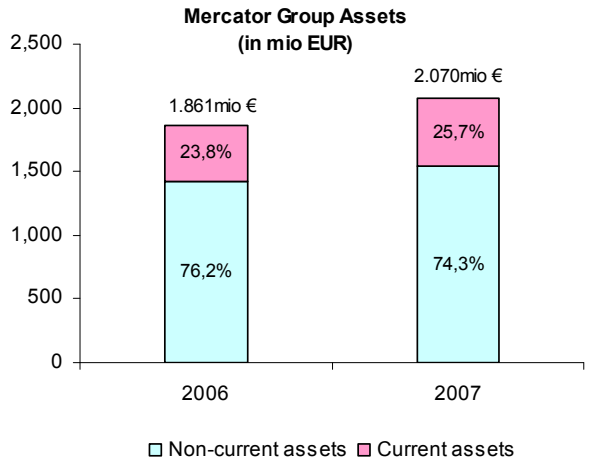
☑ Gross cash flow from operating activities of the Mercator Group

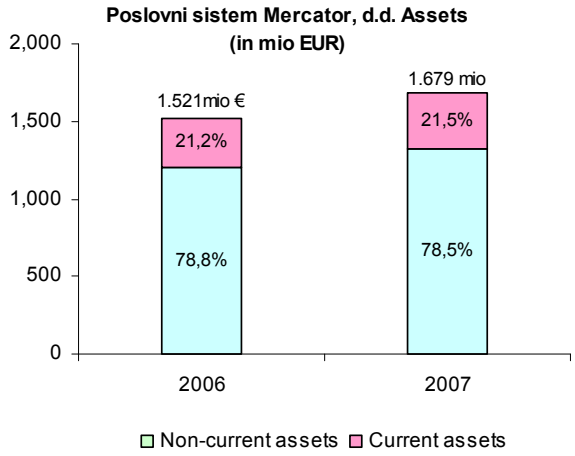
Gross cash flow from operating activities of the Mercator Group in 2007 amounts to EUR 162,046 thousand, which is 19.7 percent more compared to 2006, and exceeds the planned figure for 2007 by 5.8 percent.

A detailed breakdown of the calculation of gross cash flow from operating activities is given in the financial report in the cash flow statement.

☑ Composition of assets

Mercator Group's **balance sheet total** as at December 31st 2007, amounts to EUR 2,070,471 thousand, which is 11.2 percent more than as at the end of 2006.

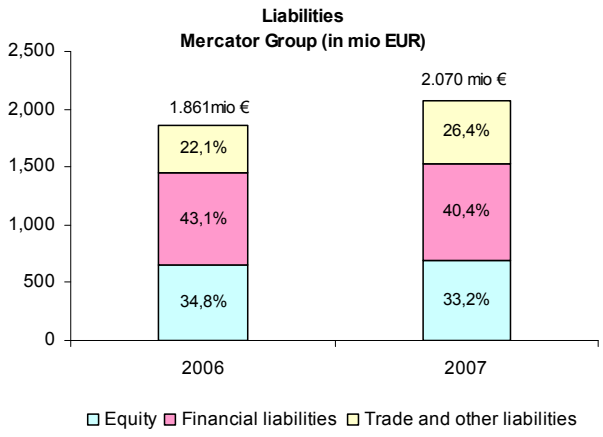


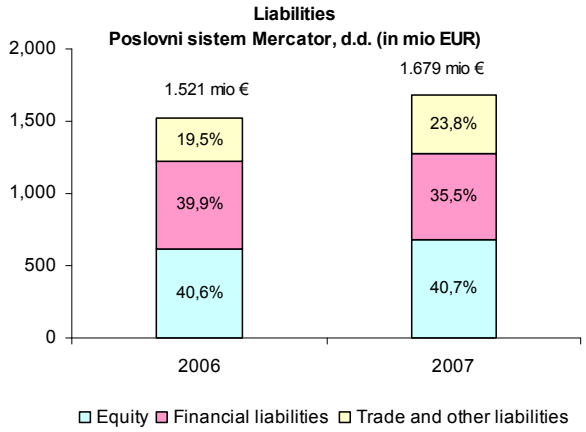


The change in the value of **noncurrent assets** of the Mercator Group as at December 31st 2007 compared to the status as at December 31st 2006 is mostly the result of investment, depreciation and amortization, disposal of commercially unviable assets (PPE), disposal of financial investments, and currency translation differences. The value of property, plant, and equipment, as at December 31st 2007 amounts to EUR 1,499,125 thousand which is 6.8 percent more than as at the end of 2006.

The change in the value of **current assets** of the Mercator Group as at December 31st 2007 compared to the value as at December 31st 2006, amounts to EUR 89,634 thousand and it is mostly the result of increased value of inventory and business and other receivables, mostly due to the expansion of operations and inclusion of new companies into the Mercator Group.

☑ Equity and liabilities





As at December 31st 2007, the **capitalization ratio** of the Mercator Group amounted to 1 : 1.19 (at the end of 2006, the ratio was 1 : 1.21); this is the ratio between equity – comprising disclosed equity plus provisions for liabilities and charges – and debt capital comprising non-current and current financial liabilities and non-current financial lease liabilities.

Equity of the Mercator Group at the end of 2007 amounted to EUR 688,194 thousand, which is 6.2 percent more than as at the end of 2006. Net increase is predominantly relate to increase for net profit in 2007, increase due to disposal of treasury shares, increase for the change in fair value of derivative financial instruments, increase for special capital revaluations, and decrease for dividend payment.

Business and other receivables of the Mercator Group compared to the beginning of 2006 rose by EUR 130,336 thousand, which is mostly the result of increased scope of operations and the revised current liability management policy.

Financial liabilities of the Mercator Group rose by EUR 34,150 thousand, or 4.3 percent, compared to the beginning of 2006; this is mostly the result of revised current liabilities management policy in 2007. In the composition of financial liabilities, long-term financial liabilities represent 76.0 percent, while short term financial liabilities account for the remaining 24 percent of total financial liabilities.

In view of the company Management and Supervisory Board, operation of the Mercator Group in 2007 was successful and consistent with defined medium term strategic policies.

Key financial indicators

	Mercator Group		Poslovni sistem Mercator, d.d.	
	2006	2007	2006	2007
Indicators of profitability				
Return on equity	5.2%	6.8%	4.3%	5.6%
Return on sales	1.5%	1.8%	1.5%	2.1%
Indicators of financial structure				
Financial liabilities/equity	1.24	1.22	0.98	0.87
Equity and provisions for liabilities and charges to total equity and liabilities	35.7%	34.0%	41.5%	41.4%
Financial liabilities to total equity and liabilities	43.1%	40.4%	39.9%	35.5%
Trade and other payables to total equity and liabilities	19.3%	23.5%	16.7%	20.8%
Indicators of operating efficiency and productivity				
Labour costs per hours worked (in 000 EUR)	14.8	14.4	16.2	17.4
Sales/labour costs	8.2	8.9	8.0	8.1
Revenues per employee per hours worked (in 000 EUR)	120.7	128.0	129.2	141.0
Value added per employee per hours worked (in 000 EUR)	22.7	22.9	24.7	26.2
Business costs/sales	23.8%	25.2%	24.2%	24.8%
Gross cashflows from operating activities/sales	6.6%	6.6%	6.3%	6.6%

Summary of operation of the Mercator Group companies in 2007

Data in EUR 000 as at December 31th 2007.

Poslovni sistem Mercator, d.d. Slovenia	
Equity	**683,035**
Net profit for the year	**35,417**
Net sales revenue	**1,702,734**
No. of employees	**12,607**

TRADE

Mercator - H, d.o.o. Croatia	
Equity	**199,955**
Net profit for the year	**599**
Net sales revenue	**292,322**
No. of employees	**2,887**

Mercator - S, d.o.o. Serbia	
Equity	**76,010**
Net profit for the year	**5,821**
Net sales revenue	**75,428**
No. of employees	**730**

M - Rodić, d.o.o. Serbia	
Equity	**146,613**
Net profit for the year	**4,716**
Net sales revenue	**273,354**
No. of employees	**2,590**

Presoflex, d.o.o. Croatia	
Equity	**15,340**
Net profit for the year	**84**
Net sales revenue	**73,738**
No. of employees	**476**

Mercator - BH, d.o.o. Bosnia and Hercegovina	
Equity	**42,061**
Net profit for the year	**525**
Net sales revenue	**68,163**
No. of employees	**702**

Mercator Makedonija, d.o.o. Macedonia	
Equity	**5**
Net profit for the year	**0.5**
Net sales revenue	**140**
No. of employees	**0**

Mercator - Mex, d.o.o. Montenegro	
Equity	**6,042**
Net profit for the year	**40**
Net sales revenue	**1,076**
No. of employees	**289**

M.COM, d.o.o. Slovenia
The company has not been performing any acitvities yet.

Investment International, d.o.o. Macedonia
The company has not been performing any acitvities yet.

NON-TRADE

Pekarna Grosuplje, d.d. Slovenia	
Equity	**12,327**
Net profit for the year	**545**
Net sales revenue	**29,223**
No. of employees	**240**

Eta, d.d. Slovenia	
Equity	**6,885**
Net profit for the year	**216**
Net sales revenue	**21,145**
No. of employees	**214**

Mercator - Emba, d.d. Slovenia	
Equity	**11,060**
Net profit for the year	**413**
Net sales revenue	**17,244**
No. of employees	**120**

Belpana, d.o.o. Croatia	
Equity	**791**
Net profit for the year	**-102**
Net sales revenue	**0**
No. of employees	**0**

Mercator - Optima, d.o.o. Slovenia	
Equity	**1,971**
Net profit for the year	**210**
Net sales revenue	**8,155**
No. of employees	**20**

Interier, d.o.o. Slovenia	
Equity	**393**
Net profit for the year	**-40**
Net sales revenue	**810**
No. of employees	**18**



Socially Accountable Action

Sponsorships, donations, and charity campaigns

On all markets the Mercator Group dedicatedly followed the adopted strategy and concept of socially responsible activities which place Mercator among the most prominent socially responsible companies in the Region.

Mercator is a sponsor and donator in all areas where it is present, and in a variety of fields which need help: humanitarian, cultural, educational, sports, etc ...

☑ Central humanitarian campaign

Central humanitarian action in the year 2007 which each year rounds up the Mercator socially responsible activities was named **We Love Life**, and carried out in collaboration with over 1,300 Mercator business partners.

Our attention was drawn to the fact that only 14 magnetic resonance diagnostic devices have been in operation in the entire Slovenia, so the Company had decided to donate the magnetic resonance tomography device to the new Neurology Clinic of the University Clinic Center, and thereby shorten waiting lists and enable thousands of people prompt examinations and relevant treatment.

The We Love Life action took place during the fall of 2007. In this period we carried out a survey, asking our customers in major shopping centers throughout Slovenia what life means to them, and consequently published their statements and opinions on our web site, in media, and in the special exhibition held in the Mercator gallery.



☑ Other humanitarian actions and sponsorships

- In Mercator centers the Company enabled numerous humanitarian organizations (Unicef, Red Cross, Caritas) **to collect tolar coins for their humanitarian activities.**

- The Company also sponsored the **Humanitarian Institution "Vid" (Sight), and other organizations dealing with assistance to women and children in distress,** so called 'safe homes', and donated funds to socially deprived families within the help actions organized by the weekly 'Nedeljski dnevnik'. Extra funds were devoted to the opening of the 'Mercator Safe Home' in Grosuplje. We have participated funds for the renovation of holiday resort Pinea, and assisted schools, kindergartens and elderly homes in providing New Year's gifts.

- Our major donations in the year 2007 include **donation to Hospital for Female Conditions in Postojna, Institute for Rehabilitation in Ljubljana, and Clinical Department for Anesthesiology and Intensive Surgical Therapy of the Clinical Center in Ljubljana.**

- For the fourth time in a row the Company held the humanitarian action **'We were all children once'.** The project has been taking place upon the initiative by the company 'Pejo Šampionka' and the Youth Association of Slovenia, and by their assistance the project provides the children from socially deprived families to have appropriate holidays.

  Being the socially attentive company, Mercator frequently reacts to calls by a variety of humanitarian programs, especially in cases of resolving situations involving children in distress. So far the Company had enabled over 700 children to have completely free of charge summer vacations, and over 300 children winter holidays spent on snow.

- Important donations also include donations to numerous kindergartens across Slovenia for purchasing playing toys, holiday camps and excursions, as well as donations to Pensioners Societies, and to the Children Assistance Foundation for the contributions within the Health Safe School project.

☑ Sponsorships and donations in sports

- In the year 2007 we were again the principal sponsor of the **Ljubljana Marathon**, one of the most successful and most frequented sports events in Slovenia.
  Another running event was organized within the Ljubljana Marathon, called the **Mercator Charity Run**, a fund raiser for the **SOS Telephone Society for women and children – victims of violence**. In addition to the participation fee, Mercator donated the funds to the Society and 100 M-mobile packages.



- In sport we remain loyal to handball and sponsorship of the **Handball Association of Slovenia**, sponsorship of the **Handball Club Krim Mercator**, as well as numerous smaller sport clubs and projects in basketball, football, and swimming.

- Traditionally the Company also sponsors the **bicycle race** Alpe Adria, the Franja Marathon Franja, and collaborates with the National Olympic Committee.

- We were the **sponsor** of various events, like the Jure Košir Ski Legend, Hit Cup & INTERSPORT Ski Test 2007, Street Basket Championship '3 vs. 3', National Cross Country Championship for elementary schools, the Cherry Marathon, and the general sponsor of the Kranjska Gora Ten, 'Andrejček' Run, and the traditional Charge to the Vršič Mountain Pass.

☑ Sponsorships of science, art, and culture

- Among sponsorships in the field of science we supported the **Faculty of Arts and Literature**, and the **Faculty of Economics** of the **Ljubljana University** (preparation of the EFA Conference - European Financial Association); Mercator is also the co-founder of the **Research and Innovation Institute of the Ljubljana University.**
- **In the field of art** in the year 2007 the Company sponsored the **27th Graphic Biennale** (exhibition of reproductive art), and the exhibition in the National Gallery.

- **In the field of culture** the major Mercator sponsorship funds went to **Cankar Cultural Hall** and the **National University Library**, **The Floating Theatre**, and we also supported the organization of the **Borštnik Theater Festival**.

☑ Educative actions

- For the fourth time in a row Mercator prepared the educational preventive action called **Lumpi's safe path to school** dealing with safety of our children in traffic. In collaboration with the National Public Road Agency – Board of Education and Prevention in Traffic, children are presented the proper and correct behavior on the road in an appropriately comprehensible manner, with special emphasis on their every day route to school and back home.



- Important contribution was also made to the activities under the title **Think and Party**, motivating young people to have fun in a healthy way without the use of harmful substances.

☑ Humanitarian activities in foreign markets

- **In Croatia,** the company Mercator – H, d.o.o., sponsored the children masquerade carnival and the graduation parade, Athlete of the Year pageant, and donated funds for the dental prevention care program in kindergartens. The company also sponsored the Center for the Education of Children and Adolescents, the Society of Dystrophic and Handicapped by Cerebral Child Paralysis, Sport Society of the Blind, SOS Youth Association, The Caries and Oral Health Cooperative, and the Down Syndrome Society. In culture funds were sponsorship funds were donated to the Ulysses theatre, September Convention Colony, and the Lapidarian museum.

- **In Serbia,** the company Mercator - S, d.o.o., continued the donation activities for the painting artistic workshop »Praise the hand« for children with Down syndrome, and sponsored the Institute for Mothers and Children from New Belgrade, as well as helped the Nikola Tesla Center in the popularization of his work. On the occasion of opening their shopping center the company M - Rodić, d.o.o., donated to the Serbian Society Gallery funds for the construction of access platform for disabled, and supported the activities of the Faculty of Agriculture in Novi Sad, and the association the Spirit of Sport. On the occasion of opening the Belgrade shopping center they had brought presents to all maternity wards in Belgrade, and donated funds for the cancer prevention campaign.

- **In Bosnia and Herzegovina,** the company Mercator - BH, d.o.o., sponsored the members of the Karate Association of BH, the European vice-champions, the Željezničar Table Tennis Club, basketball club in Sarajevo, and the bicycle race in Tuzla. In Mercator centers the company organized the promotion of healthy food, and public checking of blood pressure, along with free advice to the visitors in regard to the prevention of hypertension. Furthermore the Company donated funds to the association taking care of children with cancer.
- They also provided donation to the association called "Education builds BH" which takes care for providing appropriate vacations for children, and to the Children Institute Ljubica Ivezić from Bjelava, and the Boarding House for homeless children from Tuzla. The company also sponsored the Red Cross of Sarajevo Canton, Vocational School of Commerce, and independent workers' union of employees in trading and commerce.

Care for the environment

☑ Activities of Mercator Group trading companies are being conducted in accordance with legal requirements with the purpose of perpetual **reduction of harmful releases to the environment and prevention of environmental pollution.**
Activities in the field of reducing the use of raw materials and energy in Mercator Group trading companies for the period 1-3 2007 include the following:

☑ In the year 2007 activities for reducing the consumption of raw materials and energy include the following:

- For the purpose of **establishing the environmental treatment system** in line with the ISO 14001 standard, the company Poslovni sistem Mercator, d.d. had initiated the activities for the preliminary assessment of the current situation.

- The collective scheme of the company for handling waste electrical and electronic equipment Zeos formally started to operate. Mercator signed an agreement for joining the above collective scheme, and the agreement regarding the services of **handling the waste electrical and electronic equipment** related to the services of collection, transport, and temporary storage of waste electrical and electronic equipment in the company Poslovni sistem Mercator, d.d. At collection points we had collected 142 tons of waste electrical and electronic equipment, and within the system of the Zeos collective scheme took care for its appropriate treatment and disposal.

- Together with the company Zeos **we placed special collection containers for used bulbs in 51 retail outlets**, which our customers use for the disposal of waste bulbs after purchasing new energy saving bulbs.

- Together with the company Zeos **we placed special collection containers** in Mercator centers in Koper, Kranj, and Ljubljana, **which our customers may use for disposal of obsolete mobile phones.**

- **The Company introduced new unified system of treatment of organic waste**, like alimentary side products, waste cooking oil and fats, kitchen waste, and waste fruit and vegetables. In addition to reducing the costs of treatment of organic and sanitary waste, the new method of separation and collection of organic waste brings along other advantages (possibility of relocation two employees, organizing records required for insurance, providing appropriate hygienic and sanitary circumstances).

- In collaboration with the company for treatment of waste packaging 'Slopak', and with the company for the collection of waste 'Tisa' we **organized our own method of handling waste wooden packaging**, which resulted in the increase of revenues from handling waste wooden packaging services, and at the same time provided the possibility of fabricating own chopped wood to be used in heating system with biomass fuel at a selected location.

- The Company **joined the waste packaging handling company Bihpak** in Bosnia and Herzegovina as the co-founders.

- We have organized and we have been **perpetually improving the central records of energy consumption and other pipeline materials,** thereby providing the basis for energy balance sheet in the company Poslovni sistem Mercator, d.d.

- Based on analyses and data received from power supply companies regarding energy consumption in the year 2007, the Company **had worked out the report called Proposal for the Reduction of Investment and Operating Costs of Electric Energy**, which comprises proposals for the reduction of costs for electric energy.

- In collaboration with the company Procter&Gamble, d.o.o. and the company for the handling of waste packaging Slopak, d.o.o. we prepared the sponsored activity called **"Separate and Save"** with the purpose of the action to raise the consciousness of the public regarding the importance of separate collection of waste and at the same time provide to the children from 60 selected Slovenian primary schools the required infrastructure to start separating waste packaging in their respective schools. The purpose of the activity had been completely achieved.



- Together with the Holding 'Slovenske Elektrarne' the Company **participated in the all-Slovenian, development oriented action 'Energija si'.** The philosophy of the 'Energija si' trademark is association and collaboration of different partners with the objective of stimulating the effective use of energy.

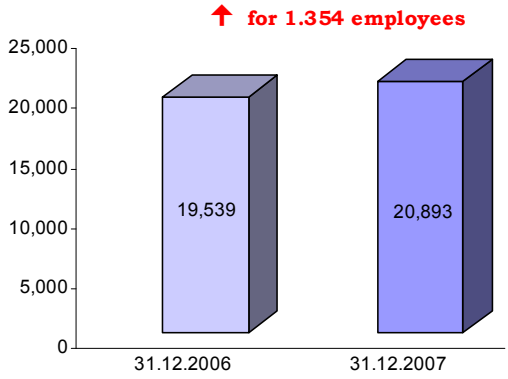


Evolvement of human resources

☑ Overview of employee structure

In the year 2007 the Mercator Group employed **20,893** people of which **36.73** % on foreign markets. The company Poslovni sistem Mercator, d.d. employed **12,607** people or **60.34** % of all employees.

! In the period from Dec. 31, 2006 to Dec. 31, 2007 the number of employees in the Mercator Group had increased for **6.93** %.



End of the year 2007...

in Slovenia....63.27 % employees

abroad...36.73 % employees

Number of employees

	2006		2007	
	No. of employees based on hours worked	**No. of employees as at 31th December**	**No. of employees based on hours worked**	**No. of employees as at 31th December**
Poslovni sistem Mercator, d.d.	12,462	12,957	12,076	12,607
Domestic trading sector	**12,462**	**12,957**	**12,076**	**12,607**
Mercator - H, d.o.o.	2,343	2,484	2,401	2,887
Presoflex, d.o.o.	0	0	237	476
Mercator - S, d.o.o.	520	512	601	730
M - Rodić, d.o.o.	538	2,300	2,557	2,590
Mercator - BH, d.o.o.	531	596	603	702
Mercator Makedonija, d.o.o.	0	0	0	0
Mercator - Mex, d.o.o.	0	0	0	289
Trading sector abroad	**3,932**	**5,892**	**6,398**	**7,674**
Total trading sector	**16,394**	**18,849**	**18,474**	**20,281**
Pekarna Grosuplje, d.d.	250	246	245	240
Belpana, d.o.o.	0	0	0	0
Eta, d.d.	238	235	208	214
Mercator Emba, d.d.	124	121	118	120
Mercator Optima, d.o.o.	38	37	20	20
M Hotel, d.o.o.	57	51	35	0
Interier, d.o.o.	0	0	0	18
Non-trading sector	**707**	**690**	**625**	**612**
TOTAL MERCATOR GROUP	**17,101**	**19,539**	**19,099**	**20,893**

! Average age of employees ....

- In the Mercator Group .... 39.04 years
- In the company Mercator. d.d ..... 41.45 years

! Of the total number of employees ....

- In the Mercator Group .... 71.64 % are women
- In the company Mercator. d.d. ..... 75.02 % are women

☑ Fluctuation

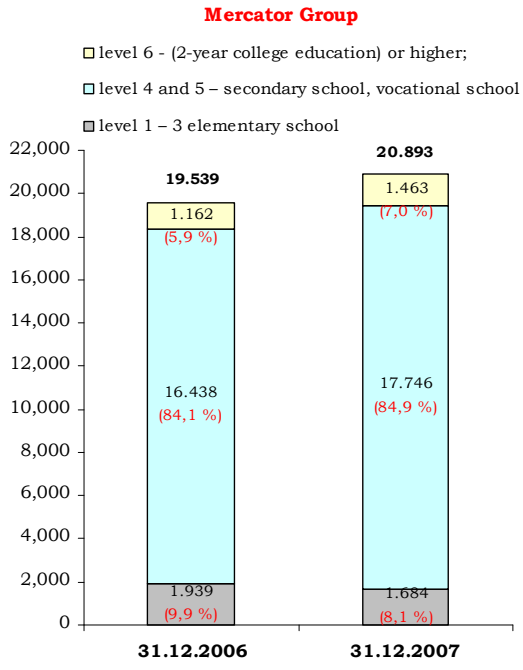
In the year 2007 the Mercator Group recorded fluctuation of 12.1 %, which is 1.6% increase over the year 2006. The largest fluctuation is recorded in Serbia, followed by Croatia, Bosnia and Herzegovina, Slovenia, and Montenegro.

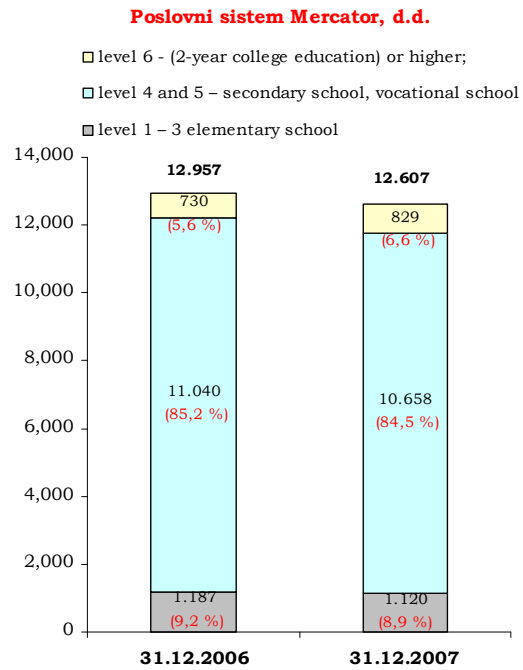
☑ Structure by level of education and by type of work

! Average educational level has been increasing each year

! By type of work the employee structure indicates that:

- 13.38 %[1] employees work in top, middle and operative management;
- 9.00 % employees work in back-office support functions (professional and administrative positions);
- 77.62 % sales personnel, warehouse personnel, and other operative staff.





[1] Comparison with 2006 data is not applicable due to differences in the organization scheme of work positions.

☑ Employment of disabled

! **Mercator Group employs 873 disabled people**, of which 833 disabled persons are employed in parent company, 34 in non-trading sector, and 6 persons on foreign markets.

! **Percentage of disabled persons in the parent company** is **6.6 %,** which is 4.6 percent over the limit quotation defined by the quota employment system for trading companies (2.00 %).

☑ Absenteeism

! Overall absence for sick leave in Mercator Group amounted in the year 2007 to **5.59** %, of which 2.78 % was charged to the Group member companies, and 2.81% to national health insurance companies. Employees on sick leave recorded a total of 2,335,601 working hours.

Compared to the year 2006 …

Mercator Group … increase of absence level for 0.08 percent

Mercator, d.d.,…increase of absence level for 0.21 percent

! In 2007 the company Poslovni sistem Mercator, d.d. recorded a total of 6.46% absence due to sick leave, of which 3.09% was charged to the company, and 3.37% to the National Health Insurance Institute. Employees on sick leave recorded a total of 1.780.745 working hours.

! **Maternal leave of absence** recorded in the Mercator Group in the year 2007 amounted to …

… **915** women, while
… **115** male employees took parental leave of absence.

☑ Employee relations

! Attitude towards employees is one of the most important segments of socially accountable behavior in Mercator.

! In the year 2007 special attention was devoted to the following activities in the segment of human resources:

Key executive and promising associates planning

The following activities have been performed in the year 2007:

✓ Defined the competences within the company, which our associates need for successful performance, separate for managers and for professionals;

- ✓ Improved organizational scheme of work positions to enable the development of managerial and professional careers;

- ✓ Arranged the system of developing promising and prospective associates.

- ✓ Defined key positions within the parent company which on Dec. 31, 2007 comprised 2,158 key associates; we also started the assessment of competences for key associates applying the 360 degree method;

- ✓ Performed the selection of promising young associates expected to take the most demanding positions in the Company in the future, and included them in the first International Mercator Business Academy.

- ✓ Prepared the future hereditary system.

Transfer of expertise and experience

During the year 2007 various forms of training and education were attended by the 28,482 participants. Paid **on the job education** included 359 employees, and 1,041 high school and college students were provided with on the job **training practice**. **Trainee program** included 127 trainees, while 25 high school and college students received **scholarships and study grants**, and the company trained four **novices**.

- ✓ In the year 2007 the Company disbursed EUR 1.8 million **for education and training**.

- ✓ In association with the Faculty of Economics in Ljubljana the Company devised a new program of internal training for 31 young promising associates, and started with the first season of the **International Mercator Business Academy**, to be held from December 2007 to July 2008.

- ✓ The Company outlined the new **store manager training program** called the Store Manager School, and carried out trial operation. In the future School for store managers will have to be attended by all store managers.

- ✓ The Company also set up basis for the **coaching network**, a new method of training the sales staff. We had selected 240 coaches among our most proficient sales assistants, who will transfer their knowledge and experience to less trained and successful co-workers and beginners.

- ✓ We actively collaborate with the Educational Board with the Chamber of Trading and Commerce of Slovenia.

- ✓ We have been performing the project "**Get your vocation**", whose objective is to obtain high profile of sales staff by active collaboration with relevant high schools.



- ✓ We have been preparing the **human resources web site,** with the purpose of providing the human resources department with the possibility of legal counseling and answering questions and issues from professional fields related to employment legislation and access to legal acts and regulations from the field of employment.

Dialogue with employees

- ✓ Following aggressive negotiations with the representative trade unions, on **September 28th, 2007 we signed the Standard Workers Contract** with the beginning of execution on Jan. 1, 2008 for the general section, and March 1, 2008 for the remuneration section. On December 14th, 2007 the negotiations adopted additional amendments regarding working hours, internal mobility, resignation of the employment contrast, and some other changes.

- ✓ We have conducted **annual discussions** with all employees on all levels.

- ✓ We started the **publishing of internal news bulletin in local languages** of our employees.
  The newspaper devotes approximately 20 % of attention to corporative topics, and 80 % to local issues. In Slovenia and Croatia we published so far 5 numbers, in Serbia and in Bosnia and Herzegovina 4 numbers.

  Our internal newsletter "ČasoMer" won the 'Papirus' award, each year presented by the special commission of the Slovenian Public Relations Society.



- ✓ We also won the **Best Human Resources Project Award for the year 2007** for the project **Internal Communication as Part of Human Resources Function in Mercator**. The rationale behind the award is that it represents the comprehensive and applicable project of internal communication as integral part of human resources function in the internationally involved company.

Compensations and motivation

- ✓ In the year 2007 in Mercator Group 2,188 employees were promoted (10.5 % of the total number) of employees, of which 1,188 (9.4 %) of the total employees in parent company.

- ✓ Annual awards for successful work in the year 2006, and project awards for the year 2007 were presented to 1,958 associates. The Mercator special achievements award was presented to 15 employees. Salaries of all employees in companies Poslovni sistem Mercator, d.d., M – Rodić, do.o., Mercator – H, d.o.o., and Pekarna Grosuplje, d.d. are partially associated with business performance.

- ✓ We had conducted the **Best Boss Pageant**. Following the adopted criteria we selected 13 nominees, of which 4 had received a bonus award, and others were presented a trophy.

- ✓ In the beginning of December 2007 all employees of the Mercator Group were paid extra bonuses. Each employee had also received a gift, while Mercator parents and their children received additional bonus in form of Santa Claus cashier note. Presents for children were offered to 2,386 children of our employees.

- ✓ **In the field of non-material motivation** we organized 14 celebrations on the occasion of promotions of employees, and motivation trainings at Vogel for the employees in retail outlets.

Internal and external recruitment

- ✓ In the beginning of the year 2007 the Company adopted the **system of internal recruitment**, which encourages the basic assumption that managers would enable transfers (promotions) to good workers in accordance with staff requirements. By this system we are trying to maintain quality staff and provide their personal and professional development.

- ✓ Large attention is devoted to recruitment when opening major retail outlets on all markets where Mercator is present.

- ✓ **We have been searching for new methods of obtaining new staff** via web pages (internet is one of the increasingly frequent method of recruiting professionals), and the Employment Agency.

- ✓ In the **psychological selection procedures** the Company conducted the survey about the reasons for employment in Mercator, and we found out that major portion of candidates is motivated by the diversified and interesting job, and numerous opportunities for personal and professional development.

- ✓ In the middle of the year 2007 the Company adopted the amendments of the **Rules for the minimum level of education** for persons carrying out trading operations. The work of a shop assistant may be performed by employees with 4th educational level of various vocational fields, and not only commercial. This change was acknowledged very favorably in Mercator.

Intercultural organizational development

- ✓ On June 9 over 23 thousand employees and their family members participated in the **Mercator Olympics** in Velenje – the Mercator Days. In addition to hiking trips and sporting events, the employees and their families were entertained by music guests from the countries in which Mercator is present with its business operations.



- ✓ On May14, 2007 the Company received the **Basic Certificate: Family Friendly Company**.

OSNOVNI CERTIFIKAT
Družini prijazno podjetje

- ✓ We carried out the traditional **survey of work satisfaction of employees**. The results indicate high average level of satisfaction of employees on all markets. However, we also detected decrease in the employee satisfaction in the group of younger staff, both in operative and professional field. Human resources department had already adopted the appropriate measures to improve the detected situation.

- ✓ In Slovenia we **organized the First Human Resources Days**, on the occasion of which the Company presented its human potential strategies, measures, and anticipations related to the future collaboration and strategic partnership with our external partners and participants (Ministry of Work, Family, and Social Affairs, National Employment Agency, various educational, health, and human resources institutions).

Safety and health of employees

- ✓ On September 6, 2007 the Company **founded the Mountain Society Mercator,** and on September 30, 2007 organized the first trekking expedition to the mountain Vogel.

- ✓ Employees of the parent company were offered the possibility of **using ophthalmologist services.** In the year 2007 the benefit was used by 1,711 employees in total amount of EUR 143,215.

- ✓ The parent company conducted the **analysis of preventive medical checkups** for the year 2006, and the **analysis of sick leave absence of employees** in the year 2006.
  The results indicated that the major health problems of employees include backbone disorders, stress, and excessive workloads on the job. Based on the results of both analyses the Company started to prepare the **program of preventive measures for healthier working environment** in Mercator.

- ✓ In the year 2007 we recorded 512 injuries and accidents related to work. Major portion of these include cuts of palms and fingers.

- ✓ From the **Humanitarian Fund** the Company had paid out EUR 100,677 and this way helped 114 employees in the parent company. Employees from the entire Group had been paid out 444 solidarity assistance loans in total amount of EUR 525,647.

- ✓ In December 2007 we set up the Mercator Humanitarian Foundation, to be used for charity purposes and for the purpose of financing medical checkups of the employees of the company Poslovni sistem Mercator, d.d.

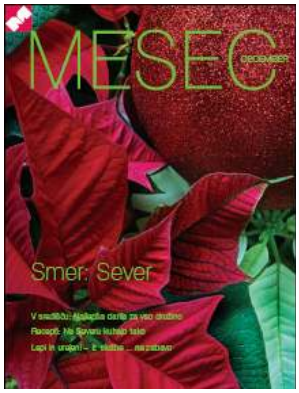
- ✓ In September 2007 we **organized the solidarity fund raiser to help the employees living in the Železniki and Upper Sava Valley area stricken by the floods**. In addition to the assistance in materials donated by the Company and the funds from the Humanitarian Fund, the employees of the Company additionally collected EUR 27,168.

✓ In December 2007, 663 employees from administration of trading companies on all markets offered voluntary help to the sales staff in retail outlets and in logistics.



Communication with customers

☑ The 'Mesec' magazine



- In the year 2007 we continued the development of the magazine 'Mesec' ("Month") in Slovenia and in Croatia.
- We published the issues Month of April, Month of June, Month of September, and Month of December, in addition to the preparation of monthly electronic version of the publication, called 'e-mesec' (e-Month): (http://mesec.mercator.si).
- The Mesec magazine contains notices regarding the events, interesting news and presentations of products from the assortment of Mercator shops, as well as other useful and interesting suggestions for better life.

☑ The employee of the year

- In February 2007 for the second time in a row the Company presented the Employee of the Year trophy selected by our customers.
- We received over 15,000 voting slips from customers from Slovenia, Croatia, and Bosnia and Herzegovina, which brought trophies to 14 shop assistants.

☑ Event Carousel

- In the beginning of the year 2007 we enhanced the monthly magazine of events called the Event Carousel, which started its publishing at the end of the year 2006.
- The magazine is published with the purpose of informing our customers not only the information regarding different shows and other performances in Mercator Centers, but supply also some extra details, so the magazine contains sections such as "Don't miss", "Mercator news", "Carousel Hints", "Interview", "Carousel amusement", "Comment", "Carousel pulse", and lots of other interesting reading.

☑ News

- With the objective of providing the customers with the most improved services, the renewed hypermarket in Ljubljana includes numerous novelties, like the **Tik Tak self-check-out cashiers**, where customers may individually conclude their shopping, **info stands** helping customers with additional information about products, suggestions regarding a group of selected products, **photo corner**, where customers may use different media to develop their photographs directly at the selling point and also print them, **internal television** containing useful information for customers, etc.

☑ Customer satisfaction

- Care for customers and their well being is the principal reason that in December the Company organized skating rinks in front of major Mercator centers, to be used free of charge by our customers, along with the possibility of skate rental. In addition there were numerous entertaining events organized around and within the skating rinks.

Financial Report summary



ACCOUNTING POLICIES

Reporting company

Poslovni sistem Mercator, d.d., (hereinafter referred to as Mercator, d.d.) is a company domiciled in Slovenia. The address of the company's registered office is Ljubljana, Dunajska cesta 107. The consolidated financial statements of the Company as at and for year ended 31 December 2007 comprise the company and its subsidiaries (together referred to as the "Mercator Group"). The predominant activity of the Mercator Group is retail and wholesale of fast-moving consumer goods.

Basis of preparation

(a) Statement of compliance
The consolidated financial statements have been prepared in accordance with International Financial Reporting Standards (IFRSs) as adopted by the EU, and in compliance with the requirements of the Slovenian Companies Act.
The financial statements were approved by the Company Management Board on 18 February, 2008.

(b) Basis of measurement
The consolidated financial statements have been prepared on the historical cost basis, except for the cases listed below, where fair value is considered.

- derivative financial instruments,
- financial instruments at fair value through profit or loss,
- available-for-sale financial assets,
- property by revaluation model.

(c) Functional and presentation currency
These consolidated financial statements are presented in euro, which is the functional currency of Company Poslovni sistem Mercator. All financial information presented in euro has been rounded to the nearest thousand.

(d) Use of estimates and judgements
The preparation of financial statements in conformity with IFRSs requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.
Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.
In particular, information about significant areas of uncertainty estimation and critical judgements in applying accounting policies that have the most significant effect on the amounts recognised in the financial statements is given below.

(i) Goodwill
Each year when compiling the financial statements, the Group conducts the goodwill impairment test. Substitutable / compensable value of a cash generating unit is defined based on the calculations of value in use. The calculations include projections of cash flow that are based on operation plans for the successive year, as adopted by the Management Board, and the extrapolation of the growth rates for all successive periods. The Management Board has defined the gross margin based on the business performance record (history) and expectations with regard to development of the market. The discount rate employed is based on market rates adjusted to reflect specific

risks related to particular business units. In the following year, the Group does not expect any events that would significantly affect the estimation of this value.

(ii) Available-for-sale financial assets
The Group's long-term financial investments into equity of other companies, classified as available-for-sale financial assets, also include such assets that could not be evaluated by fair value. Shares of these companies are also not listed or traded in the stock market. The Group estimates that the costs of evaluating these long-term financial investments into equity of other companies by their fair value would be too high, while the evaluation would not affect significantly the correctness of financial statements; hence, these assets were evaluated at cost.

(iii) Trade and other receivables
The estimate is based on assumption, that trade and other receivables will be paid in recognised amount. Provision for the impairment of trade and other receivables is based on pending legal processes and previous years' experience. In the future the Group does not expect any events that would significantly influence accounting estimates.

(iv) Inventories
The carrying values of inventories approximate fair values in all material aspects. Provisions for the impairment of inventories are based on previous years' experiences. In the future the company does not expect any events that would significantly influence accounting estimates.

(v) Provisions
Carrying values of provisions are measured as the present value of the expenditures expected to be required to settle the obligation. Estimates are given by experts or the values are based on original documentation. The outcome and the date of resolution of legal proceedings, which were the basis for recognition of provisions, are uncertain. In the future the company does not expect any events that would significantly influence accounting estimates.

(vi) Deferred taxes
Deferred income taxes are calculated on all temporary differences under the liability method using a principal domestic tax rate of individual consolidated entity's country. If the tax rate changes, the deferred income tax assets and liabilities will change appropriately. In the future the Group does not expect any events that would significantly influence accounting estimates.

(vii) Retirement benefit obligations
Retirement and benefit obligations refer to estimated payments of retirement benefits and long service awards presented to the employees who have been with the Group for a long period of time, as at the balance sheet date, discounted to present value. These provisions have been made for expected payments. The calculation of the figure also accounted for the expected growth of wages from the day of calculation until the day of retirement of a particular employee, as well as employee fluctuation. Wage growth consists of career promotion and the related wage inflation. To calculate the present value of retirement benefit obligations, a discount rate was used that is equal to the market yield on highly rated corporate bonds issued in euros. In the future the Group does not expect any events that would significantly influence accounting estimates.

Significant accounting policies

The accounting policies set out below have been applied consistently to all periods presented in these consolidated financial statements, and have been applied

consistently by Group entities.

(a) Basis of consolidation

(i) Subsidiaries
Subsidiaries are entities controlled by the Group. Control exists when the Group has the power to govern the financial and operating policies of an entity so as to obtain benefits from its activities. In assessing control, potential voting rights that currently are exercisable are taken into account. The financial statements of subsidiaries are included in the consolidated financial statements from the date that control commences until the date that control ceases. The accounting policies of subsidiaries have been changed when necessary to align them with the policies adopted by the Group.

(ii) Acquisitions from entities under common control
Business combinations arising from transfers of interests in entities that are under the control of the shareholder that controls the Group are accounted for as if the acquisition had occurred at the beginning of the earliest comparative period presented or, if later, at the date when common control was established; for this purpose comparatives are restated. The assets and liabilities acquired are recognised at the carrying amounts recognised previously in the Group's controlling shareholder's consolidated financial statements. The components of equity of the acquired entities are added to the same components within Group equity except that any share capital of the acquired entities is recognised as part of share premium. Any cash paid for the acquisition is recognised directly in equity.

(iii) Transactions eliminated on consolidation
Intra-group balances and transactions, and any unrealised income and expenses arising from intra-group transactions, are eliminated in preparing the consolidated financial statements. Unrealised gains arising from transactions with equity accounted investees are eliminated against the investment to the extent of the Group's interest in the investee. Unrealised losses are eliminated in the same way as unrealised gains, but only to the extent that there is no evidence of impairment.

(b) Foreign currency

(i) Foreign currency transactions
Transactions in foreign currencies are translated to the respective functional currencies of Group entities at exchange rates at the dates of the transactions. Monetary assets and liabilities denominated in foreign currencies at the reporting date are retranslated to the functional currency at the exchange rate at that date. The foreign currency gain or loss on monetary items is the difference between amortised cost in the functional currency at the beginning of the period, adjusted for effective interest and payments during the period, and the amortised cost in foreign currency translated at the exchange rate at the end of the period. Non-monetary assets and liabilities denominated in foreign currencies that are measured at fair value are retranslated to the functional currency at the exchange rate at the date the fair value was determined. Foreign currency differences arising on retranslation are recognised in profit and loss, except for differences arising on retranslation of available-for-sale equity instruments, a financial liability designated as a hedge of the net investment in a foreign operation, or qualifying cash flow hedges, which are recognised directly in equity (see (iii) below).

(ii) Foreign operations
The assets and liabilities of foreign operations, including goodwill and fair value adjustments arising on acquisition, are translated to euro at exchange rates at the reporting date. The income and expenses of foreign operations, excluding foreign

operations in hyperinflationary economies, are translated to euro at average exchange rates.
Foreign currency differences are recognised directly in equity. Since the Group's date of transition to IFRSs, such differences have been recognised in the foreign currency translation reserve (FCTR). When a foreign operation is disposed of, in part or in full, the relevant amount in the FCTR is transferred to profit and loss.
Foreign exchange gains and losses arising from a monetary item receivable from or payable to a foreign operation, the settlement of which is neither planned nor likely in the foreseeable future, are considered to form part of a net investment in a foreign operation and are recognised directly in the FCTR in equity.

(iii) Hedge of net investment in foreign operation
Foreign currency differences arising from the retranslation of a financial liability designated as a hedge of a net investment in a foreign operation are recognised directly in equity, in the FCTR, to the extent that the hedge is effective. To the extent that the hedge is ineffective, such differences are recognised in profit and loss. When the hedged part of a net investment is disposed of, the associated cumulative amount in equity is transferred to profit and loss as an adjustment to the profit and loss on disposal.

(c) Financial instruments

(i) Non-derivative financial instruments
Non-derivative financial instruments comprise investments in equity and debt securities, trade and other receivables, cash and cash equivalents, loans and borrowings, and trade and other payables.

Non-derivative financial instruments are initially recognised at fair value. Subsequent to initial recognition non-derivative financial instruments are measured as described below.

Costs of transaction are recognized among expenses in the income statement. The exception to this rule are investments in equity, where the transaction costs increase the fair value of the financial instrument.

Cash and cash equivalents comprise cash balances and call deposits. Bank overdrafts that are repayable on demand and form an integral part of the Group's cash management are included as a component of cash and cash equivalents for the purpose of the cash flow statement.

Available-for-sale financial assets
The Group's investments in equity securities and certain debt securities are classified as available-for-sale financial assets. Subsequent to initial recognition, they are measured at fair value and changes therein, other than impairment losses and foreign exchange gains and losses on available-for-sale monetary items, are recognised directly in equity. When an investment is derecognised, the cumulative gain or loss in equity is transferred to profit and loss.
Available-for-sale financial assets of the Group also include such assets whose fair value could not be evaluated. This mainly includes equity securities of companies that are not listed and traded in stock markets. The Group estimates that costs of evaluating the fair value of all these financial assets would have been too high, while the evaluation would not considerably affect the correctness of financial statements.

Financial assets at fair value through profit or loss
An instrument is classified at fair value through profit or loss if it is held for trading or is designated as such upon initial recognition. Financial instruments are designated at

fair value through profit or loss if the Group manages such investments and makes purchase and sale decisions based on their fair value in accordance with the Group's documented risk management or investment strategy. Upon initial recognition attributable transaction costs are recognised in profit and loss when incurred. Financial instruments at fair value through profit or loss are measured at fair value, and changes therein are recognised in profit and loss.

Other
Other non-derivative financial instruments are measured at amortised cost using the effective interest method, less any impairment losses.

(ii) Derivative financial instruments
The Group holds derivative financial instruments to hedge its foreign currency and interest rate risk exposures. Embedded derivatives are separated from the host contract and accounted for separately if the economic characteristics and risks of the host contract and the embedded derivative are not closely related, a separate instrument with the same terms as the embedded derivative would meet the definition of a derivative, and the combined instrument is not measured at fair value through profit or loss.
Derivatives are recognised initially at fair value; attributable transaction costs are recognised in profit and loss when incurred. Subsequent to initial recognition, derivatives are measured at fair value, and changes therein are accounted for as described below.

Cash flow hedges
Changes in the fair value of the derivative hedging instrument designated as a cash flow hedge are recognised directly in equity to the extent that the hedge is effective. To the extent that the hedge is ineffective, changes in fair value are recognised in profit and loss.
If the hedging instrument no longer meets the criteria for hedge accounting, expires or is sold, terminated or exercised, then hedge accounting is discontinued prospectively. The cumulative gain or loss previously recognised in equity remains there until the forecast transaction occurs. When the hedged item is a non-financial asset, the amount recognised in equity is transferred to the carrying amount of the asset when it is recognised. In other cases the amount recognised in equity is transferred to profit and loss in the same period that the hedged item affects profit and loss.

Economic hedges
Hedge accounting is not applied to derivative instruments that economically hedge monetary assets and liabilities denominated in foreign currencies. Changes in the fair value of such derivatives are recognised in profit and loss as part of foreign currency gains and losses.

Separable embedded derivatives
Changes in the fair value of separable embedded derivatives are recognised immediately in profit and loss.

(iv) Share capital

Ordinary shares
Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of ordinary shares and share options are recognised as a deduction from equity, net of any tax effects.

Repurchase of share capital (treasury shares)
When share capital recognised as equity is repurchased, the amount of consideration paid, which includes directly attributable costs, is net of any tax effects, and is recognised as a deduction from equity. Repurchased shares are classified as treasury shares and are presented as a deduction from total equity. When treasury shares are sold or reissued subsequently, the amount received is recognised as an increase in equity, and the resulting surplus or deficit on the transaction is transferred to capital reserves or retained earnings.

(d) Property, plant and equipment

(i) Reporting and measurement

Upon the initial recognition, property, plant and equipment are measured at cost, increased by expenses that can be ascribed directly to their commissioning / putting to use.

For measuring land and buildings, the Group employs the revaluation model. The fair values reported are based on periodical, but not less than three-year valuations by an external independent appraiser, less accumulated depreciation. Increases in carrying amount from land and building revaluation are reported in the increase of revaluation surplus in equity. Impairment of assets whose value was previously increased directly decrease the value of established revaluation surplus in equity; otherwise, they are recognized in the income statement. Depreciation which is based on revalued value of assets, and depreciation which is based on assets' cost, increases costs. Useful life and remaining value of buildings is evaluated / appraised annually, by an internal committee of experts, based on events that indicate the need for revaluation of a particular asset.

The value of plant and equipment is determined using the cost model. Cost of plant and equipment is decreased by accumulated depreciation.

The cost of self-constructed assets includes the cost of materials and direct labour, any other costs directly attributable to bringing the asset to a working condition for its intended use, and the costs of dismantling and removing the items and restoring the site on which they are located. Purchased software that is integral to the functionality of the related equipment is capitalised as part of that equipment. Borrowing costs related to the acquisition or construction of qualifying assets are recognised in profit and loss as incurred.

Gains and losses on disposal of an item of property, plant and equipment are determined by comparing the proceeds from disposal with the carrying amount. The Group shall recognise such gains and losses in the income statement, gains among 'other income', and losses among 'administrative expenses'. When revalued assets are sold, the amounts included in the revaluation surplus reserve are transferred to retained earnings.

(ii) Reclassification to investment property
If a property used by the company is reclassified to investment property, the value of such property shall be evaluated its cost, and the property shall be included among the investment property.

The Group evaluates its investment property by the cost model. Only independent real estate units, entirely leased to a third party, are classified as investment property. If

only a part of a building / facility is leased to a third party, it is not classified as investment property, as it can not be sold separately and because the other important part of the facility is being used for selling or producing goods.

(iii) Subsequent costs
The cost of replacing part of an item of property, plant and equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within that part will flow to the Group and its cost can be measured reliably. The carrying amount of the replaced part is derecognised. The costs of the day-to-day servicing of property, plant and equipment are recognised in profit and loss as incurred.

(iv) Depreciation
Depreciation is calculated on a straight-line basis over the estimated useful lives of each part of an item of property, plant and equipment. Leased assets are depreciated taking into account the lease term and their useful lives unless it is reasonably certain that the company will obtain ownership by the end of the lease term. Land is not depreciated.
For the part of the depreciation that relates to revalued property, plant, and equipment, the Group shall continuously eliminate the established revaluation surplus and include it among 'other income'.
The estimated useful lives for the current and comparative periods are as follows:

- buildings 20 - 40 years
- plant and equipment 3 - 15 years

Depreciation methods, useful lives and residual values are reviewed at each reporting date.

(e) Intangible assets

(i) Goodwill

Goodwill (negative goodwill) arises from the acquisition of subsidiaries, associates and joint ventures.

Acquisitions as of the day of transition to IFRS
For acquisitions on or after 1 January, 2006, goodwill represents the excess of the cost of the acquisition over the Group's interest in the net fair value of the identifiable assets, liabilities and contingent liabilities of the acquiree. When the excess is negative (negative goodwill), it is recognised immediately in profit and loss.

(ii) Acquisitions of minority interests

Goodwill arising from the acquisition of a minority interest in a subsidiary represents the excess of the cost of the additional investment over the carrying amount of the net assets acquired at the date of exchange.

Subsequent measurement

Goodwill is measured at cost less accumulated impairment losses.

(iii) Other intangible assets
Other intangible assets that are acquired by the Group, which have finite useful lives, are measured at cost less accumulated amortisation and accumulated impairment losses.

(iv) Subsequent expenditure
Subsequent expenditure is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure, including brands, is recognised in profit and loss as incurred.

(v) Amortisation
Amortisation is recognised in profit and loss on a straight-line basis over the estimated useful lives of intangible assets, other than goodwill, from the date that they are available for use. The estimated useful lives for the current and comparative periods are as follows:

- patents, licenses, and brands 5 - 10 years

(f) Investment property
Investment property is property held either to earn rental income or for capital appreciation or for both, but not for sale in the ordinary course of business, use in the production or supply of goods or services or for administrative purposes.

Only independent buildings / real estate units that are entirely leased to third parties are classified as investment property. If only a part of a building / facility is leased to third parties, it is not classified as investment property, as it cannot be sold separately and because other major part of the facility is used for producing or delivering goods or services (e.g. hypermarket within a shopping center). Investment property is recorded by the cost model. Depreciation is calculated based on a linear method, so that the purchase value of assets is divided on their respective remaining values throughout the anticipated useful life which is the same as for plant, property, and equipment.

When the use of a property changes so that it is reclassified as property, plant and equipment, the fair value of such asset is measured. Positive difference is recognized in the revaluation surplus, while the negative difference is recognized in the profit and loss.

(g) Leased assets
Leases in terms of which the Group assumes substantially all the risks and rewards of ownership are classified as finance leases. Upon initial recognition the leased asset is measured at an amount equal to the lower of its fair value and the present value of the minimum lease payments. Subsequent to initial recognition, the asset is accounted for in accordance with the accounting policy applicable to that asset.
Other leases are operating leases and, except for investment property, the leased assets are not recognised on the Group's balance sheet.

(h) Inventories
Inventories are measured at the lower of cost and net realizable value.
Following are the methods of calculating the cost of inventories and relevant expenses:
- FIFO method for merchandise,
- method of average purchase prices for raw materials and packaging; costs of inventory include purchase value, costs of production, transformation, and other costs incurred in bringing them to the current location and in the current condition; with both finished products and semi-products, the costs also include the relevant part of indirect production costs, under the assumption of normal use of means of production.

Net realisable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and selling expenses.

The estimation of net realisable value of inventory is conducted at least once per year, upon the compilation of regular annual inventory lists.

Once per year, the value of merchandise which has not decreased in quantity in the accounting period at hand, and were purchased over one year before the current accounting period, is adjusted by 50 percent of their cost. If these inventories are not decreased after two years from the date of their purchase, their value is adjusted to the liquidation value or by a maximum of 80 percent of their cost.

Furthermore, in the textile chain in the companies that do not feature an organized sale of non-fashion textile, the fashion character of inventory is also considered. At 31 December, inventory of goods of fashionable character and less then one year old shall be revalued by 20 percent of their purchase value.

(i) Impairment of assets

(i) Financial assets
A financial asset is assessed at each reporting date to determine whether there is any objective evidence that it is impaired. A financial asset is considered to be impaired if objective evidence indicates that one or more events have had a negative effect on the estimated future cash flows of that asset.

An impairment loss in respect of a financial asset measured at amortised cost is calculated as the difference between its carrying amount, and the present value of the estimated future cash flows discounted at the original effective interest rate. An impairment loss in respect of an available-for-sale financial asset is calculated by reference to its fair value.

Individually significant financial assets are tested for impairment on an individual basis. The remaining financial assets are assessed collectively in groups that share similar risk characteristics.

All impairment losses are recognised in profit and loss. Any cumulative loss in respect of an available-for-sale financial asset recognised previously in equity is transferred to profit and loss.

An impairment loss is reversed if the reversal can be related objectively to an event occurring after the impairment loss was recognised. For financial assets measured at amortised cost and available-for-sale financial assets that are debt securities, the reversal is recognised in profit and loss. For available-for-sale financial assets that are equity securities, the reversal is recognised directly in equity.

(ii) Non-financial assets
The carrying amounts of the Group's non-financial assets, other than investment property, inventories and deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. For goodwill and intangible assets that have indefinite lives or that are not yet available for use, the recoverable amount is estimated at least once a year before completing the annual report.

The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to

the asset. For the purpose of impairment testing, assets are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets or groups of assets (the "cash-generating unit"). The goodwill acquired in a business combination, for the purpose of impairment testing, is allocated to cash-generating units that are expected to benefit from synergies of the combination.

An impairment loss is recognised if the carrying amount of an asset or its cash-generating unit exceeds its estimated recoverable amount. Impairment losses are recognised in profit and loss. Impairment losses recognised in respect of cash-generating units are allocated first to reduce the carrying amount of any goodwill allocated to the units and then to reduce the carrying amount of the other assets in the unit (group of units) on a *pro rata* basis.

An impairment loss in respect of goodwill is not reversed. In respect of other assets, impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

(j) Employee benefits

(i) Other long-term employee benefits – retirement benefit obligations
In the balance sheet, the Group recognized long-term liabilities deriving from future liabilities to employees for long service awards, calculated in compliance with the collective labour agreement for this activity / industry, and the mandatory retirement benefits as stipulated by the relevant act. The changes in retirement benefit obligations are recognized in the income statement. The obligations are determined based on actuarial calculations that are revised annually. Actuarial gains or losses are the effect of changed facts that affect the actuarial calculation (e.g. change in legislation), or a change in actuarial assumptions.

(ii) Short-term employee benefits
Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided.

A liability is recognised for the amount expected to be paid under short-term cash bonus if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

(k) Provisions
A provision is recognised if, as a result of a past event, the Group has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability.

Onerous contracts
A provision for onerous contracts is recognised when the expected benefits to be derived by the Group from a contract are lower than the unavoidable cost of meeting its obligations under the contract. The provision is measured at the present value of the lower of the expected cost of terminating the contract and the expected net cost of

continuing with the contract. Before a provision is established, the Group recognises any impairment loss on the assets associated with that contract.

(l) Revenue

(i) Revenues from sales of goods, products, and material
Revenue from the sale of goods, products and material is measured at the fair value of consideration received or receivable, net of returns, trade discounts and volume rebates. Revenue is recognised when the significant risks and rewards of ownership have been transferred to the buyer, recovery of consideration is probable, the associated costs and possible return of goods, products and material can be estimated reliably, there is no continuing management involvement with the quantity of goods sold, and the amount of revenue can be measured reliably.

Transfers of risks and rewards vary depending on the individual terms of the contract of sale. For wholesale of goods, transfer usually occurs when the product is received at the customer's warehouse; however, for some international shipments transfer occurs upon loading the goods onto the relevant carrier.

(ii) Revenues from services rendered
Revenue from services rendered is recognised in profit and loss in proportion to the stage of completion of the transaction at the reporting date. The stage of completion is assessed by reference to surveys of work performed.

(iii) Rental income
Rental income is recognised in profit and loss on a straight-line basis over the term of the lease. Any discounts and benefits granted are recognised as an integral part of the total rental income.

(m) Government grants
All types of government grants are recognised initially as deferred income when there is reasonable assurance that they will be received and that the Group will comply with the conditions associated with the grant. Grants that compensate the Group for expenses incurred are recognised in profit and loss on a systematic basis in the same periods in which the expenses are recognised. Grants that compensate the Group for the cost of an asset are recognised in profit and loss among other income on a systematic basis over the useful life of the asset.

(n) Finance lease
Payments made under finance leases are recognised in profit and loss on a straight-line basis over the term of the lease. Lease discounts and benefits received are recognised as an integral part of the total lease expense.

Minimum lease payments made under finance leases are apportioned between the finance expense and the reduction of the outstanding liability. The finance expense is allocated to each period during the lease term so as to produce a constant periodic rate of interest on the remaining balance of the liability. Contingent lease payments are accounted for by revising the minimum lease payments over the remaining term of the lease when the lease adjustment is confirmed.

Contingent lease payments are accounted for by revising the minimum lease payments over the remaining term of the lease when the contingency no longer exists and the lease adjustment is known.

(o) Finance income and expenses
Finance income comprises interest income on funds invested (including available-for-sale financial assets), dividend income, gains on the disposal of available-for-sale financial assets, changes in the fair value of financial assets at fair value through profit and loss, and gains on hedging instruments that are recognised in profit and loss. Interest income is recognised as it accrues in profit and loss, using the effective interest method. Dividend income is recognised in profit and loss on the date that the Group's right to receive payment is established, which in the case of quoted securities is the ex-dividend date.

Finance expenses comprise interest expense on borrowings, unwinding of the discount on provisions, impairment losses recognised on financial assets, and losses on hedging instruments that are recognised in profit and loss. All borrowing costs are recognised in profit and loss using the effective interest method.
Foreign currency gains and losses are reported on a net basis.

(p) Corporate income tax
Income tax expense for the year comprises current and deferred tax. Income tax expense is recognised in profit and loss except to the extent that it relates to items recognised directly in equity, in which case it is recognised in equity.
Current tax is the expected tax payable on the taxable income for the year, using tax rates enacted or substantively enacted at the reporting date, and any adjustment to tax payable in respect of previous years.
Deferred tax is recognised using the balance sheet method, providing for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for the following temporary differences:

- the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit, and differences relating to investments in subsidiaries and jointly controlled entities to the extent that it is probable that they will not reverse in the foreseeable future.
- initial recognition of goodwill.

Deferred tax liabilities are measured at the tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantively enacted at the reporting date.
Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset current tax liabilities and assets, and they relate to income taxes levied by the same tax authority on the same taxable entity, or on different tax entities, but they intend to settle current tax liabilities and assets on a net basis or their tax assets and liabilities will be realised simultaneously.
A deferred tax asset is recognised to the extent that it is probable that future taxable profits will be available against which the temporary difference can be utilised. Deferred tax assets are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

(r) Net earnings per share (EPS)
The Group calculates basic earnings per share by dividing the profit and loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period. The Group has no preference shares, nor does it have any ordinary shares that would represent convertible bonds and stock options; hence, the Group does not calculate dilutive earnings and dilutive earnings per share.

(s) Segment reporting
A segment is a distinguishable component of the Group that is engaged either in providing related products or services (business segment), or in providing products or services within a particular economic environment (geographical segment), which is subject to risks and returns that are different from those of other segments. Segment information is presented in respect of the Group's business and geographical segments. The Group's primary format for segment reporting is based on business segments. The business segments are determined based on the Group's management and internal reporting structure.

Segment results, assets and liabilities include items directly attributable to a segment as well as those that can be allocated on a reasonable basis. Unallocated items comprise mainly investments (other than investment property) and related revenue, loans and borrowings and related expenses, corporate assets (primarily the Company's headquarters) and head office expenses, and income tax assets and liabilities.

Segment capital expenditure is the total cost incurred during the period to acquire property, plant and equipment, and intangible assets other than goodwill.

(t) New standards and interpretations not yet adopted
A number of new standards, amendments to standards and interpretations are not yet effective for the year ended 31 December, 2007, and have not been applied in preparing these consolidated financial statements:

- IFRS 8 *Operating Segments* introduces the "management approach" to segment reporting. IFRS 8, which becomes mandatory for the Group's 2009 financial statements, will require the disclosure of segment information based on the internal reports regularly reviewed by the Management Board in order to assess each segment's performance and to allocate resources to them. Currently the Group presents segment information in respect of its business and geographical segments (see note 7).

- Revised IAS 23 Borrowing Costs removes the option to expense borrowing costs and requires that an entity capitalise borrowing costs directly attributable to the acquisition, construction or production of a qualifying asset as part of the cost of that asset. The revised IAS 23 will become mandatory for the Group's 2009 financial statements and will constitute a change in accounting policy for the Group. In accordance with the transitional provisions the Group will apply the revised IAS 23 to qualifying assets for which capitalisation of borrowing costs commences on or after the effective date.

- IFRIC 11, IFRS 2 – Group and Treasury Share Transactions requires a share-based payment arrangement in which an entity receives goods or services as consideration for its own equity instruments to be accounted for as an equity-settled share-based payment transaction, regardless of how the equity instruments are obtained. IFRIC 11 will become mandatory for the Group's 2008 financial statements, with retrospective application required. It is not expected to have any impact on the consolidated financial statements.

- IFRIC 12 *Service Concession Arrangements* provides guidance on certain recognition and measurement issues that arise in accounting for public-to-private service concession arrangements. IFRIC 12, which becomes mandatory for the Group's 2008 financial statements, is not expected to have any effect on the consolidated financial statements.

- IFRIC 13 Customer Loyalty Programmes addresses the accounting for entities that operate, or otherwise participate in, customer loyalty programmes for their customers. It relates to customer loyalty programmes under which the customer can redeem credits for awards such as free or discounted goods or services. IFRIC 13, which becomes mandatory for the Group's 2009 financial statements, is expected to have an impact on the consolidated financial statements.

- IFRIC 14, IAS 19 – The Limit on a Defined Benefit Asset, Minimum Funding Requirements and their Interaction clarifies when refunds or reductions in future contributions in relation to defined benefit assets should be regarded as available and provides guidance on the impact of minimum funding requirements (MFR) on such assets. It also addresses when a MFR might give rise to a liability. IFRIC 14 will become mandatory for the Group's 2008 financial statements, with retrospective application required. It is not expected to have any effect on the consolidated financial statements.

Determination of fair values

A number of the Group's accounting policies and disclosures require the determination of fair value, for both financial and non-financial assets and liabilities. Fair values have been determined for measurement and / or disclosure purposes based on the following methods. When applicable, further information about the assumptions made in determining fair values is disclosed in the notes specific to that asset or liability.

(a) Property, plant, and equipment
The fair value of property, plant and equipment recognised as a result of a business combination is based on market values. The market value of property is the estimated amount for which a property could be exchanged on the date of valuation between a willing buyer and a willing seller in an arm's length transaction after proper marketing wherein the parties had each acted knowledgeably, prudently and without compulsion. Plant, equipment, fixtures and fittings are measured at cost.

(b) Intangible assets
The fair value of patents and trademarks acquired in a business combination is based on the discounted estimated royalty payments that have been avoided as a result of the patent or trademark being owned. The fair value of other intangible assets is based on the discounted cash flows expected to be derived from the use and eventual sale of the assets.

(c) Investment property
The fair values in business or strategic combinations are based on market values, being the estimated amount for which a property could be exchanged on the date of the valuation between a willing buyer and a willing seller in an arm's length transaction after proper marketing wherein the parties had each acted knowledgeably, prudently and without compulsion.
In the absence of current prices in an active market, the valuations are prepared by considering the aggregate of the estimated cash flows expected to be received from renting out the property. A yield that reflects the specific risks inherent in the net cash flows then is applied to the net annual cash flows to arrive at the property valuation.

Valuations reflect, when appropriate: the type of tenants actually in occupation or responsible for meeting lease commitments or likely to be in occupation after letting vacant accommodation, and the market's general perception of their creditworthiness; the allocation of maintenance and insurance responsibilities between the Group and

the lessee; and the remaining economic life of the property. When rent reviews or lease renewals are pending with anticipated reversionary increases, it is assumed that all notices, and when appropriate counter-notices, have been served validly and within the appropriate time.

(d) Inventories
The fair value of inventories acquired in a business combination is determined based on its estimated selling price in the ordinary course of business less the estimated costs of completion and sale, and a reasonable profit margin based on the effort required to complete and sell the inventories.

(e) Investments in equity and debt securities
The fair value of financial assets at fair value through profit or loss, held-to-maturity investments and available-for-sale financial assets in business or strategic combinations is determined by reference to their quoted bid price at the reporting date. The fair value of held-to-maturity investments is determined for disclosure purposes only.

(f) Trade and other receivables
The fair value of trade and other receivables, excluding construction work in progress, in business or strategic combinations is estimated as the present value of future cash flows, discounted at the market rate of interest at the reporting date.

(g) Derivatives
The fair value of forward exchange contracts is based on their listed market price, if available. If a listed market price is not available, then fair value is estimated by discounting the difference between the contractual forward price and the current forward price for the residual maturity of the contract using a risk-free interest rate (based on government bonds).

The fair value of interest rate swaps is based on broker quotes. Those quotes are tested for reasonableness by discounting estimated future cash flows based on the terms and maturity of each contract and using market interest rates for a similar instrument at the measurement date.

(h) Non-derivative financial liabilities
Fair value, which is determined for disclosure purposes, is calculated based on the present value of future principal and interest cash flows, discounted at the market rate of interest at the reporting date. In respect of the liability component of convertible notes, the market rate of interest is determined by reference to similar liabilities that do not have a conversion option. For finance leases the market rate of interest is determined by reference to similar lease agreements.

Financial risk management

(a) Overview

The Group is constantly monitoring various types of financial risks to which it is exposed through its operations. Among these risks are the following: interest rate risk, foreign exchange risk, credit risk, liquidity risks, inflation risk, and risk of change in the price of securities. The Group's overall risk management program focuses on the unpredictability of financial markets and seeks to minimize potential adverse effects on the Group's financial performance. The Group uses derivative financial instruments to hedge certain risk exposures.

In the Mercator Group, there is a special body that deals with risk management, i.e. the Risk Management Council. The Council evaluates the level of exposure to risks and lays down the principles for comprehensive risk management, as well as risk management policies for particular areas. The Group has introduced a consistent policy of risk management that covers various types of risk. The policy consists of analysis of the Group's exposure to risk, evaluation of the level of risk, and the measures for reducing, or mitigating. Following is a short summary of the risk management policy.

(i) Credit risk
Group's exposure to credit risk in the retail activity is quite negligible, as the goods are paid for immediately upon purchase, in cash or by credit cards; in wholesale and non-trade activity, the analyses conducted have shown this risk to be low. Mercator's wholesale customers are dispersed and diversified, which precludes any major exposure to an individual customer; furthermore, financial / payment discipline is constantly monitored and the rating of each wholesale customer is checked. In foreign markets, unsecured sales are kept low. Measures projected by the issuer in case of any increase in risk include above all more strict control of customers whose payments are overdue, and, if required, establishing a credit rating office that would systematically evaluate and monitor credit risk.

(ii) Liquidity risk

The Group actively manages liquidity risk by:
- operating a centralized cash management system;
- statistically supported forecasting of cash flows;
- daily contact with its largest wholesale customers, thereby increasing the predictability of its cash flows;
- operating a centralised cash pooling system.

The Group estimates its risk of liquidity as being low, as it is alleviated by revenues from retail activities that provide cash daily inflow representing the majority of all revenues from operating activities. In case of a considerable increase of the currently very low exposure to this risk, the company will introduce measures such as obtaining new revolving and overdraft loans with commercial banks, possibly temporarily suspending early payments, issuing short-term notes in the euro commercial market, temporarily halting some of the investments, and increasing the pace of disposing of commercially unviable assets. Any future increase in exposure to this type of risk would definitely be detected in a timely manner by a cash flow management system that helps the company in managing the liquidity and deciding on liquidity measures, as well as with reporting on and forecasting the cash flows.

(iii) Market risks

Interest rate risk
Interest rate risk of the Group derives from financial liabilities. Financial liabilities expose the Group to cash flow interest rate risk.
Interest rate risk deriving from the possible growth of financing cost for the sources related to the variable / floating interest rate, is adequately managed by the Group. The policy on interest rate risk management includes analyses of increased exposure in case of net borrowing at floating interest rate, insurance of a part of financial liabilities with appropriate derivative financial instruments, and the possibility of issuing debt at fixed interest rate.

Currency risk
Mercator's operations in an international environment necessarily involve exposure to currency risk. Slovenia's accession to the ERM2 and adoption of euro as the national currency in 2007 has eliminated any exposure related to tolar / euro conversion.

Thus far, currency risk has not been defined as critical; hence, the Group does not manage it proactively, i.e. by hedging with derivative financial instruments. However, it is managed actively on the level of the parent company for the entire Mercator Group. In case of increase in exposure to this type of risk, the Group has prepared a general policy of risk management that involves the following two steps:

- constant monitoring of macroeconomic background against which the movement of a particular exchange rate is taking place, and the related macroeconomic aspects and trends;
- adapting the operations based on the general trends and expectations, towards lesser exposure to currency risk.

In case of increased risk, the Group will decide on implementing any further measures based on the estimated level of exposure; needless to say, such measure will only be implemented following a thorough analysis and with consideration of the 'cost-benefit' principle. The type of measure will depend on its appropriateness or viability, the nature of exposure, planned Group operations, and anticipated economic effects.

Inflation risk
The Group estimates its exposure to inflation risk as moderate, which is a result of the increase in the rate of inflation in Slovenia to 5.6 % annually. Croatia has also seen strong upward pressures on the rate of inflation in 2007; on the other hand, inflation risk remains low in Bosnia and Herzegovina, with no increases forecast. Serbian market is already experiencing high inflation at 6.6 percent; however, the experts do not expect this rate to grow.

Mercator is constantly monitoring the macroeconomic events in order to perceive the occurrence of any inflationary pressures in a timely manner. In view of these facts, the Group estimates its current extent and method of management of the inflation risk as being in compliance with the medium level of exposure.

Liquidity risk associated with marketable securities
Investments into securities of entities that are not a part of the Group, are negligible; whereas derivative financial instruments are only employed for hedging, and not for speculation purposes.

(b) Accounting for derivative financial instruments

The Group has signed several agreements on interest rate swaps, exclusively for the purposes of hedging; all criteria related to such purposes are met. The instruments employed are intended for cash flow hedging and are highly efficient in managing the cash flows related to Group's borrowings.

Upon completion of a transaction, Mercator Group documents the relation between derivative financial instruments and hedged items, as well as the goal of its risk management and strategy for effecting various hedging transactions. This process also includes relating all derivative financial instruments to the portfolio of borrowings, or to particular borrowings.

The Group also documents every estimate it makes, both upon the completion of a transaction, as well as later, with regard to the efficiency of derivative financial instruments employed for hedging in managing the cash flow from borrowings.

The Group employs derivative financial instruments for hedging purposes and recognizes them initially at fair value. If the hedge is effective, changes to the fair value are recognized directly in equity; otherwise, they are recognized in the profit and loss for the current period. The method for recognizing the profit and loss related to these instruments does not depend on the form of the hedged item.

(c) Fair value estimation

The fair value of interest rate swaps has been calculated as the present value of the estimated future cash flows and deferred in a 'hedging reserve' in equity. Calculation of the fair value changes of each instrument is assessed on a semi-annual basis and recognised in the income statement when the hedged transaction affects the income statement.

Tax policy

(a) Slovenia

Tax statements (financial statements for tax authorities) of the company Poslovni sistem Mercator, d.d., and the companies of the Mercator Group in Slovenia, are prepared in accordance with the International Financial Reporting Standards and the Corporate Income Tax Act.

In 2007, some of the provisions of the Corporate Income Tax Act were revised. Following is a list of new provisions considered in the calculation of the corporate income tax for the year 2007:

- taxable base in upward revaluation,
- definition of taxable base in transactions between associated entities – residents,
- elimination of double taxation and less-than-one-time taxation,
- extension of recognized expenses,
- changes to the highest recognized depreciation rates,
- exemption of dividends and proceeds form disposal of ownership shares from the taxable base,
- recognition of costs for providing benefits and other employment-related payments,
- tax relief for conducting practical work in professional / expert education or training,
- lowering the withholding tax rate to 15 percent.

Corporate income tax rate is 23 %. Pursuant to the corporate Income Tax Act Company's taxable base is the profit as the surplus of revenues over expenses, where the basic criteria for recognition, or inclusion, in a tax statement is still the revenues and expenses as shown in the income statement, defined pursuant to the legislation or accounting standards.

In 2007, there are no more investment reliefs for investment into property, plant, and equipment, or intangible assets. The relief exercised by the Group now is the relief for conducting practical work in professional or expert education.

In 2007, the company Mercator, d.d., recognized and derecognized deferred taxes related to the following aspects:

- differences between business and tax recognized depreciation,
- revaluation of receivables,
- revaluation of inventories,
- provisions made,
- upward revaluation (increase in value) of property, plant, and equipment,
- differences between tax recognized and business depreciation,
- property, plant, and equipment, whose value does not exceed EUR 500 and whose useful life is longer than one year,
- increase in the value of non-current financial investment.

The company must provide documentation on transfer prices; general documentation can be common to a group of associated entities as a whole.
As of 1 January, 2007, new maximum depreciation levels are in effect for new purchases of property, plant, and equipment, to which depreciation may be recognized as a recognized expense. For some groups of assets, the rates have risen (parts of construction facilities / buildings, automobiles), while for others, they have been decreased (buildings, equipment, vehicles).

(b) Serbia

Tax statements of the companies Mercator-S, d.o.o., and M-Rodić, d.o.o., are prepared in compliance with the International Financial Reporting Standards and the relevant Corporate Income Tax Act ("Zakon o porezu na dobit preduzeća").

Corporate income tax rate amounts to 10 %.
In the assessment of corporate income tax, the following tax reliefs can be exercised:

- investment relief in the amount of 20 percent of sum invested in the current year;
- investment for unemployed with whom a permanent employment relation was agreed upon in the current year.

In 2007, the companies Mercator-S, d.o.o., and M-Rodić, d.o.o., made provisions for deferred taxes for the differences between depreciation as calculated for business purposes, and tax depreciation, calculated exclusively for the tax statement.

(c) Croatia

Tax statements of the companies Mercator-H, d.o.o., and Presoflex, d.o.o., are prepared in compliance with the International Financial Reporting Standards and the Corporate Income Tax Act.

Taxable base is the profit calculated in compliance with accounting principles, from which tax recognized or costs are subtracted, or to which unrecognized costs are added. The company may, among other, decrease its taxable base by the revenues from dividend or share in profit of other companies, and by depreciation that was not recognized as expense during the transitory periods.

Corporate income tax rate is 20 percent.

(d) Bosnia and Herzegovina

Tax statements of the company Mercator-BH, d.o.o., are prepared in compliance with the International Financial Reporting Standards and the Corporate Income Tax Act ("Zakon o porezu na dobit").

Corporate income tax rate is 30 %.

AUDITED CONSOLIDATED FINANCIAL STATEMENTS OF THE MERCATOR GROUP

Companies included in the consolidation

Following is a list of Mercator Group subsidiaries. Their headquarters are located either in Slovenia, Croatia, Serbia, Bosnia and Herzegovina, Macedonia, or Montenegro. Ownership interest considered during the compilation of consolidated financial statements is indicated in the table below.

Company	Ownership interest 2007	2006
Trade companies in markets abroad		
Mercator - H, d.o.o. (Croatia)	99.9%	99.9%
Presoflex, d.o.o. (Croatia), (included as of 18 July, 2007)	99.9%	-
Mercator - BH, d.o.o (Bosnia and Herzegovina)	100.0%	100.0%
Mercator - S, d.o.o. (Serbia)	100.0%	100.0%
M - Rodić, d.o.o., (Serbia)*	100.0%	100.0%
Mercator Makedonija, d.o.o.e.l. (Macedonia)	100.0%	90.0%
Investment International, d.o.o.e.l. (Macedonia)	100.0%	100.0%
Mercator - Mex, d.o.o. (Montenegro)** (included as of 20 December, 2007)	70.0%	-
Nontrade companies		
Mercator - Emba, d.d.	100.0%	76.8%
Eta, d.d.	100.0%	97.3%
Pekarna Grosuplje, d.d.	98.4%	79.9%
Belpana, d.o.o. (Croatia)	98.4%	79.9%
Mercator - Optima, d.o.o.	100.0%	100.0%
M Hotel, d.o.o., (disposed of on 19 September, 2007)	-	100.0%
M.COM, d.o.o.	100.0%	100.0%
Interier, d.o.o.	97.6%	-

*As at 31 December, 2007, Mercator, d.d., owned 76 percent of the company M-Rodić, d.o.o.; however, for the purpose of consolidation, the entire 100 percent share is considered in order to account for the financial liability deriving from the contract on the purchase of the remaining 24 percent share.

**As at 31 December, 2007, Mercator, d.d., owned 51 percent of the company Mercator mex, d.o.o.; however, 70 percent share is considered for consolidation, in order to account for the financial liability deriving from the contract on the purchase of the remaining 19 percent share.

In 2007, the following changes took place in the Group composition:

- On 18 July, 2007, the companies Poslovni sistem Mercator, d.d., and Mercator-H, d.o.o., became 100 percent owners of the company Presoflex, d.o.o., Croatia
- On 19 September, 2007, the company Poslovni sistem Mercator, d.d., disposed of its 100 percent share of the company M Hotel, d.o.o.
- On 13 November, 2007, the company Poslovni sistem Mercator, d.d., became the owner of 97.6 percent share in the company Interier, d.o.o.
- On 20 December, 2007, the company Poslovni sistem Mercator, d.d., became the owner of 51 percent share in the company Mercator – Mex, d.o.o., Montenegro.

- In 2007, Poslovni sistem Mercator, d.d., acquired an additional 18.5 percent share in the company Pekarna Grosuplje, additional 23.2 percent share in the company Mercator-Emba, d.d., additional 10 percent share in the company Mercator Macedonia, d.o.o.e.l., and additional 2.7 percent share in the company Eta, d.d.

Consolidated balance sheet

EUR thousand	2007	2006
ASSETS		
Non-current assets		
Property, plant and equipment	1,402,398	1,303,811
Investment property	16,476	13,094
Intangible assets	80,253	86,678
Deferred tax assets	8,686	5,572
Derivative financial instruments	5,771	1,986
Trade and other receivables	520	2,147
Available-for-sale financial assets	24,235	5,387
	1,538,339	**1,418,675**
Current assets		
Inventories	247,836	225,803
Trade and other receivables	258,957	197,981
Current tax assets	764	247
Advance payments for current assets	1,488	434
Cash and cash equivalents	23,089	18,035
	532,134	**442,500**
Total assets	**2,070,473**	**1,861,175**
EQUITY		
Total equity attributable to equity holders of the Company	**685,938**	**606,975**
Ordinary shares	157,129	157,126
Share premium	198,848	193,298
Treasury shares	(3,250)	(4,900)
Revenue reserves	243,309	148,701
Fair value reserve	68,078	50,343
Retained earnings	-	56,106
Profit for the year	26,047	-
Currency translation reserve	(4,223)	6,301
Minority interest	**2,258**	**40,905**
Total equity	**688,196**	**647,880**
LIABILITIES		
Non-current liabilities		
Financial liabilities	635,457	515,057
Derivative financial instruments	-	180
Deferred tax liabilities	18,550	16,211
Retirement benefit obligations	20,051	19,045
Provisions	15,177	16,904
	689,235	**567,397**
Current liabilities		
Trade and other payables	487,141	356,805
Current tax liabilities	4,782	1,724
Financial liabilities	201,119	287,369
	693,042	**645,898**
Total liabilities	**1,382,277**	**1,213,295**
Total equity and liabilities	**2,070,473**	**1,861,175**

Consolidated income statement

EUR thousand	2007	2006
Revenue	2,445,258	2,064,583
Cost of sales	(1,802,814)	(1,506,838)
Gross profit	**642,444**	**557,746**
Selling and marketing costs	(468,537)	(429,862)
Administrative expenses	(115,507)	(101,026)
Other income	23,041	23,918
Results from operating activities	**81,441**	**50,776**
Finance income	25,996	21,309
Finance expenses	(52,962)	(35,361)
Net finance expense	**(26,966)**	**(14,052)**
Profit before income tax	**54,475**	**36,724**
Income tax expense	(10,661)	(6,575)
Profit for the year	**43,814**	**30,149**
Attributable to equity holders of the Company	43,755	29,581
Attributable to minority interest	59	568
Earnings per share (in EUR)	11.8	8.4

Consolidated statement of changes in equity

EUR thousand	Ordinary shares	Share premium	Treasury shares	Revenue reserves	Fair value reserve	Retained earnings	Profit for the year	Currency translation reserve	Total equity attributable to equity holders of the Company	Minority interest	Total
Balance at 1 January, 2006	**140,050**	**159,863**	**(5,220)**	**127,938**	**50,379**	**76,542**	**-**	**(4,476)**	**545,076**	**5,951**	**551,027**
Restatement:											
Adjustment according to IAS 12 and IAS 19			-	-	(16,262)	(4,524)	-	-	(20,786)	(126)	(20,912)
Balance at 1 January, 2006 (Restated)	**140,050**	**159,863**	**(5,220)**	**127,938**	**34,117**	**72,018**	**-**	**(4,476)**	**524,290**	**5,825**	**530,115**
Revaluation of property	-	-	-	-	13,681	1,090	-	-	14,771	-	14,771
Change in fair value of cash flow hedges	-	-	-	-	1,690	-	-	-	1,690	-	1,690
Change in fair value of available-for–sale financial assets	-	-	-	-	855	-	-	-	855	-	855
Other decrease in revenue reserves *	-	-	-	(16,998)	-	-	-	-	(16,998)	-	(16,998)
Currency translation differences	-	-	-	-	-	-	-	10,777	10,777	1,268	12,045
Total income (expense) recognized directly in equity	**-**	**-**	**-**	**(16,998)**	**16,226**	**1,090**	**-**	**10,777**	**11,094**	**1,268**	**12,362**
Profit for the year	-	-	-	-	-	-	29,581	-	29,581	568	30,149
Total recognized income (expense)	**-**	**-**	**-**	**(16,998)**	**16,226**	**1,090**	**29,581**	**10,777**	**40,675**	**1,836**	**42,511**
Issue of ordinary shares	12,613	37,898		-	-	-	-	-	50,511	-	50,511
Treasury shares sold	-	-	320	(320)	-	320	-	-	320	-	320
Dividends to equity holders	-	-	-	-	-	(8,820)	-	-	(8,820)	-	(8,820)
Entry of shares issued in 2005 into the court registry	4,463	(4,463)	-	-	-	-	-	-	-	-	-
Allocation of disposable income following the Management /Supervisory Board resolution	-	-	-	38,024	-	(25,461)	(12,563)	-	-	-	-
Allocation of disposable profit following the Shareholders Assembly resolution	-	-	-	59	-	16,959	(17,018)	-	-	-	-
Change in minority interest	-	-	-	-	-	-	-	-	-	33,244	33,244
Balance at 31 December, 2006	**157,126**	**193,298**	**(4,900)**	**148,701**	**50,343**	**56,106**	**-**	**6,301**	**606,975**	**40,905**	**647,880**

*Note: the sum relates to future purchase of 24 percent share of the company M – Rodić, d.o.o.

Consolidated statement of changes in equity (continued)

EUR thousand	Ordinary shares	Share premium	Treasury shares	Revenue reserves	Fair value reserve	Retained earnings	Profit for the year	Currency translation reserve	Total equity attributable to equity holders of the Company	Minority interest	Total
Balance at 1 January, 2007	**157,126**	**193,298**	**(4,900)**	**148,701**	**50,343**	**56,106**	**-**	**6,301**	**606,975**	**40,905**	**647,880**
Revaluation of property	-	-	-	-	(1,838)	4,578	-	-	2,740	-	2,740
Change in fair value of cash flow hedges	-	-	-	(1,806)	5,772	-	-	-	3,966	-	3,966
Change in fair value of available-for–sale financial assets	-	-	-	-	13,801	-	-	-	13,801	-	13,801
Other changes in equity	-	-	-	16,998	-	15,832	-	-	32,830	(35,471)	(2,641)
Currency translation differences	-	-	-	-	-	-	-	(10,524)	(10,524)	(266)	(10,790)
Total income (expense) recognized directly in equity	**-**	**-**	**-**	**15,192**	**17,735**	**20,410**	**-**	**(10,524)**	**42,813**	**(35,737)**	**7,076**
Profit for the year	-	-	-	-	-	-	43,755	-	43,755	59	43,814
Total recognized income (expense)	**-**	**-**	**-**	**15,192**	**17,735**	**20,410**	**43,755**	**(10,524)**	**86,568**	**(35,678)**	**50,890**
Treasury shares sold	-	5,550	1,650	-	-	-	-	-	7,200	-	7,200
Dividends to equity holders	-	-	-	-	-	(14,805)	-	-	(14,805)	-	(14,805)
Allocation of disposable income following the Management /Supervisory Board resolution	-	-	-	17,708	-	-	(17,708)	-	-	-	-
Allocation of disposable profit following the Shareholders Assembly resolution	3	-	-	61,708	-	(61,711)	-	-	-	-	-
Acquisitions of companies	-	-	-	-	-	-	-	-	-	1,857	1,857
Purchase of minority interest	-	-	-	-	-	-	-	-	-	(4,826)	(4,826)
Balance at 31 December, 2007	**157,129**	**198,848**	**(3,250)**	**243,309**	**68,078**	**-**	**26,047**	**(4,223)**	**685,938**	**2,258**	**688,196**

Consolidated statement of cash flows

EUR thousand	2007	2006
Cash flows from operating activities		
Profit for the year	43,814	30,149
Adjustments:		
Income tax expense	10,661	6,575
Depreciation of property, plant and equipment	69,971	67,850
Depreciation of investment property	367	309
Amortisation of intangible assets	10,753	4,254
Impairment losses on goodwill	-	6,376
Impairment losses on property, plant, and equipment	-	567
Gain on sale of property, plant, and equipment	(3,923)	(2,976)
Change in provisions, accruals and deferrals	4,503	9,185
Gain on sale of available-for-sale financial assets	(10,521)	(347)
Interest received	(14,075)	(19,794)
Negative goodwill recognized directly in the income statement	(1,228)	(943)
Interest paid	51,724	34,188
Gross cash flow from operating activities	**162,046**	**135,394**
Change in inventories	(15,145)	(20,284)
Change in trade and other receivables	(48,550)	(36,369)
Change in trade and other payables	116,356	60,064
	214,707	**138,805**
Interest paid	(51,724)	(34,188)
Income tax paid	(9,957)	(7,856)
Net cash from operating activities	**153,026**	**96,761**
Cash flows from investing activities		
Acquisition of subsidiaries, net of cash acquired	(37,639)	(117,199)
Aquisition of property, plant, and equipment	(158,085)	(143,951)
Aquisition of intangible assets	(6,765)	(5,332)
Aquisition of available-for-sale financial assets	(2,881)	(268)
Aquisition of current financial investments	-	-
Loans made	(7,272)	(14,056)
Proceeds from sale of subsidiaries, net of cash disposed of	8,972	-
Proceeds from sale of property, plant, and equipment	18,920	19,339
Proceeds from sale of intangible assets	82	6
Proceeds from sale of available-for-sale financial assets	10,146	1,860
Proceeds from sale of current financial investments	-	-
Interest received	14,075	19,794
Dividends received	483	350
Loan repayments received	-	11,581
Net cash used in investing activities	**(159,964)**	**(227,876)**

Cash flows from financing activities		
Proceeds from issue of share capital	-	50,511
Proceeds (repayments) of borrowings	27,421	90,124
Dividends paid to company shareholders	(14,761)	(8,777)
Net cash from financing activities	**12,660**	**131,858**
Net increase in cash and cash equivalents	**5,722**	**743**
Cash and cash equivalents at the beginning of the year	18,035	16,528
Currency translation differences	(668)	764
Cash and cash equivalents at the end of the year	**23,089**	**18,035**

INDEPENDENT AUDITOR'S REPORT

KPMG

Poročilo neodvisnega revizorja

Delničarjem družbe Poslovni sistem Mercator, d.d., Ljubljana

Revidirali smo priložene skupinske računovodske izkaze skupine Mercator, ki vključujejo skupinsko bilanco stanja na dan 31. decembra 2007, skupinski izkaz poslovnega izida, skupinski izkaz gibanja kapitala in skupinski izkaz denarnih tokov za tedaj končano leto ter povzetek bistvenih računovodskih usmeritev in druge pojasnjevalne opombe.

Pregledali smo tudi poslovno poročilo.

Odgovornost poslovodstva za računovodske izkaze

Poslovodstvo je odgovorno za pripravo in pošteno predstavitev teh skupinskih računovodskih izkazov v skladu z mednarodnimi standardi računovodskega poročanja. Ta odgovornost vključuje: vzpostavitev, delovanje in vzdrževanje notranjega kontroliranja, povezanega s pripravo in pošteno predstavitvijo računovodskih izkazov, ki ne vsebujejo pomembno napačne navedbe zaradi prevare ali napake, izbiro in uporabo ustreznih računovodskih usmeritev ter pripravo računovodskih ocen, ki so utemeljene v danih okoliščinah.

Revizorjeva odgovornost

Naša naloga je izraziti mnenje o teh skupinskih računovodskih izkazih na podlagi revizije. Revizijo smo opravili v skladu z mednarodnimi standardi revidiranja. Ti standardi zahtevajo od nas izpolnjevanje etičnih zahtev ter načrtovanje in izvedbo revizije za pridobitev sprejemljivega zagotovila, da računovodski izkazi ne vsebujejo pomembno napačne navedbe.

Revizija vključuje izvajanje postopkov za pridobitev revizijskih dokazov o zneskih in razkritjih v računovodskih izkazih. Izbrani postopki so odvisni od revizorjeve presoje in vključujejo tudi ocenjevanje tveganj napačne navedbe v računovodskih izkazih zaradi prevare ali napake. Pri ocenjevanju teh tveganj prouči revizor notranje kontroliranje, povezano s pripravljanjem in poštenim predstavljanjem računovodskih izkazov družbe, da bi določil okoliščinam ustrezne revizijske postopke, ne pa, da bi izrazil mnenje o uspešnosti notranjega kontroliranja družbe. Revizija vključuje tudi ovrednotenje ustreznosti uporabljenih računovodskih usmeritev in utemeljenosti računovodskih ocen poslovodstva kot tudi ovrednotenje celotne predstavitve računovodskih izkazov.

Verjamemo, da so pridobljeni revizijski dokazi zadostna in ustrezna podlaga za naše revizijsko mnenje.

Mnenje

Po našem mnenju so skupinski računovodski izkazi v vseh pomembnih pogledih poštena predstavitev finančnega stanja skupine Mercator na dan 31. decembra 2007 ter njenega poslovnega izida in denarnih tokov za tedaj končano leto v skladu z mednarodnimi standardi računovodskega poročanja, kot jih je sprejela EU.

Poslovno poročilo je skladno z revidiranimi skupinskimi računovodskimi izkazi.

KPMG SLOVENIJA,
podjetje za revidiranje, d.o.o.

Danilo Bukovec, univ. dipl.ekon.
pooblaščeni revizor

Marjan Mahnič, univ. dipl. ekon.
pooblaščeni revizor
partner

Ljubljana, 20. februar 2008

KPMG Slovenija, d.o.o.

AUDITED FINANCIAL STATEMENTS OF THE COMPANY POSLOVNI SISTEM MERCATOR, D.D.

Balance sheet

EUR thousand	2007	2006
ASSETS		
Non-current assets		
Property, plant and equipment	750,898	722,427
Investment property	16,477	12,893
Intangible assets	9,375	9,947
Deferred tax assets	8,543	5,536
Derivative financial instruments	5,771	1,986
Trade and other receivables	389	592
Investment into equity of subsidiaries	505,187	440,896
Available-for-sale financial assets	21,951	5,216
	1,318,591	1,199,494
Current assets		
Inventories	167,823	162,817
Trade and other receivables	191,723	156,233
Advance payments for current assets	457	365
Cash and cash equivalents	288	2,493
	360,291	321,908
Total assets	**1,678,882**	**1,521,402**
EQUITY		
Ordinary shares	157,129	157,126
Share premium	198,848	193,298
Treasury shares	(3,250)	(4,900)
Revenue reserves	214,979	74,767
Fair value reserve	94,915	76,794
Retained earnings	2,705	110,623
Profit for the year	17,709	9,691
	683,035	617,399
LIABILITIES		
Non-current liabilities		
Financial liabilities	425,465	397,384
Derivative financial instruments	-	180
Deferred tax liabilities	15,953	13,490
Retirement benefit obligations	17,651	16,105
Provisions	12,582	13,779
	471,651	440,938
Current liabilities		
Trade and other payables	349,994	252,233
Current tax liabilities	4,201	1,235
Financial liabilities	170,001	209,597
	524,196	463,065
Total liabilities	995,847	904,003
Total equity and liabilities	**1,678,882**	**1,521,402**

Income statement

EUR thousand	2007	2006
Revenue	1,702,734	1,609,832
Cost of sales	(1,243,402)	(1,174,259)
Gross profit	**459,332**	**435,573**
Selling and marketing costs	(326,746)	(330,115)
Administrative expenses	(87,171)	(78,398)
Other income	15,354	16,134
Results from operating activities	**60,769**	**43,194**
Finance income	18,547	13,966
Finance expenses	(34,471)	(27,666)
Net finance expenses	**(15,924)**	**(13,700)**
Profit before income tax	**44,845**	**29,494**
Income tax expense	(9,428)	(5,408)
Profit for the year	**35,417**	**24,086**
Earnings per share (in EUR)	9.5	6.8

Statement of changes in equity

EUR thousand	Ordinary shares	Share premium	Treasury shares	Revenue reserves	Fair value reserve	Retained earnings	Profit for the year	Total
Balance at 1 January, 2006	**140,050**	**159,863**	**(5,220)**	**92,027**	**74,720**	**53,373**	**2,624**	**517,437**
Restatement:								
Adjustment according to IAS 19	-	-	-	-	-	(4,260)	-	(4,260)
Balance at 1 January, 2006 (restated)	**140,050**	**159,863**	**(5,220)**	**92,027**	**74,720**	**49,113**	**2,624**	**513,177**
Revaluation of property	-	-	-	-	(3,287)	1,090	-	(2,197)
Change in fair value of cash flow hedges	-	-	-	-	1,690	-	-	1,690
Change in fair value of available-for–sale financial assets	-	-	-	-	4,160	32,621	-	36,781
Adjustments for mergers of subsidiaries to the parent company	-	-	-	-	-	19,339	-	19,339
Other decrease in revenue reserves *	-	-	-	(16,998)	-	-	-	(16,998)
Currency translation differences	-	-	-	-	(489)	-	-	(489)
Total income (expense) recognized directly in equity	**-**	**-**	**-**	**(16,998)**	**2,074**	**53,050**	**-**	**38,126**
Profit for the year	-	-	-	-	-	-	24,085	24,085
Total recognized income (expense)	**-**	**-**	**-**	**(16,998)**	**2,074**	**53,050**	**24,085**	**62,211**
Issue of ordinary shares	12,613	37,898	-	-	-	-	-	50,511
Treasury shares sold	-	-	320	(320)	-	320	-	320
Dividends to equity holders	-	-	-	-	-	(8,820)	-	(8,820)
Entry of shares issued in 2005 into the court registry	4,463	(4,463)	-	-	-	-	-	-
Allocation of disposable profit following the Shareholders Assembly resolution	-	-	-	58	-	16,960	(17,018)	-
Balance at 31 December, 2006	**157,126**	**193,298**	**(4,900)**	**74,767**	**76,794**	**110,623**	**9,691**	**617,399**

* Note: the sum relates to future purchase of 24 percent share of the company M – Rodić, d.o.o.

Statement of changes in equity (continued)

EUR thousand	Ordinary shares	Share premium	Treasury shares	Revenue reserves	Fair value reserve	Retained earnings	Profit for the year	Total
Balance at 1 January, 2007	**157,126**	**193,298**	**(4,900)**	**74,767**	**76,794**	**110,623**	**9,691**	**617,399**
Revaluation of property	-	-	-	-	(1,346)	1,837	-	491
Change in fair value of cash flow hedges	-	-	-	(1,806)	5,772	-	-	3,966
Change in fair value of available-for–sale financial assets	-	-	-	-	15,501	-	-	15,501
Other changes in equity	-	-	-	16,998	-	866	-	17,864
Currency translation differences	-	-	-	-	-	-	-	-
Total income (expense) recognized directly in equity	**-**	**-**	**-**	**15,192**	**19,927**	**2,703**	**-**	**37,822**
Profit for the year	-	-	-	-	-	-	35,417	35,417
Total recognized income (expense)	**-**	**-**	**-**	**15,192**	**19,927**	**2,703**	**35,417**	**73,239**
Treasury shares sold	-	5,550	1,650		-		-	7,200
Dividends to equity holders	-	-	-	-	-	(14,805)		(14,805)
Allocation of disposable income following the Management /Supervisory Board resolution	-	-	-	17,708	-	9,691	(27,399)	-
Allocation of disposable profit following the Shareholders Assembly resolution	3	-	-	107,310	(1,806)	(105,507)	-	-
Balance at 31 December, 2007	**157,129**	**198,848**	**(3,250)**	**214,979**	**94,915**	**2,705**	**17,709**	**683,035**

Proposal for the allocation of distributable profit

The distributable profit for the year 2007 consists of the following components:

Net profit for the year 2007	**35,416,778.10**
Establishment of other revenue reserves following the proposal of the Management and Supervisory Board	(17,708,389.05)
Decrease in revenue reserves due to disposal of treasury shares	1,650,587.72
Retained earnings	2,704,762.63
Distributable profit for the year	**22,063,739.40**

The proposal for the allocation of distributable profit which amounted to EUR 22,063,739.40 as at 31 December, 2007, is as follows:

- a part of the distributable profit in the amount of EUR 16,002,784.25 shall be allocated for the payment of dividends in net value of EUR 4.25 per ordinary share;
- the remaining part of the distributable profit in the amount of EUR 6,060,955.15 shall be allocated from other revenue reserves.

3,765,361 ordinary shares which were entered into the court registry as at 31 December, 2007, were considered for the proposed dividend payment.

Statement of cash flows

EUR thousand	2007	2006
Cash flows from operating activities		
Profit for the year	35,417	24,085
Adjustments:	-	-
Income tax expense	9,428	5,408
Depreciation of property, plant and equipment	41,278	43,200
Depreciation of investment property	358	296
Amortisation of intangible assets	2,326	1,709
Impairment losses on goodwill	-	6,375
Gain on sale of property, plant, and equipment	(3,101)	(2,970)
Net change in provisions, accruals and deferrals	3,983	13,581
Net cash flow from retirement benefit obligations	1,546	142
Profits from investment into equity of subsidiaries	(6,216)	-
Gain on sale of available-for-sale financial assets	(8,231)	(332)
Interest received	(3,650)	(12,973)
Interest paid	33,932	27,200
Gross cash flow from operating activities	**107,070**	**105,721**
Change in inventories	(5,005)	(29,360)
Change in trade and other receivables	(34,706)	59,370
Change in trade and other payables	90,106	(22,719)
	157,465	**113,012**
Interest paid	(33,932)	(27,200)
Income tax paid	(8,889)	(7,298)
Net cash from operating activities	**114,644**	**78,514**
Cash flows from investing activities		
Acquisition of subsidiaries	(46,829)	(133,246)
Aquisition of property, plant, and equipment	(79,935)	(88,013)
Aquisition of intangible assets	(4,593)	(4,253)
Aquisition of available-for-sale financial assets	(2,576)	(132)
Loans made	-	(565)
Proceeds from sale of subsidiaries	16,791	-
Proceeds from sale of property, plant, and equipment	10,459	18,450
Proceeds from sale of intangible assets	1	6
Proceeds from sale of available-for-sale financial assets	10,146	380
Interest received	3,650	12,973
Dividends received	1,614	350
Loan repayments received	698	1,631
Net cash used in investing activities	**(90,574)**	**(192,419)**

Cash flows from financing activities		
Proceeds from issue of share capital	-	50,511
Proceeds (repayments) of borrowings	(11,514)	67,073
Dividends paid to company shareholders	(14,761)	(8,777)
Net cash from financing activities	**(26,275)**	**108,807**
Net increase in cash and cash equivalents	**(2,205)**	**(5,098)**
At the beginning of the period	2,493	7,591
Cash and cash equivalents at the end of the year	**288**	**2,493**

In 2007, the company partly changed its methodology of calculating the cash flows from operating activities. To make the data comparable, the calculation for 2006 was also adjusted accordingly.

Gross compensation of the Management Board, Supervisory Board and employees with individual employment contracts

The company has two groups of related parties: management and executive staff, and subsidiaries. Management and executive staff includes members of Management Boards, Supervisory Boards, and employees on individual employment contracts in the Mercator Group.

In 2007, the company paid the following gross sums to Management Board Members, Supervisory Board Members, and other employees with individual employment contracts:

	2007		2006	
EUR thousand	Amount	Number of recipients	Amount	Number of recipients
Management Board Members:	1,122	4	692	4
- base salary	704	4	645	4
- benefits for performance in the previous year	352	4	-	-
- other benefits	66	4	47	4
Supervisory Board Members:	431	10	30	11
- session / attendance fees	24	10	30	11
- benefits for performance following the Shareholders Assembly resolution	407	10	-	-
Other employees with individual employment contracts	6,121	78	6,497	79
Total	**7,674**	**92**	**7,219**	**94**

Gross compensation to the Management Board Members

(EUR thousand)		2007			
Post	**First and last name**	**Gross compensation**	**Fixed part**	**Variable part**	**Other benefits**
Management Board President and CEO	Žiga Debeljak	331	207	103	21
Management Board Member	Mateja Jesenek	261	165	83	13
Management Board Member	Vera Aljančič Falež	264	166	83	15
Management Board Member	Peter Zavrl	266	166	83	17
Total		**1,122**	**704**	**352**	**66**

Gross compensation to other employees with individual employment contracts comprise gross values of base salaries, benefits for performance in previous years, fringe benefits, and other types of employment compensation. Gross compensation of members of the Management and Supervisory Board and other employees with individual employment contracts represents 3.8 percent of total labour costs (3.5 percent in 2006).

Approved capital

In line with the resolution adopted at the 13th Shareholders' Assembly of the company Mercator, d.d., the Management Board may, subject to previous consent by the Supervisory Board, in the period of five years after entering the changes to the Articles

of Association and Bylaws into the registry, increase the share capital by 20 percent of the share capital entered on the day of adoption of this resolution at the 13th Shareholders Assembly of the company Mercator, d.d., by issuing new shares, where the preemptive right of the existing shareholders to the new shares may be excluded under the following conditions:

- the newly issued shares are used to acquire stock or shares in other companies, or to acquire business assets within strategic combinations or alliances;
- exclusion of the preemptive right is confirmed by the company Supervisory Board;
- prior to the issue, the Management Board informs the shareholders of the reasons for issuing share capital and of the reasons for exclusion of the preemptive right, by publishing this information on the stock market information dissemination system;
- the recipient of the newly issued shares or a group of associated recipients of newly issued shares do not acquire more than 10 percent of the company share capital by one single strategic alliance or combination;
- an independent financial advisor or consultant issues a positive opinion on the fairness of the issue of new shares from the aspect of the shareholders and the company, and the company informs the shareholders of such opinion by an announcement on the stock market information dissemination system no later than 30 days after making the binding agreement on the issue of new shares.

Conditional increase of share capital

Shareholders Assembly of the company Poslovni sistem Mercator, d.d., may adopt a resolution on conditional increase of share capital for reasons listed in Article 46 of the Articles of Association and Bylaws of the company Poslovni sistem Mercator, d.d.; to this date, this possibility has not yet been exercised.

Treasury shares

As at 31 December, 2006, the company owned 63,906 treasury shares in the total amount of EUR 4,900 thousand. In July 2007, the company Mercator, d.d., allocated 21,525 treasury shares in the amount of EUR 7,200 thousand for the settlement of purchase price for the 20 percent ownership share in the company Presoflex, d.o.o. The difference between the total purchase price and the decrease in treasury shares in the amount of EUR 5,550 thousand was entered as share premium. As at 31 December, 2007, the company Mercator, d.d., owned 42,381 treasury shares in the amount of EUR 3,250 thousand.

INDEPENDENT AUDITOR'S REPORT

Poročilo neodvisnega revizorja

Delničarjem družbe Poslovni sistem Mercator, d.d., Ljubljana

Revidirali smo priložene računovodske izkaze gospodarske družbe Poslovni sistem Mercator, d.d., Ljubljana, ki vključujejo bilanco stanja na dan 31. decembra 2007, izkaz poslovnega izida, izkaz gibanja kapitala in izkaz denarnih tokov za tedaj končano leto ter povzetek bistvenih računovodskih usmeritev in druge pojasnjevalne opombe.

Pregledali smo tudi poslovno poročilo.

Odgovornost poslovodstva za računovodske izkaze

Poslovodstvo je odgovorno za pripravo in pošteno predstavitev teh računovodskih izkazov v skladu z mednarodnimi standardi računovodskega poročanja. Ta odgovornost vključuje: vzpostavitev, delovanje in vzdrževanje notranjega kontroliranja, povezanega s pripravo in pošteno predstavitvijo računovodskih izkazov, ki ne vsebujejo pomembno napačne navedbe zaradi prevare ali napake, izbiro in uporabo ustreznih računovodskih usmeritev ter pripravo računovodskih ocen, ki so utemeljene v danih okoliščinah.

Revizorjeva odgovornost

Naša naloga je izraziti mnenje o teh računovodskih izkazih na podlagi revizije. Revizijo smo opravili v skladu z mednarodnimi standardi revidiranja. Ti standardi zahtevajo od nas izpolnjevanje etičnih zahtev ter načrtovanje in izvedbo revizije za pridobitev sprejemljivega zagotovila, da računovodski izkazi ne vsebujejo pomembno napačne navedbe.

Revizija vključuje izvajanje postopkov za pridobitev revizijskih dokazov o zneskih in razkritjih v računovodskih izkazih. Izbrani postopki so odvisni od revizorjeve presoje in vključujejo tudi ocenjevanje tveganj napačne navedbe v računovodskih izkazih zaradi prevare ali napake. Pri ocenjevanju teh tveganj prouči revizor notranje kontroliranje, povezano s pripravljanjem in poštenim predstavljanjem računovodskih izkazov družbe, da bi določil okoliščinam ustrezne revizijske postopke, ne pa, da bi izrazil mnenje o uspešnosti notranjega kontroliranja družbe. Revizija vključuje tudi ovrednotenje ustreznosti uporabljenih računovodskih usmeritev in utemeljenosti računovodskih ocen poslovodstva kot tudi ovrednotenje celotne predstavitve računovodskih izkazov.

Verjamemo, da so pridobljeni revizijski dokazi zadostna in ustrezna podlaga za naše revizijsko mnenje.

Mnenje

Po našem mnenju so računovodski izkazi v vseh pomembnih pogledih poštena predstavitev finančnega stanja gospodarske družbe Poslovni sistem Mercator, d.d., Ljubljana na dan 31. decembra 2007 ter njenega poslovnega izida in denarnih tokov za tedaj končano leto v skladu z mednarodnimi standardi računovodskega poročanja, kot jih je sprejela EU.

Poslovno poročilo je skladno z revidiranimi računovodskimi izkazi.

KPMG SLOVENIJA,
podjetje za revidiranje, d.o.o.

Danilo Bukovec, univ. dipl.ekon.
pooblaščeni revizor

Marjan Mahnič, univ. dipl. ekon.
pooblaščeni revizor
partner

Ljubljana, 20. februar 2008

KPMG Slovenija, d.o.o.